RBL Bank Ltd. (RBLBANK)

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“RBL Bank Limited
Q3 FY '2 5 Earnings Conference Call”
January 18, 202 5

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Moderator: Ladies and gentlemen, good day, and welcome to RBL Bank Limited's Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R. Subramaniakumar , Managing Director and CEO of RBL Bank. Thank you, and over to you, Mr. Kumar.

R. Subramaniakumar: Thank you, ma'am. Good afternoon, ladies and gentlemen, and I thank you for joining us for a discussion on our bank's financial results for the third quarter of the financial year 2025. We have uploaded the results along with the presentation on our websit e. And I hope you have had the chance to go through it in detail ahead of this call. I am, as always, joined on this call by Mr. Rajeev Ahuja , Executive Director of the bank; and other members of our management team to address any quest ions that you may have.

Before coming to our results, let me take a couple of minutes on our take on the current macro environment. We have witnessed a few headwinds including some moderation in the overall economic growth, pressure on the rupee, a relatively tight liquidity cond ition despite easing of CRR by 0.5% recently. All in the backdrop of fairly uncertain geopolitical environment. This has clearly delayed the easing cycle that one expected, say, 6 months ago. In this backdrop, the environment of deposits remains fairly co mpetitive.

The other theme, which has kept all of us concerned is some challenges on asset quality, though largely restricted to the unsecured segments. We will take you all through what we are seeing here in a little more detail in a few minutes.

First, on what has worked well. Our wholesale and secured retail businesses, which comprise of mortgages, business banking and wheels have continued to grow well especially the build -outs in affordable space. The returns from all these businesses, despite the ongoing scale -up mode in secured retail has delivered enough PPOP to cover the increased credit costs in unsecured segments. We have seen a 13% Y -o-Y in advances this quarter with the wholesale growing 5% Y-o-Y and total retail growing 19% Y -o-Y.

We were carrying low -yielding tactical balances in the wholesale same time last year, which have now given way to a better risk rewarding exposures. Within wholesale, commercial

banking, that is the mid and small corporate segment grew 21% Y -o-Y.
The secured retail advances grew by 38% Y -o-Y, in line with our plan to grow this as an identified focus area. Given our higher risk focus in response to the market dynamics, the JLG, the Joint Liability Group segment has been lower both Y -o-Y and sequentially. In credit cards, including personal loans, the growth was 8% Y -o-Y but lower 2% sequentially.
The deposit quality has continued showing strong trends. While I did allude to the general competitive dynamics relating to the growth on deposits, we are happy to see continued

improvement in granular retail deposit growth. Our total deposits grew 15% Y -o-Y and were lower 1% sequentially. However, granular deposits grew 20% Y -o-Y and 3% sequentially. Similarly, while the while period ended CASA balances grew 12% Y -o-Y, but de -grew 3% sequentially. Our average CASA balances grew 14% Y-o-Y and 4% sequentially.
On what we are doing to navigate some near -term challenges, we have been taking active steps to tackle the headwinds, both in the rural, the JLG loans, and the urban consumer that is a credit cards that is over levered . We have been cutting risk and increasing focus on recov

ery. In credit
cards, the slippage was INR533 crores as compared to INR606 crores last quarter. We had spoken extensively on the transition impact last quarter.
I'm happy to share that the team has now stabilized, and we are continuing to see improved trends in both arresting slippages as well as resolution rates in delinquent pools. We had said in the past that improvement will be seen in Q3 and will become even better in Q4, and we continue on this track.
In JLG, we have seen elevated slippages this quarter. The net slippage is at INR521 crores as against INR231 crores last quarter. This was expected given high SMA -1 and 2 balances that we had seen as at September 30, 2024. In the JLG segment, the situation on the ground has been in a flux for most of the past months, but December has seen the first material u ptick in collection efficiency and the recoveries of old NPAs.
We saw good improvement in bucket one collection efficiency in December 2024 at 98.4% as compared to September 2024 which was at 97.5%. However, as October and November were relatively similar to September levels, we expect the slippages to be broadly simi lar in Q4 as compared to Q3. We expect to have a better resolution rate from delinquent buckets and also a higher recovery from NPAs. The improving trend witnessed in December, which we believe should sustain and improve will result in material reduction in slippages Q1 FY '26 onwards.
We are monitoring Q4 and if the collection efficiency continues picking up, we can feel a bit more confident of where this business will finally settle. This situation is being addressed through additional provisioning in this quarter. We continue to carry a contingent provision of INR273 crores which will minimize impact of higher -than-normal trend slippages. And this, along with the steady PPOP, which we built consciously over a period of time, will hold us in good stead.
Also, we are observing weaknesses in the consumer segment, both rural and urban and therefore, we have started taking risk actions. So that there is no outsized impact for us in FY '26 and beyond. This includes taking risk mitigation steps such as CGFMU co ver for incremental disbursals in JLG. We now have a cover on approximately 42% of disbursals in this segment, which was 25% in Q2.
Now what does it mean for the growth? Our growth opportunities come from our wholesale and secure d retail business, which continued to deliver growth , quality and profitability, and we continue to grow this steadily without impacting the financial dynamics. Our secured retail

business grew well with a large focus on branch catchment area customers. The affordable finance business is still young, but tracking good quarterly growth.
This is more a medium and a long -term play for us. And here, we are not chasing just yield but focused on a reasonable ticket size with customers for whom we can be meaningful full -service bank in the future. Our PPOP this quarter plus the two one -offs that Jaideep will discuss in more detail, have given us enough resources to substantially provide for most of our JLG pain up to this quarter.
Thus, we have lower NNPA of 0.53% and a higher PCR of 82.2%. We hope we can do the same in Q4 through our contingency reserves, which we haven't utilized thus far. The primary objective is to establish clarity on focus areas and ensure clear risk guardrail s while recovery

efforts continue.
Lastly, to summarize. Our objectives of strengthening the balance sheet on both the sides. Quality assets and the granular deposits will continue and, in fact, increase in pace notwithstanding the near -term challenges in unsecured lending, which in a measured way will continue to moderate as a proportion. As such, with these measures, we are minimizing any potential impact on the balance sheet stability. Our risk filters across the organi

zations have been
strengthened in response to changes to the macro environment around us.
Our biggest achievement and priority has been to ensure coherence in whatever we do. While we started RBL 2.0 as a set of 4 independent business verticals with no material cross -sell and cross -leveraging resources. We have, over the last 2 years, achieved significant consolidation by way of operating synergies, cost, customer segments and most importantly, making customers part of the overall bank franchise. Ther e's a long journey ahead of us on this. And this, we believe, is the strength that will stand as well, not just in FY '26, but years beyond and in some manner -- sorry for the disruption.
And these kind of disruption will continue to come be it a business or be it a technology. We are very well prepared to face and get out of it successfully. Our biggest achievement and priority has been to ensure coherence in whatever we do. While we starte d RBL 2.0 as a set of four independent business verticals with no material cross -sell and cross -leveraging of resources. We have, over last 2 years, achieved a significant consolidation by way of operating synergies, cost, customer segments and most importantly, making customers part of the overall bank franchise. There is a long journey ahead of us on this.
And this, we believe, is a strength that will stand us well not just in FY '26, but years beyond. And in some manner, will ensure we help us in maintaining a strong PPOP. There has been a lot of discussion on growth. I would say for us, growth is important but it is critical to have a profitable growth with appropriate risk. And we believe plenty of opportunities lie at this convergence for us.
In my mind, there are four Cs that can give us sufficient lift besides growth, these being Cost of Deposit , Cost of Operations , Cross -Sell and Cost of Credit . I will now ask Jaideep to take you through other financial parameters in detail.

Jaideep Iyer: Thank you, Mr. Kumar, and good afternoon, everyone. Briefly touching on other aspects of our financial performance. On advances, we grew net advances by 13% year -on-year to INR90,412 crores and retail advances grew by 19% year -on-year to INR55,199 crores. The retail wholesale mix now stands at 61:39. Our secured retail advances grew at 38% year -on-year.
And as we have been saying, this remains a core focus area for us. Our total deposits grew 15% year-on-year to INR106,753 crores and CASA ratio now stands at 32.8%. Our granular deposits, basically the deposits below INR3 crores, grew faster at 20% year -on-year and 3% Q -o-Q to INR53,719 crores and now stands at 50.3% of our total deposits.
This has been an area of focus for us for the last several quarters, and we are happy to kind of progress steadily on this front. Our net interest income was 3% year -on-year, up, but down 2% sequentially at around INR1,585 crores.
NII growth was impacted on two counts: lower disbursals in the JLG business as well as increased slippages causing interest reversals. Our cost of deposits was 4 basis points higher sequentially at 6.57%. And similarly, cost of funds was up by 6 basis poin ts at 6.63%. We expect this to be largely steady in this range for the next 1 or 2 quarters.
Our net interest margin was down sequentially to 4.9% this quarter, mainly, as I said, on account of interest reversals and lower disbursals in the JLG business. Our total other income was at INR1,073 crores this quarter, 38% higher year -on-year and 16% sequentially. This other income had the benefit of a gain from a onetime gain on sale of an investment which we did in Q3. However, happy to report that core fee income grew 19% year -on-year and 6% sequentially to INR871 crores. Our total net income was up 14% year -on-year to INR2,658 crores. Without the specific gain on the investment we had, it was u

p 8% year -on-year. In a sense, despite pressures
on margins, we've been able to offset some of the impact through better fee income performance. Our opex grew 7% year -on-year and 2% sequentially to INR16,62 crores. Our cost -to-income ratio was 62.5% this quarter as against 64.2% last quarter and 67.1% same quarter last year. Our PPOP this quarter was at INR997 crores, up 30% year -on-year. Without the onetime gain on investment that I mentioned, our PPOP was INR853 crores, which was up 11% year -on-year.
Let me now briefly come to asset quality. We touched on the trend of slippages earlier when -- in Mr. Kumar's remarks. In terms of NPA ratios, gross NPA was at 2.92% and net NPA was at

0.53%. Net NPA sequentially lower from 0.79% we had in September. Prima rily because of the accelerated provision that we have taken on the JLG book, JLG NPA book. Consequently, at the bank level, the PCR improved to 82.17% versus around 73% last quarter. I will give a little bit more details on this in a minute.
Our net restructured advances stood at 0.32% against 0.38% as we continue to see paydowns by customers. So this has become now fairly irrelevant. We are seeing improvement in trend in recoveries as well from NPA and technically written -off book in the unsecured segment this quarter. And I think with improving slippage trends that we're already alluding to, this recovery from NPAs and writt en-off portfolios should also improve.

On provisions, before we detail the provisioning charges, I just wanted to clarify on the benefits we had in this quarter from some one -offs. One was the stake sale that I spoke about, which was for INR144 crores gains booked in Q3 by the bank. In addition, we had a tax write -back of about INR150 crores in this quarter.
And these two benefits we have taken substantially and more into provisioning for our JLG book. So in addition to the normal provisioning policy in JLG, which is 25% every quarter, which translated into INR259 crores for this quarter. On a prudent basis, we have taken an additional INR414 crore towards the NPA in the segment. So totally, we provided almost INR680 crores or so.
So this provisioning on the entire GNPA of JLG takes us to 85% coverage in the JLG book. And in addition, we continue to carry the full contingent provisioning of INR273 crores, which should help us in dealing with what we expect to be still above trend slippage in Q4 and the idea would be to carry as little baggage as possible into the next financial year on this book.
In credit card, we had a provisioning net of recovery of INR473 crores, in line with our fairly aggressive provisioning policy. So in effect, in the unsecured segment, what we are saying is that we've seen asset quality challenges, but we have kept net NPA to fairly lower levels. And therefore, carrying less baggage to the next quarter, and we hope to do that even in the next quarter so that we start FY '26 on a relatively clean slate accompanied by even fresh slippages becoming more and more towards normalizat ion.
As I said earlier, we've seen declining trend in cards. We've also seen -- while we will see above trend slippages in JLG book in Q4, early bucket resolutions as we had published for December '24 makes us believe that we should start seeing normalization i n this portfolio from Q1 or Q2 onwards.
Our net profit as a result of the fairly high provisioning that we have taken, stands at INR33 crores for the quarter. Briefly on capital, our total capital, including profits was at 15.4%, and our CET 1 ratio was 13.7% as against 15.9% and 14.2% at the end of September. This is after the change in risk weight for JLG book, which we have taken from 75% to 125% in this quarter. Excluding the JLG risk weight change impact, our burn on capital would be about 10 basis points in CET 1 and total capital approximately. And I think th

is trend will also continue given the fact
that the higher risk -weighted book is expected to grow slower as we go forward. And therefore, we expect to be fairly well capitalized for the foreseeable future. W ith this, we'll open the session for question and answers.
Moderator: Thank you very much, sir. We will now begin with the question -and-answer session . The first question is from the line of Mona Khetan from Dolat Capital.
Mona Khetan: Sir, just one query on the collection efficiency. So the 98% number that we see for December, does it include both standard and delinquent book or just the standard portfolio? Yes.
R. Subramaniakumar: It is the current book, which is due on that particular month. Collection will be more.

Mona Khetan: Sorry, this is just the current book ?
R. Subramaniakumar: Yes, it is just the current book, which is falling due in that particular month out of INR100, we collected INR98.4, which was INR97.4 the previous month. And the early indicator from January makes us -- the trend is continuing the same way.
Mona Khetan: Got it. And I missed the gross slippage number on the MFI portfolio ?
Jaideep Iyer: Gross slippage is INR536 crores and the net would be INR521 crores.
Mona Khetan: INR536 crores against last quarter at about INR2.4 billion? INR240 crores ?
Jaideep Iyer: Yes, correct. That's correct.
Mona Khetan: Got it, okay. I'll come back in the queue.

Moderator: The next question is from the line of Rikin Shah from IIFL Securities.
Rikin Shah: A couple of questions. So while we acknowledge that the collection efficiency has improved sequentially, but it is still only current bucket collection efficiency, which usually has to be well north of 99%. So seems like while the trend is improving, there are still going to be significant forward flows. And you already alluded that October, November was weak, but what gives us enough confidenc e that even 1Q slippages will start kind of trending down ? So that's question number one.
The second question is on capital. So while the growth rate is still materially higher than the ROEs, we are still consuming capital. Of course, this quarter, there was an impact of higher risk weights. But how long do we expect that the current capital le vel will sustain our current growth ambitions and when could we potentially look at next round of capital raise? That's point two.
And third one is more data keeping question. If you could spell out segment -wise gross slippage and net slippage for wholesa le, cards, MFI and other retail, that will be helpful ? Thank you .
R. Subramaniakumar: Okay. I'll just take the CE first. And if you look at it, I'll just give a small background which you must be well aware. When we were in the month of March, we did the current bucket resolution of 99.47%, that was the peak and the best. So which resulted in the Q1 to have the least slippages because of that particular entire trending.
And it started moving down from the month of June, July and which started showing up in the month -- from the Q3, which is impact which you're seeing in Q3. So whatever the current trend of 98.4% basis the local assessment and the field performance on a da ily basis till the 15th, we are of the very firm belief and confident that this will never go below, it will move up.
Our assessment is that from next month onwards, or by March, definitely, we will be in a position to reach the current bucket efficiency of 99.1%. So whatever that October, November, which we saw it was in the odd 97%. This will have an impact in Q4, but the trending which we are seeing it from December onwards, will show us a lesser slippages from the month of March onwards.

So there will be a little, small -- lesser slightly the -- because of this March effect in Q4, but will be more or less, whi

ch we also said in my conversation -- in my statement earlier, for which how we are prepared. One is the impact, second is the impac t preparation. We said that we still have the contingent provision of INR273 crores, which we are already holding it with that .
And our steady PPOP, which we have seen it all along, we'll be in a position to consume it leaving no baggage or very less baggage to that of the Q1. This is the number one . And how we are confident of Q1 is December is indication for the March. And from January, February, March will be helping us to do in Q1. So we are sure that it will start trending down and reducing the slippages from Q1 onwards. With regard to the capit al and segment, I'll ask Jaideep to respond to you.
Jaideep Iyer: Yes, Rikin on capital...
Rikin Shah: Sir, before that if I can just seek one clarification on this. The tighter MFIN guardrails which were going to be implemented from 1st Jan are now pushed out to 1st April. So isn't there a possibility that once the tighter guardrails get implemented from 1 st April, the collection efficiency can potentially further dip down given -- specifically for the overleverage customer profile. So how do we think about that?
R. Subramaniakumar: See, let me just clarify two points here. As far as the MFIN guidelines is concerned, it has 2 components. That is one in respect to the number of institutes, second, in respect of the amount peak. Only the number of institutions which -- from which they can borrow has been pushed from 1st of April. The other guardrail is already adapted by everybody, including us. We have already done in respect of the institutions also.
So partly, it has been adapted in this quarter itself. The second, if I look at my portfolio and other things, the initially while sourcing, we had around 5% to 6% of our borrowers who were skipping this 1 plus 2. And whereas the portfolio today because of the overleverage from others, it's somewhere around 25% to 26%. And going by the feedback what we got, that is one trend we just like to escape. Others are all in a position to increase the current trend.
So we feel even if the MFIN is going to be pushed down, it is going to improve the quality of the portfolio going forward. This will not have an impact in respect of the existing portfolio. The existing portfolio -- only way to collect is only the collecti on efficiency, which we are seeing an upward trend and it will not get impacted.
Rikin Shah: Got it, sir. And sir, sorry to harp on this, but on our current MFI book, what proportion of the borrowers would be four or more in terms of the lender exposure, both in the number of customers as well as the value terms?
Jaideep Iyer: So about 10% to 11%.
Rikin Shah: This is on volume or value terms?

Jaideep Iyer: Both are similar.

Rikin Shah: Okay. Got it.
Jaideep Iyer: On Capital, Rikin, I think obviously, there is no question of looking at capital raise for the foreseeable future. I think we are bringing down our burn quite materially despite completely understand the low ROE scenario, but we don't expect, given the mix change that is happening automatically that the burn is going to be more than 10 bps a quarter. So we are -- we will be quite comfortable with up to 13% CET 1 or thereabouts.
And so we have easily 1.5 years right now to go on this. In terms of your data points on slippage, basically, ex cards and MFI or ex cards and JLG, there is hardly any gross or net slippage. On cards, the gross slippage was INR567 crores and the net slippage of INR533 crores. On JLG book, gross slippage was INR536 crores and the net slippage is INR521 crores.
Rikin Shah: Got it. And sir, just one more question, if I may squeeze in. With the higher additional provision on JLG now, I understand the portfolio is 85% provision coverage. Going ahead, what kind of provisioning policy

will we be following for JLG book? Earlier, w e believe it used to be 25% on 90 DPD. Is there a fundamental change in the provisioning policy?
Jaideep Iyer: So Rikin, no, I think we will want to keep provisioning high in Q4, given the fact that we will expect high -- above trend slippages in Q4. After that, we would want to revert to our 25%, and we will see any change in provisioning policy when things get settled down in a few -- in a couple of quarters.
Moderator: The next question is from the line of Piran Engineer from CLSA.
Piran Engineer: Just firstly, continuing on cards. Last quarter slippages was INR600 crores, this time, INR570 crores. What's really the view here? Because last time it was impacted because of the migration and collection responsibilities. And we were of the view that in the next couple of quarters, we would go back to that 5%, 6% credit cost. So any outlook on credit cards would be useful ?
Jaideep Iyer: So Piran, I think we would expect -- as we have said earlier, we would expect the slippage trend both gross and net to keep trending down. I think it's a little premature to kind of really say when do you expect normalization because we still are in a slig htly uncertain environment. But if you force me to make a guess, I would say somewhere in the Q1 to Q2 time frame.
Piran Engineer: Got it. Okay. That's fair. Secondly, just on Rikin's question, have you all started adopting the norms that come from 1st April already, like proactively? Or did I misunderstand that?
R. Subramaniakumar: Yes, yes. We have already adapted as a prudent measure of the MFIN much earlier. It was -- in fact, we have a little extra over and above what has been said by MFIN, one in respect of the family as a unit, we are looking at it in our assessment, which norm ally was not there by others also. The second is that they are talking about delinquency of 60 -plus and we are talking about 1 plus DPD also as part of our underwriting. This is over and above MFIN point 1 plus 2 and the INR2 lakhs and above has been adapted by us.
Piran Engineer: Okay. And just as per your assessment in the industry, has everyone started adopting this 1 plus 2 norm? Or are you one of the few people who are proactively doing that?

R. Subramaniakumar: See, I may not be able to precisely confirm or otherwise. But based on what the market information I got is that 1 plus 2 is getting postponed and which has not been adopted by many of them, whereas that the peak value of INR2 lakhs has been adapted to most of them.
Piran Engineer: Understood. Okay. And just lastly, on MFI, sir, if you could just clarify if December has been better than October, November and Jan is also on a good trend. Why are we saying that slippages will remain elevated in 4Q as much as 3Q?
R. Subramaniakumar: We had October, November, the CE was not in the range of 98.5%. It was in the range of 1% less. So we feel that this will play out in the month of January and February. In the month of March, which will play out basis that SMA -0, the collection efficiency of December, where it will be slightly down. That's why we said that it will be -- ballpark figure will be that, it will be slightly less also because just as a matter of prudence, we thought that it will be in the same trend. So we are preparing ourselves to face that eventuality, so that no baggage carries forward.
Piran Engineer: Okay. But it's fair to say that -- yes, sorry, please go ahead.
Jaideep Iyer: And just to clarify, basically, bucket one efficiency is a leading indicator. So by definition, what you see in December, will play out in the 90 -day time frame.
Piran Engineer: Correct. So basically then, at least in 4Q, the slippage into SMA -0 and SMA -1 will be lower than 3Q, is my understanding correct?

Jaideep Iyer: Yes, yes. That is correct.
R. Subramaniakumar: Correct.
Jaidee

p Iyer: Which is why we're saying that Q1 should come down in terms of slippages.
Piran Engineer: Okay, okay. So it's just seasoning that a Stage 2 loan moves into Stage 3, and that's what will happen. Got it.
Jaideep Iyer: Correct.
Piran Engineer: Got it, got it. Okay, that's it from my end. Wish you all the best.
Moderator: The next question is from the line of Kunal Shah from Citigroup.
Kunal Shah: Yes. Firstly, on LCR. So quite a sharp improvement out there. So maybe anything done with respect to the quality? No doubt you indicated in terms of the granular deposit growth. But besides that, in terms of the outflow rates and all, how are we seeing it and what has clearly led to this improvement?
Jaideep Iyer: So Kunal, yes, I think the outflow, both gross and net, have trended down for us last couple of quarters. And I think that's a conscious trend both from a granularity perspective as well as from an individual balances perspective. So -- and I think this wa s also in preparation to any potential, if at all, change in LCR guidelines. So yes, that's a continuous effort. And hopefully, as that trend continues, our need for excess HQLA also keeps trending down.

Kunal Shah: Okay. And secondly, in terms of margins, so again, I think on MFI, looking at the overall operating environment, the growth could be lower. Credit card also, it will take some time before we see the entire transitioning towards the newer partners. So then maybe obviously, there has been some element of interest reversals, but definitely should we look at the overall margins being down even from the current level because of the pressure on yields and some maybe cost of funds also staying elevated ?
Jaideep Iyer: Yes. So Kunal, I think for Q4, we will expect margins to kind of trend down a bit given the fact that we will have -- continue to have standard -- yes. I mean, proportion of standard advances in the JLG book and cards as a proportion to total standard adva nces will trend down in Q4 as well before it starts to stabilize in Q1. So yes, Q4 margins, my guess would be it should come down.
R. Subramaniakumar: But it will start moving up.
Jaideep Iyer: Yes.
Kunal Shah: Okay. Okay. Got it. Yes.
Jaideep Iyer: Yes, we should start -- the trajectory should change sometime in the early to middle of next fiscal.
Moderator: We'll take the next question from the line of Anand Dama from Emkay Global.
Anand Dama: Sir, you said that credit card slippages also should come down in fourth quarter, whereas the micro finance slippages might remain elevated in the fourth quarter. So in fourth quarter, if we continue to make these kind of provisions with no one -off gains being there, can we expect that we might run in to a net loss in fourth quarter?
And from first quarter onwards, I think we are entering into a far better zone where we are largely done with the heavy lifting in terms of provisions and micro finance and credit card and then on we'll move on away from -- maybe, say a better thing from p revious quarter, is that the right understanding?
Jaideep Iyer: Yes, no, Kunal I think -- sorry, Anand, sorry. I think the -- while nothing can be certain, but it's highly unlikely that we will want to go into negative territory on the profit because we will -- depending on the discussions with the Board want to use th e contingency provisioning as well. And along with that and the PPOP, we should be comfortable in minimizing any carry forward -- or material carry forward on MFI without going into negative territory is the starting estimate that we will hav e.
Anand Dama: And secondly, sir talked about cost control, CASA and credit costs. So I think the other factor certainly will take time. But on cost front, what exactly are you planning to do in FY '26 to control it, that maybe if you could just elaborate on ?
R. Subramaniakumar

: Anyway, you would have seen that our cost -to-income ratio is in 62%, which is what we saw it. It may trend 1% up or down, depending on how it is going to pan out. There are -- the cost control is definitely a focus. There are multiple -- actions are being taken. Some of the actions,

if you see that if suppose I'm going to have a lesser sourcing of the card, that itself is going to be the lesser -- that may be temporary in one.
But there are consolidations, there are process simplifications, there are improvement in the systems which are less productive is being made productive. All those things are being taken, which will play out as we move forward. It cannot give me an immedia te result, but these are the ones which will be able to sustain the level what we are seeing it now.
You would have seen that our opex is more or less holding at the same level for the last 3 quarters. We will try to hold it, excepting for some investment in the capex , which is required for -- so that depreciation will be definitely adding up to it. But more or less, we'll be in a position to hold it at a similar level.
Anand Dama: Sir, any number do you have in mind in terms of cost income ratio or cost to asset ratio over 2, 3 years?
Jaideep Iyer: Anand, I would prefer to give specific guidance here. I think we are in a little bit of uncertain territory for a quarter or so. So please bear with us to give guidance on this more specifically for some more time.
Anand Dama: Jaideep, we are actually talking about next 2, 3 years. So can we get to that less than or closer to 55% kind of a zone?
Jaideep Iyer: I...
R. Subramaniakumar: I mean instead of throwing that kind of numbers, I would try to say that the cost to income, which was high is being controlled now. We will continue to take the efforts. And I would rather resist from giving any specific number now, which you can hold it. But you will see that effect in a coupl e of quarters. Thereafter, we'll be able to see precisely where we'll move down.
Moderator: The next question is from the line of Lavish Korwal from Axis Bank.
Lavish Korwal : Yes. Just one question. If we come to Slide number 26, it shows credit cards have -- credit card have fallen down basically -- there are 2.6 lakh credit cards that have been issued during the quarter. However, the card -- number of cards in force have decreased. So what is the reason for that?
Jaideep Iyer: So we will always, Lavish, have some attrition on cards, which is quite normal. So typically, unless you originate a certain -- set of certain cards unless you, let's say, compensate for the attrition, the net book will go down. So even if you look at the previous quarters, you will see that the net accretion is less than the growth additions that we disclosed. So there is always attrition, which will happen.
Moderator: The next question is from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Sir, wanted to check on one thing of our 10 million -plus JLG customers, there would be a certain amount of non -MFI retail loans as well, right? If you can ballpark say, do we offer non JLG non -MFI loans to these customers or we don't? Industry data suggest s that there is some INR1.5 lakh

crores of non -MFI retail loans available to JLG customer. What is our practice? And what could be that quantum, ballpark?
R. Subramaniakumar: See, right now, this portfolio, we are only having JLG, we have not worked anything beyond that. We will just wait for an opportunity to come after the normalization takes place. Right now, it is only JLG.
Jai Mundhra: Okay. So we don't offer any 2 -wheeler or affordable housing or gold loan, etcetera, to these customers, right, as of now?
R. Subramaniakumar: At this point of time, no.
Jai Mundhra: Sure. Secondly, sir, now you mentio

ned in your opening remarks that the growth will be driven by wholesale and secured products and the unsecured proportion may come down. But still, if you were to sort of highlight the business growth overall, at an overa ll basis for the next maybe 2, 3 quarters till the time we are out of this asset quality headwinds if you have any commentary there ?
R. Subramaniakumar: For the near term, I can say that we will be holding at the same level of growth that you have seen in this quarter. And the medium term, we will revise it after we come out of this normalization on 2 quarters.
Jai Mundhra: Sure. And lastly, sir, a small clarification. I think you mentioned 10% to 11% is the borrower who are four lenders plus. Did I hear this correct? And if you have the number, same number for maybe two or three lenders. I mean, because just to get a delta if -- in the -- MFIN guardrails are going to get impacted -- going to get implemented ?
Jaideep Iyer: So four plus, as I said, in about 11% or so and at -- and 4 about another 7% to 8%.
Jai Mundhra: So three -plus is roughly 85%. Up to three is 85%?
Jaideep Iyer: Yes.
R. Subramaniakumar: Yes, yes.

Jai Mundhra: Right. And sir, if I may just ask a small clarification again. Apart from three lender cap, all other MFIN guardrails, right, the INR2 lakh limit, I think you already mentioned, but this disbursement wherein lenders had stopped disbursement anyone who was beyond a certain DPD, maybe 60 DPD customers that you have already implemented, right? And the body...
R. Subramaniakumar: So we have tracked ours is a little stringent than what you have seen in the MFIN. Any 1 DPD also we are not lending it. Our BRE will not consider anybody, not only him, we are looking at the family also, which is -- I mean, you may say that our risk under writing standards are a little more stringent than what you find in the MFIN. And we have already adapted all the models, whatever is postponed also we have done it. Anything else you want to...?
King shuk Guh a: So just to clarify, keep aside the guardrails. We have never actually lent to any customer who is even one DPD in our own book or outside. And as Mr. Kumar clarified, we also look into DPD

at the family level. So I would be essentially pulling out Bureau for the entire family member. And if there is any loan which is delinquent over there, we would not lend. So we have maintained this for quite a number of years now.
Jai Mundhra: Right. And just a small thing, sir, I mean, how frequently does the data gets refreshed at the Bureau level for MFI and maybe because I think there was a proposal wherein the Bureau were asked to refresh the data or update the data more frequently. This is like real -time basis or how frequently does it gets refreshed?
Jaideep Iyer: So we have moved from monthly -- I mean, as in all lenders have moved from monthly to every fortnight basis RBI guidelines, effective 1st Jan. So now it's every 15 days.
R. Subramaniakumar: Yes.
Jai Mundhra: Okay. So this is MFI plus other retail also or this is only applicable to MFI?
Jaideep Iyer: All retail.
Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: So I just wanted to know, could we like give any kind of guidance how we are looking to end FY '26 in terms of the loan growth or credit cost or NIM or ROA or any of these factors that we want to look forward for FY '26?
R. Subramaniakumar: At this point of time, I hold back the FY '26 guidance, which we will come back after this quarter is over.
Darshil Jhaveri: And sir, any -- how do we see Q4 going? Like I think we said some kind of NIM pressure will be there. So what do we look at -- like how do we look to end the year at, sir?
R. Subramaniakumar: Q4, you divide into two parts. One in respect of the slippages of this unsecured part, other on

e
is in other book. Other book other than the unsecured, we don't see any stress in the book at all, and it is behaving properly, and it is going to grow the way we have been growing in Q2 -- on Q3.
In respect of the unsecured, we have already toned down , you would have seen that we degrown card and personal loan sequenti ally, and we have grown by 8% in card and in the JLG we have degrown , that will continue in Q4 as far as this because the current environment doesn't make it to be expansion.
And with regard to our slippages, we see that, as you said, that the card, the slippages we are seeing is trending down and in Q4, it will be further down. And in respect of the MFI, we have already said that it will be lower than the Q3 or more or less eq ual to Q3, but Q1 onwards it's going to be trending down. That is what we see in Q4. Do you want to add something?
Jaideep Iyer: Yes. I think, Darshil, the focus for us would be to kind of clean up as much as possible so that we carry negligible net NPAs in our unsecured portfolio for next year.

Darshil Jhaveri: Okay. Okay. Fair enough, got it, sir. And sir, just a question regarding MFIN, like I think we said around like 20% of the book is like three lenders plus so with the new loans coming, how would the industry work? Like so we'll not be able to lend to these people? Or how would -- so is it like a 20% of book is now like into -- it will not be viable for us. So how would that impact our book and growth in that sector, sir?
Kingshuk Guha : So basically, I think the entire problem that we are seeing right now is because of overleveraging. And in any case, we would not want to lend to these customers who already have two loans, three loans.
R. Subramaniakumar: Three plus.
Kingshuk Guha : Three plus. So basically, while disbursal might have looked simpler, if we did not put these

guardrails, but we will again face a similar kind of a problem in the future so.
R. Subramaniakumar: If I understand your question that, what is the availability of the -- opportunity for lending. That is what you are asking if that is the case...
Darshil Jhaveri: Yes, yes, yes correct sir, because we've -- yes, how would we grow that because we're going to grow -- lend to a lot of people and it's an industry -wide phenomena where a lot of people are overleveraged. So, I just wanted to know about that sir like in terms of how would we be able to disburse?
R. Subramaniakumar: See I'll tell you -- yes, first thing is that we understand the financial inclusion is the first step for the formal induction of anybody into that financial sector itself, the moving away from informal lending sources to the formal lending. So, there will be enough opportunity of the NTCs available. The new to credit is new to the banking is always available, which is a fairly, fairly big number.
And which is also somewhere big number for us. And where the problem will come is that while doing a renewal, if suppose the person has been overleveraged, you maybe may not be in a position to lent to those overleveraged customers. So the first impact in my assessment, I may be wrong, I'm just making an assessment based on what you understood in this industry.
In our view, the renewal part of it may come down because of this overleverage, the NTC part of it, which is around 60%, what you have seen, it is likely to be there. And the ETB will also be there, which is going to move to that because we have around 85% of the customers are already there in less than three , so that pool is also available for our renewal. So I don't think that opportunity is taken away.
But in my view is that we will be moving towards a situation where the common underwriting will be standard across. So somebody is giving more and more loan and then putting the entire ecosystem into the trouble may not happen because it will take

a couple of quarters for them to
streamline and stabilize into this. Once it does, this industry will become a streamlined one.
Darshil Jhaveri: Okay. Great, sir. That's great to know. And sir, the last question from me, what is the credit cost you expect for the '25?

R. Subramaniakumar: What, can you repeat?
Darshil Jhaveri: Credit cost for FY '25, sir?
Jaideep Iyer: Credit cost for FY '25 ?
R. Subramaniakumar: Overall book.
Darshil Jhaveri: Yes.
Jaideep Iyer: So we only published 9 months. I think given the fact that we are saying that MFI slippages will be, give or take, similar to Q3, maybe marginally less, cards, marginally less. So -- but we will want to kind of, as I said, clean up on whatever we can and t ake extra provisioning. So, I think the bigger focus for us then looking at credit cost for Q4 would be to see that we carry next to negligible net NPA position on our unsecured businesses.
Cards, we already have a fairly aggressive provisioning policy where we take 100% provisioning in 120 days. Micro finance, as you know, we have stepped up in this quarter. and I think we'll have to do something similar so that we start FY '26 on a relative ly clean slate on these businesses. And hopefully, we also have lower slippages given improved resolutions in both these businesses. So that would be the focus rather than looking at credit costs as such.
R. Subramaniakumar: Just simply to summarize for clarity. We have four verticals as far as the credit costs is concerned, we have our wholesale banking and we have retail secured. Most of them are not at all consuming anything as far as slippage is concerned. Even if it is done, it is consumed through the recovery also of the old one. So that sets aside around 4 0% plus 30%, 70% of my book.
The second, you are coming to that remaining 30%, the credit card micro finance. Jaideep very clearly explained whatever the slippages we saw in the Q3, we consumed through that a one -off what we got. So that means this is negligible, it's getting carry forward .
As far as credit card is concerned, it generally doesn't get carried forward because it is being consumed through our PPOP itself. So concern and focus will be that how to reduce the slippage in card, which the trending makes us to believe that it is going to be trend down. And coming back to the micro finance, as you said that the next quarter is likely to have some little more impact than what we saw it in Q2 to Q1.
That also we are preparing ourself because we have something under the contingency provision and PPOP, both of them will be able to support and substantiate so that we carry a very least baggage to the Q1. Q1 onwards, it is going to be a -- I mean I can si mply put it in words, this is business as usual.
Moderator: We'll take the next question from the line of Suraj Das from Sundaram Mutual Fund.
Suraj Das: I have three questions. The first one is a clarification. So, when you say that in the MFI, the

provisioning policy is 25% every quarter we see some 1 DPD or is this from 91 DPD?
Jaideep Iyer: It's for NPAs so by definition 90 DPD.

Suraj Das: Understood, sure. The second question is, sir, on the collection efficiency, the improvement that you have seen in December, if you can give some geographic color in terms of where -- I mean is this improvement across broad -based all the states? Or how has been the situation across states? And also, if you can just talk about a bit more about Bihar, UP and probably Rajasthan, which would be your top couple of states.
R. Subramaniakumar: Just to first confirm , I'll say 10 states where we have 93% as a coverage has shown an improvement in the collection efficiency in December over November. I'll just over to him for a...
Kingshuk Guha : Yes, right, so to give you comfort of the

se large states that we have, Bihar specifically is one of the states, which is inched very close to 99%. Other than Bihar, there are 5 states which are -- which have touched 99% or even crossed. The total number of states, which are in the range of 99% now is about 55% of the total portfolio. And hence, that's where the confidence comes from. And as Mr. Kumar mentioned, there were only two states which were slightly lower than the November month.
R. Subramaniakumar: Those two states are contributing only 7% of the entire book, 93% is showing a positive uptrend of the collection. And in fact, five states have crossed 99%, as he said.
Suraj Das: Sure, understood sir. And the last one is, sir, on the SMA book, INR550 crores, what is the outstanding provision against this book that you have as of today?
Jaideep Iyer: No, unfortunately, we don't make provisioning on the SMA book. So we have focused on taking significantly high provisioning on the NPA book. Yes. So we -- yes, so we are on Indian GAAP so we effectively don't have provisioning on SMA book. Yes.
Moderator: The next question is from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: Sir, I just want to understand in the MFI, the 43% disbursals which are getting covered under CGFMU, so what is the thought process on which you choose asset cover? Sir, why not 100% for incremental disbursement?
R. Subramaniakumar: So it is -- CGFMU, if I remember broadly, the eligibility criteria is depending on the purpose for which it has been disbursed as well as there are certain things which is not being covered. For example, if I remember very right, because I don't have a com plete answer to it, so I'll ask somebody to answer it off line. All the eligible accounts under the CGFMU are being covered. That's the one broad statement I can make it. Why that is not reaching the other one, I will ask team to reach out to you and explain it.
Jaideep Iyer: Yes, we'll clarify this, not carrying that right away.
Rohan Mandora: Sure, sure. Okay. Second was on the non -MFI non -cards book. Is it possible to give a sense on what kind of PPOP would that be contributing in Q3 just to get a sense that incrementally, how is that book contributing on profitability?
Jaideep Iyer: On retail or entire advances of...?

Rohan Mandora: Either ways is fine. Just wanted to get a color of excluding these two segments, how is the growth on profitability shaping up?
Jaideep Iyer: So wholesale book is doing somewhere in the 2.5% to 3% PBT range. And the secured retail is still not yet breaking even. We expect that to happen over the next few quarters.
R. Subramaniakumar: But within secured retail, there are certain components who have become profitable. That is wheels, the tractor is profitable. It is just giving us a contribution. And in respect to the agriculture and BBG, they are positive. And only thing is the housing loan, which we started recently, is just waiting for that to be breakeven. And the mortgage loan is also -- both of them are only waiting. All other things have become more or less profitable, there is a neutral.
Jaideep Iyer: Sorry, wholesale is about 3.5%.
R. Subramaniakumar: 3.5%.
Rohan Mandora: 3.5% PBT, okay. And sir, on the corporate -- large corporate piece and strategy we had indicated, we'll not go that meaningfully because of the lower yields. But this quarter, we have shown a 4% sequential growth. So just want to understand the thought pro cess here.
R. Subramaniakumar: As far as the large corporate is concerned, we have already stated in a couple of quarters before. It is not going to -- book building method we will not do. We will be doing that kind of business with those corporates who will be giving us an allied busin ess like the forex or trade finance or

these kinds of businesses .
Those kind of business we will continue to

do because you could have seen that. You can easily
see that the contribution in the other income, which is consistently growing at the rate of around 25% to 28%. We will be looking at those kinds of corporates with whom we get a moderate return plus all additional businesses.
Like we get a liability business, we get our forex business, we get trade finance business. We also get the salary accounts. There are multiple cross -sell opportunities we are seeing in those corporates where we are going in. The second, there are also some good relationships, which we have been enjoying it since past where we have a good forex business and other business we are doing it.
Those corporates will continue to give an enhancement as and when there is a need for it to come up. That is the thought process as far as the corporate book is concerned. And within the wholesale commercial, you have seen that is something which is growin g.
Rohan Mandora: Right. And sir, next one on this deposit piece. So if you look at the savings deposit, I think there's a 12% growth in last 6 months. So just want to understand if there is any lumpiness or it's all granular deposits? And we have not grown term deposit thi s quarter so -- despite we having a relatively higher rates, so what was the reason here? And as an associated question here, was that cost of funds despite SA mix I think has gone up. So what is the average cost of SA during 3Q and 2Q?

R. Subramaniakumar: The cost of fund , as far as the strategy of CASA as far as the TD is concerned, first, it is directly linked to my ability to deploy. And the second, it is going to be the decision of the granularity.
You would have seen that my savings fund has moved up considerably by ar ound 12%, 13% or it is more than that, and it reached around INR20,000 crores.
Majority of them, I don't think that we have anything which is a higher rate because if you look at our rates which we give, you always give it to the better rate for the SA less than INR3 crores, which are mostly driven by individuals only. In TD, if you see that it is flat, it is mainly because that we are not chasing any bulk.
And wherever the reduction you would have seen, it is a bulk because granular CASA and granular TD put together, which we call it less than INR3 crores, itself has grown by 20%. So the granularity concept is just holding us well. And wherever you see the less one, it is mainly because of that there is no need for us to raise deposit, would have seen the CD is also coming down.
Rohan Mandora: Sure. And sir, lastly, just want to reconfirm on the transaction...
R. Subramaniakumar: Hold on, hold on, you asked second question?
Rohan Mandora: The average cost of SA.
Jaideep Iyer: Yes, we are at about 6.4%.
Rohan Mandora: 6.4%, okay. And just lastly on the slippages in the cards portfolio, the transaction linked part was nothing in 3Q, right? It was all business as usual all the -- the transition linked slippages because of that Bajaj thing, that is not there in the 3Q slippages. Most of the credit card slippages in 3Q were business as usual due to the economic environment, macroeconomic environment?
Jaideep Iyer : Right, you're understanding is right.
Moderator: We'll take the next question from the line of Aditi Na wal from RSPN Ventures.
Aditi Na wal: So, I had a few questions with respect to the CC book. So one is, so in the last quarter, you have provided a split of what is the credit cost for the credit card book. So I just wanted to know what is the credit cost for this quarter and also the split betwe en the existing BFL cards and the non - BFL portfolio in terms of credit cost?
Jaideep Iyer: So Aditi, we are -- we gave that information specifically in the context of transition. As we said that, that is largely settling down except for tail. So there is no need for us to now look at it se

parately. So we are not providing that split effectively, and I'm not carrying that right now.
Sorry, what was the second question? The book split should be approximately 60 -40 or 61 -39 between BFL co -originated book, Bikram BFL co -originated versus other co -brand plus just BFL, non -BFL book.
Bikram Yadav: So BFL book would be about 55%. Other co -brands would be about -- for rest of it, it would be a further 40 -60 between rest of it.

Aditi Na wal: And what is the direct sourcing number?
Bikram Yadav: So today, whatever we source, about 55% is directly sourced by us.
Aditi Na wal: Okay, got it. And just the credit cost for the credit card book overall?
Jaideep Iyer: So we provided about INR470 crores on the cards book, cards plus the PL book.
Aditi Na wal: Okay. So okay, in the credit cost for the credit card book, you also include the PL to credit card customers within that calculation?
Jaideep Iyer: Yes, I mean we look at it combined because currently, our PL book is pretty much only given to our existing card customers.
Moderator: The next question is from the line of Kunal Shah from Citi group.
Kunal Shah: Just was broadly trying to understand in terms of the MFI provisioning. So now INR922 crores of slippages and almost INR540-odd crores of SMA bucket. So, if we look at it closer to INR1,470 odd crores of this stress pool, on which we are already carrying almost like INR790 crores of provisioning.
Okay. So I would say still, even if I include SMA, then it still seems to be like 53 -odd percent coverage from 85% on the GNPA. So just to infer maybe like the incremental provisioning which was done of INR414-odd crores maybe that should broadly be absent in the -- maybe if we look at it not too much of flows than the normal slippages, you are also indicating that at least Q4 slippages will be similar to that of Q3, at least not going up. But this entire INR414 crores accelerated that might not be require d.
And still, we have 1% contingency buffer as well. So fair to assume that on the provisioning, it could be like at least INR400-odd crores kind of a delta in the next quarter? Or how should we look at it?
Jaideep Iyer: Yes. So Kunal, you're right in assuming that the step -up that we did in Q3 will not necessarily be repeated in Q4 because we have to cont ain Q4 slippages and I think about INR130-odd crores of GNPA that we are carrying in this book, and we have a contingency buffer of approximately INR280 crores. So the outsized provisioning that we took on this book need not be repeated in Q4, but it will be higher than normal levels that we have seen in the past.
Ramesh Ramanathan : But Kunal, just to clarify, if we -- given how our intent is not to carry any baggage into Q1, so we would want to provide the INR135 crores, there is a balance on the net NPA as we entered Q3. And as much as we can on whatever slippages we see in Q4. And if we have to dip into contingency, we will do that.
So you will have some delta of contingency being used in the P&L if it comes to that. But it's I think fair to assume that if I'm saying my slippages are similar to where I'm seeing in Q3, we would ideally want to provide as much as we can in Q4. So you co uld see my slippages plus my net NPA, we try to utilize.

So if you assume my slippages are INR450 crores to INR500 crores plus INR135 crores, that is the amount of provisioning I will do. What comes out of contingency, we will see as we get close to Q4.
Kunal Shah: Okay. And contingency when we look at it, if I have to look at MFI, that will only be like INR65-odd crores. Balance is still towards current PL because generally, we tend to maintain 1% contingency on the unsecured. So you are saying that it's like INR290-odd crores of contingency, but that can be utilized for MFI could o

nly be INR65-odd crores?
Ramesh Ramanathan : See, we'll have to go back to the audit and board on this. But just to clarify, in our cards business, we provide fully at 120 days. So there is no real baggage we carry which requires contingency per se because whatever slippages we see in 90 we fully provide by 120. Unlike in micro finance, we provide 25% each quarter.
So yes, you're right to say when we started it, we started with the intent of doing both on cards and MFI. But given how our provisioning policy is in cards, the pay is absorbed fairly quickly in cards on the entirely BAU basis. So micro finance, we'll hav e a discussion and we will see.
But given that we've taken it up to 85% with the intent of absorbing as much stress as we can, that will continue to be the intent in Q4 as well.
Kunal Shah: Yes. So just a question was even contingency on credit card and PL can be utilized towards JLG?
Ramesh Ramanathan : We'll have to -- I mean we have that...
R. Subramaniakumar: Yes, we're working on to it...
Kunal Shah: Okay. Yes. So, then we might not continue with 1% on credit card plus PL?
Ramesh Ramanathan : Yes. Correct.
Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: So my other questions are answered. Just one question. On the MFI side, you said certain states

are still underperforming in terms of collection efficiency compared to November and October.
So can you highlight a couple of states which are still seeing som e issues in terms of collection efficiency?
R. Subramaniakumar: Betterment is 10 states are better, no?
Kingshuk Guha : Yes.
So just the southern states, Shailesh. Just the two southern states are slightly lower than the previous month.
Shailesh Kanani: So Karnataka would be one of them because Karnataka third quarter was a little bit on the lower side in terms of collection efficiency, Karnataka will be one of the states?

Kingshuk Guha : Yes. One is Karnataka and Tamil Nadu. While we have AP, Telangana, of course, is very early days for us. So we are at 100% in the last 4, 5 months. And we are...
Shailesh Kanani: And from north side, UP and Bihar both has recovered. That is right?
Kingshuk Guha : Yes, yes, yes.
Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: Just one question. When we look at the credit card piece. How many of the credit card customers have two plus credit cards? How m any of them have three plus? How many of them have four plus and how many of them have five plus? And what is the unique number of credit card customers?
R. Subramaniakumar: Bikram?
Jaideep Iyer : So the question, Bikram, was unique number of credit card customers and how many of them will have two plus, three plus, four plus approximately.
Jaideep Iyer: our cards or you're talking about overall cards industry
Shubhranshu Mishra: Overall cards. So RBL cards, RBL cards, not at the industry level.
Bikram Yadav: So a number of customers who are having more than 1 card from us would be about 6%, 7% only. Like it's not too many customers have two card products from us. But if you're asking that if how many of them have card from other banks, so about 70% of our customers would have cards from other banks as well.
Shubhranshu Mishra: Like how many cards sir, two, three , four, five, how many cards?
Bikram Yadav: The exact breakup of how many exactly. I'm giving you a ballpark number. So about, say, 50% of customers would have three or more cards. And so whatever is left of 20% would have probably two cards. And the unique -- this is ballpark number not to be at actually -- yes.
Shubhranshu Mishra: Yes, yes. And what is the unique number of credit card customers we have?
Bikram Yadav: So 4.8 million, I think, is our unique credit card customers.
Moderator: T

he next question is from the line of Pranuj from JPMorgan.
Pranuj: Just one question. Could you just provide the absolute interest reversal number for the quarter?
Jaideep Iyer: INR134 crores.
Moderator: The next question is from the line of Prakhar Agarwal from Elara Capital.
Prakhar Agarwal: Just one question from my side. In terms of MFI book, when you say that you'll probably start FY '26 on a relatively cleaner base, is there a thought process that you'll probably carry on a steady -state basis, some contingencies on MFI, say something like par 30% that you'll probably

carry or maybe some sort of contingency that you carry on MFI on a steady -state basis? Or probably go into FY '26, wherein you probably have utilized a certain set of contingent provisioning as earlier participants have asked and probably then again, we ar e thinking about how FY '26 in terms of how it plays out?
Jaideep Iyer: So Prakhar, what we intend to do or what we mean by saying low baggage is that normally, we would provide 25% on the slippage in that quarter. That is not the intent for Q4. The intent for Q4 is to provide, like we did in Q3, a significantly higher provisi oning so that the net NPA that we carry forward for next quarter or next financial year is as low as possible.
And in my judgment, should not be more than 10% to 15%. So that's the intent for which we may end up utilizing the contingency that we have created on both cards and MFI. Incrementally, from next year, should we build up contingency, that's something that we will look at over a period of time.
R. Subramaniakumar: The policy decision will be taken after that Q4 is decided. And as we speak today, we wanted to carry as low a baggage or almost nil baggage for the next financial year. That's intent -- you would have seen it now. So far, whatever that baggage we carried to the previous quarter is also

taken into consideration. And plus the first slippage also coverage is around somewhere 85%. That is -- the intent is that we don't want to move on with that whole baggage so that the performance indicate s you r returns.
Jaideep Iyer: And sorry, I have got the answer to the question on the CGFMU that was asked if the caller is still on the call. Basically, CGFMU covers income generation activities where agriculture is not covered. So whatever portfolio we have where agriculture is end used, there we cannot take CGFMU. So what Mr. Kumar s aid was that wherever we should and can take is where we have taken.
Moderator: Ladies and gentlemen, we will take the last question for today, which is from the line of Aditya Bagdia from Buoyant Capital.
Aditya Bagdia : If you can give any color on the recovery efforts and increased collection staff being deployed for the MFI pool. Also, if you can share any highlights on the sourcing in RBL Finserv versus other BCs? Any sense on which portfolio is seeing highest stress i n proportion?
Kingshuk Guha : So as far as collection efficiencies are concerned, what we have done is over the last 2 quarters, we've reduced the ACR, as in the number of accounts per loan officer for collection. We've almost now brought it down to about a range of 400 to 420, which w as somewhere around 550 - plus as far as ACR is concerned. So that obviously is helping in the SMA buckets and the zero bucket.
And for the recovery buckets, so basically 90 -plus and the written -off pool, we have put in a separate set of people for recoveries. This has been in effect for the last 2 months now. And we've already started to see some green shoots and better recovery numbers in the month of December itself. So roughly about 1,100 to 1,200 people have been deployed only for 90 -plus and technicall y writtenoff pool.

And I think in this coming quarter also, we will see an uptick in this number.

As far as sourcing between RFL and the rest of the BCs is concerned, basically, the rule engine is the same. We are flattish over the last 2 months. In any case, the RFL book is 90% of the portfolio. So that's not much of a difference between the quality of sourcing, etcetera, because rule engine remains the same for all BCs.
Moderator: Thank you. With that, we now conclude the Q&A session. If you have any further questions, please contact RBL Bank Limited via e -mail at ir@rblbank.com. I repeat ir@rblbank.com. Thank you, members of the management. On behalf of RBL Bank Limited, we thank y ou for joining us, and you may now disconnect your lines. Thank you.
R. Subramaniakumar: Thank you very much.
Moderator: Thank you, sir.
R. Subramaniakumar: Yes, thanks to all of you.

Call: May 2025

"RBL Bank Limited
Q4 FY '25 Earnings Conference Call"
April 25, 202 5

MANAGEMENT : MR. R. SUBRAMANIAKUMAR – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – RBL BANK LIMITED
MR. RAJEEV AHUJA – EXECUTIVE DIRECTOR– RBL BANK LIMITED
MR. JAIDEEP IYER – HEAD-STRATEGY – RBL BANK LIMITED
MR. BIKRAM YADAV – HEAD-CREDIT CARDS – RBL BANK LIMITED
MR. KINGSHUK GUHA – WHOLE TIME DIRECTOR– RBL BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to RBL Bank Limited's Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R. Subramaniakumar, Managing Director and CEO of RBL Bank. Thank you, and over to you, Mr. Kumar.

R. Subramaniakumar: Thank you, Ma'am. Good evening, ladies and gentlemen and thank you for joining us for a discussion on our bank's financial results for the fourth quarter and full year of financial year 2025. We have uploaded the results along with the presentation on our website and I hope you have had a chance to go through it in detail ahead of this call. I'm as always joined on this call by Mr. Rajeev Ahuja and other members of our management team to address any questions that you may have.

Before we get into the details of the results for the quarter, I want to briefly touch upon the progress of the bank in FY '25. We began the fiscal year on a strong footing supported by encouraging early momentum. However, as the year progressed, distinct developments in our JLG and card businesses impacted the overall performance.

In the Card segment, we managed a critical transition in the portfolio collections associated with our co -brand partner, BFL. At the same time, we witnessed an uptick in delinquencies driven by a mix of challenging macroeconomic conditions and the signs of over leverage within certain pockets of consumer base.

In the JLG segment, we, like the broader industry, encountered headwinds stemming from the borrower over leverage, which notably impacted the collection efficiencies after mid -last year. However, I am pleased to share that the portfolio has since shown mea ningful stabilization and is steadily trending towards normalization. Encouragingly, both the JLG and cards portfolios, are now on a much firmer ground.

We have also maintained a prudent and a forward -looking provisioning strategy, ensuring the portfolio is comprehensively safeguarded as we enter fiscal 2026 positioned with the clarity, confidence and clean slate. I will walk you through a few key data points on this shortly. We commenced FY '25 with a clear resolve to scale our secured retail businesses, and I'm pleased to report that we have made a meaningful strides both qualitatively and quantitatively.

On the qualitative front, we have sharpened our focus on the quality of origination. The targeted mix of advances and the acquisition channels we prioritize, each of which I will elaborate on shortly. Quantitatively, we accelerated the growth in segments w here we had already built

momentum. Mortgages, including home loans, working capital and tractors, while stabilizing scale up in the newer lines such as gold loans.
Our wholesale banking franchise continued to deliver quality growth and within that, the Commercial Banking segment has been scaling as per our plan. Together, these efforts have

enabled us to navigate the challenging second half of FY '25 without any adverse impact on our capital position.
Let us now delve into the specifics. At the beginning of the year, we laid out a clear strategy to drive the granularity of our balance sheet. I'm pleased to share the progress we have made on this front. The granular retail deposit as a percentage of the total deposits as of FY '25 are at 50%. The term deposits less than INR3 crore s plus CASA was at 65%. The secured retail advances are at 32% versus 25% in March '24.
Our mortgage portfolio, comprising home loans and loan

against property grew by 34% Y -o-Y.
The commercial banking advances registered a growth of 29% Y -O-Y. The deposit quality has continued showing healthy trends. Our granular deposit growth has continued to see good growth in FY '25, despite headwinds of higher competitive intensity and tighter liquidity conditions for most of the year. Retail deposits grew 16%, while the overall deposits grew 7%. Similarly, our average CASA balance grew 12% Y -o-Y. The retail secured segment was identified as a focused growth area and the bank has begun achieving meaningful scale, while maintaining disciplined underwriting and enhancing portfolio quality. In FY '25, we saw growth in secured retail of 43% Y -o-Y. We remain confident that this portfolio will continue to perform well and is on track to achieve the full profitability by FY '26.
Now coming to the unsecured segment. We have been cautious in this segment. We have seen a slower growth in both JLG loans and credit cards in FY '25. The JLG segment registered a decline both year -on-year and sequentially. As many of you may recall, we pr oactively implemented enhanced credit guardrails, including MFIN Guardrails 2 as early as November that is well ahead of most of the players in the industry.
In the Credit Cards, including personal loans, growth was lower 3% Y -o-Y as well as sequentially. We are happy to say that the asset quality trends in both these segments is trending to normalized levels. Our strategy in credit card business is to build a strong franchise by acquiring good quality customers, those with the potential for deeper, multiproduct engagement with the bank. Even here, we are firmly prioritizing quality over quantity.
As per the JLG portfolio, we have consciously reduced our exposure, shrinking the book by 23% over FY '24. The portfolio now stands at INR5,752 crores down from INR7,511 crores in FY '24. With a stronger underwriting framework in place and the signs of macro level normalization, we expect a continued improvement in book quality.
Moreover, the broader adoption of the guardrails across the industry should meaningfully mitigate overleveraging risk going forward. We have started increasing the share of the book under CGFMU coverage, which will hold us in good stead during times of cri sis, if any, in the future. Over the past 3 years, including FY '25, the bank has significantly improved its performance under priority sector lending, enabling us to meet the regulatory targets and avoid incremental RIDF allocation.
Our erstwhile RIDF investments made for historical PSL shortfall continue to come off the balance sheet, freeing up the funding that can now be deployed towards regular lending

activities, naturally at better yields. Let us also briefly touch upon the asset quality in these segments. I'm pleased to report that in credit cards, the net slippage in Q4 was INR444 crores as compared to INR533 crores last quarter.
In JLG, as was informed earlier, the Q4 slippage was elevated, but sequentially getting better with improving trend on collection efficiencies. The net slippages were at INR439 crore s in Q4 as against INR521 crores last quarter. This was expected given high SMA -1 and SMA -2 balances that we had seen as of December 31, 2024. Our collection efficiency and recoveries have been better in Q4 over Q3.
We saw a good improvement in the early bucket collection efficiency and ended March month at 99%, including Karnataka, up from 98.4% as of December '24. We expect the slippages to decline meaningfully in Q1 with a return to pre -stress levels anticipated fr om Q2 FY '26 onwards.

Additionally, resolution rates from the delinquent buckets are expected to improve and we foresee recovery momentum from NPAs sustaining through FY '26. Disbursals in JLG have also started seeing improvements in Q4 and with approximately with INR350 crores o

f disbursals for
the month of March.

As I said earlier, this is with the new guardrails, which we implemented in Q3 itself. As a risk mitigation for the JLG loans, we continue to increase the coverage of CGFMU for incremental disbursals in this segment. This quarter, we have applied for the coverage of 90% of the disbursals in Q4, and we expect this trend to continue in FY '26.

Let me also spend a few minutes on the provisioning that we have taken in this quarter. As you are aware, in credit cards, we already have a fairly aggressive provisioning policy, wherein we take 70% provisioning at NPA stage and 100% provisioning on 120 d ays past due. This ensures that we really don't carry any baggage in the portfolio.

In the JLG business, we normally take 25% provisioning each quarter on NPAs, but we have now taken 100% provisioning on the NPA as at March 31, 2025. This means we have a nil net NPA in the JLG business as at 31st March 2025. We have also taken 75% provisi on amounting to INR283 crores on SMA -0, 1 and 2 as at March 31, 2025, of INR378 crores. To enable this, we have reversed the contingent provisions that we were carrying on December '24, which was built to meet these episodic situations.

This provisioning really allows us to focus on profitable growth in our chosen segments with clarity. As I mentioned earlier, we remain comfortable with asset quality at the bank level, particularly in our secured retail and wholesale banking portfolios, where the credit performance continues to be strong.

Now how does this translate into our growth outlook for FY '26?

We are entering the year with a clear focus on building resilient balance sheet, one that supports sustainable growth, while maintaining discipline and risk selection and capital efficiency.

On the lending side, we expect the secured retail businesses to grow at a healthy 25% to 30%, driven by the continued improvement in execution, stronger sourcing and better cross -sell outcomes. What's particularly encouraging is that the traction isn't jus t in the loan. We are seeing meaningful gains in liabilities and other products as well, especially in the mortgages and BBG, where our branches have started playing a much more active role.

The off -us opportunity for the branches is becoming real, supported by the preapproved offers and a sharper customer targeting. In the wholesale, we expect a steady and improved growth from the present 6% level in FY '25 to 10% to 12% going forward. Given our size an d the market opportunity, we believe there is still a significant headroom, and our teams are well positioned to capture it. We will continue to be conscious of the risk reward in this segment to ensure a profitable growth with cross -sell.

On the unsecured side, credit cards will remain a key lever, not just for book growth, but for acquiring franchise customers, deepening engagement and improving profitability with a greater predictability in the credit outcomes. In JLG, we are taking a cautious approach, while we have seen improving collection efficiencies, certain states like Karnataka conti nue to be below average, though the trend is moving in the right direction.

Our normalized disbursement run rate of INR600 crores to INR800 crores per month is currently closer to INR350 crores, and we expect this to improve progressively targeting a return to INR600 crores by second half of the year. Accordingly, the JLG will grow slower than the bank average, and we aim to keep its share in 6% to 7.5% zone. It stands at 6.2% as of FY '25, down from 9% as of FY '24.

On the deposit front, we saw encouraging momentum in Q4, and we expect this to sustain to FY '26 as system liquidity improves. Our strategy here is very deliberate. We are not just chasing headline CASA numbers. Instead, we are focused on increasing granul arity, expanding our customer base and deepen

ing the transaction intensity both in retail and wholesale. The idea is
to build stickier, more stable deposits and manage cost of funds efficiently relative to the market benchmarks.

You would have noticed that we have taken deposit rate actions already. We have reduced the savings account and term deposit rates. Of course, while floating rate loans will re-price downwards relatively quickly, the cost benefit from lower deposit rates will come with a lag.

This timing mismatch will create some pressure on the margins in the first half of the year.

However, we have already taken steps like lowering savings account rates to mitigate this impact. And our relatively larger fixed rate loan book will help cus hion the effect.

Our effective savings rate will come down from approximately 6.4% in March to approximately 5.6% in May, when the rate cuts become effective. Lastly, we are conscious that our shift away from the certain high -yielding segments, while deliberate and prudent will reflect in the margin profile for FY '26, but we believe this is the right approach. It strengthen s the core and sets us up for a long -term quality -led growth.

On capital. We entered the year with a total capital adequacy of 15.54% and CET of 14.06% based on the expected growth of 16% to 18%, we expect to remain above 13% on CET1 capital for FY '26.

In summary, we expect the slippages trend in unsecured segments to keep improving. Notably, we have already taken substantial provisions in the JLG SMA book, positioning ourselves prudently. Our secured retail and wholesale portfolios continue to perform e xceptionally well with 8 consecutive quarters of near 0 credit cost. What is encouraging is that, the growth in this segments is also picking up steadily.

Our cross -sell proposition is beginning to deliver. Branches are contributing meaningfully. And we are reshaping our front line approach to be a customer first, not the product first. This shift is gradual, but real and gaining momentum. At the same time, we remain grounded on our assessment of the macro environment.

With the global uncertainty and elevated household leverage we have been cautious in unsecured segments. Consumption may remain muted, and we are aligning our growth strategy accordingly. The evolving monetary environment with improving liquidity and easin g rates will offer some offset to the growth challenges, and we intend to use that space wisely.

On the cost side, we remain sharply focused on optimizing spend, consolidating teams where we see synergies and enhancing service delivery across customer touch points. Business -wise, our priority remains scale in secured segments, deepening customer engag ement via branches and delivering breakeven in retail assets during FY '26, unlocking operating leverage.

During the quarter, we also took steps to strengthen our leadership with Mr. Narendra Agrawal, joining us as President to lead the branch banking and retail liability franchise and Mr. Pari coming in as a Chief Operations Officer. These appointments reflec t our commitment to building strong execution depth as we prepare to step into the next phase of growth.

This year, we made a significant strides in technology, including migration to a new, state -of-art data center to bolster scalability, security, resilience. This was further complemented by scaling our core systems to support future growth. In Q4, after rigorous testing, we also launched our all new integrated mobile banking app with best -in-class features designed to deliver a seamless and intuitive experience through our customers.

Let me close this with what I have said even before. The growth matters, but only when it is profitable, and comes from areas where the risk is acceptable and opportunities visible. We are staying disciplined and focused on the 4 Cs that will drive sustain ed lift that is cos

t of deposit,
cost of operations, cross -sell and cost of credit. I will request Mr. Jaideep to take you through the financial parameters in further details.

Jaideep Iyer: Thank you, Mr. Kumar, and good afternoon, everyone. I'll briefly touch upon some of the specific aspects of our financial performance. On advances, we grew net advances by 10% year -on-year and 2% sequentially to INR92,618 crores, and retail advances grew 13% year -on-year to INR55,703 crores. The retail wholesale mix now stands at 60:40. Business loans and housing loans grew at 34% year -on-year and 9% sequentially. These are areas of focus of growth for us.

Total retail grew at 13% year -on-year, largely driven by a de -growth in unsecured segments of 8% year -on-year. Wholesale advances grew 6% in fiscal '25 and 5% sequentially in Q4 FY '25. Commercial Banking within that grew at 29% year -on-year and 9% sequentially, again, an area of focus within wholesale banking.

Our total deposit grew 7% year -on-year and 4% sequentially to INR110,944 crores. CASA ratio stands at 34.1%. While the total deposits grew at 7% year -on-year, the granular deposits, which is where the focus is, grew at 16% year -on-year and 3% sequentially and now stands at INR55,213 crores, which is roughly 50% of our total deposits.

Our branch banking led deposits is around 62% of total deposits. And we are trying to continuously improve the product holding ratio with our customers in the portfolio. The credit -to-deposit ratio was 83.5%, and our LCR for the quarter on a daily average basis stood at 133%.

Our NII was down 2% year -on-year and 1% sequentially to INR1,563 crores. NII growth was impacted on 2 counts: lower disbursals in the JLG portfolio as well as higher slippages causing interest rate reversals.
Our cost of deposits was 4 bps down sequentially to 6.53%, and cost of funds was also lower 4 bps to 6.59% for the quarter. NIM was roughly flat sequentially at 4.9% for the quarter. Our total other income was INR1,000 crores for the quarter, 14% higher year -on-year. Happy to report that the core fee income grew 17% year -on-year and 11% sequentially to INR968 crores. Our total net income was up 4% year -on-year to INR2,563 crores. Despite pressure on margins, we've been able to offset some impact through better fee income performance. Total income for the year as a result grew at 13% for the year to INR10,270 crores. Our opex , given cost conscious control that we've been exercising has grown at about 7% year -on-year and 2% sequentially to INR1,702 crores.
Our cost to income stood at 66.4% this quarter as against 62.5% last quarter and 64.2% same time last year. Cost -to-income ratio for the full year was 64.7% as against 66.6% for the full year in FY '24. Full year opex growth was at 10%. We have consistently brought down our opex growth, and this effort will continue. As a result, our pre -operating profit -- pre-provisioning operating profit was INR861 crores for the quarter. And for the full year, it was INR3,617 crores, up at 19% year -on-year.
Our total business for the first time crossed INR2 lakh crores, which is loans plus deposits, and is now at INR203,562 crores. On a consolidated basis, our PAT for the quarter was at INR87 crores and full year PAT was at INR717 crores. On cards, we have forged a few new co -brand partnerships, which is expected to diversify our offerings and strengthen the client profile. We remain focused on deepening customer relationships and increasing wallet share through meaningful engag ement on this portfolio.
On asset quality, we touched on the trend of slippages earlier. In terms of NPA, the gross NPA was at 2.6% and net NPA was at 0.29%. Net NPA is sequentially lower from 0.53% in December, primarily because we have taken significantly accelerated provisionin g on the JLG book. The JLG book, the net NPA is actually n

il as at March '25. Consequently, the PCR also

improved to 89% versus 82% last quarter. And the restructured book stood at 0.29% as we continue to see pay -downs by our customers.
Just a little bit flavor on provisioning. We had a total provisioning of INR815 crores for the quarter, of which cards accounted for INR375 crores. But this was offset by the INR206 crores of contingent provisioning, which was lying with -- on the card portfolio, which we have reversed, and we have largely used that to take provisioning on our SMA book of micro finance. So we are now carrying 75% provisioning on our SMA -0, 1 and 2 book on our JLG portfolio. Our net profit for the quarter was INR69 crores. Lastly, on capital. Our total capital was at 15.54% as Mr. Kumar mentioned, and CET1 was 14.06% as against 15.37% and 13.68%. This increase was largely driven by the lower risk weight on microfinance portfolio. With this, we'll now open the session for Q&A.
Moderator: The first question is from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Thanks for the elaborate opening commentary. I have first a few -- just to get the doubts clear. I just wanted to check that you mentioned that we have utilized the contingent provisions that we were carrying against earlier in card as well as JLG book. Th at is right, right? I mean so now we are left with the...
R. Subramaniakumar: Yes. Yes.
Jai Mundhra: Yes, sure. And secondly, you said that the savings rate cut effective 1st May, that would bring down your savings rate -- blended savings rate from around 6.4% to 5.6%.
Jaideep Iyer: That's correct.
Jai Mundhra: Sure. Now sir, coming to the questions. On this -- so now we have -- I mean, we have taken a call to consume the contingent provision. Does this signify that we are now looking at near normalized stress level formation in both JLG and credit card portfolio ?
R. Subramaniakumar: Yes. We just passed on the commentary last quarter also, we are expecting the normalization to come for the card and this in Q1 and Q2. And from what we have provided for the Q1 in JLG, and we are trending towards normalization from Q2 onwards in JLG as we ll as for the cards . That's what our initial observations and our belief in assessment is also. Anything else you want to add?
Jaideep Iyer: Yes. No, Jai, I think -- I mean, I'll caveat that by saying that we are still in a fairly complex macro environment. And yes, while we are seeing clearly trending slippages down. But I think the larger reason for the contingency provisioning utilization al so was that, we've noticed that in cards, while it's a relatively high credit cost business as compared to, let's say, secured loans, but

the volatility on credit cost is not as high as in microfinance.
So during good times, cards maybe operates at about 5% credit cost and bad times, it goes to about 10% to 11%. And we have a fairly aggressive normal NPA provisioning in cards. So --

and plus, we've also seen that despite high credit cost in cards, we don't consume capital. So the business does not make a loss because there is enough income wherewithal.
Whereas in microfinance, the volatility has clearly been higher. We've seen 1% to 2% during good times in terms of credit costs and going as high as 14% to 15% during COVID. And even in the last few quarters, we've been pretty high. So the thinking is that we should -- going forward, of course, one will try and build contingent provisioning again on microfinance.
But cards, we are quite comfortable in terms of being able to absorb the volatility within the P&L. That's the broad rationale.
R. Subramaniakumar: Jai, one of the additional reasons for believing that the JLG is that, we have already entered into CGFMU. If you just s ee that from the last quarter onwards, we have start

ed covering our entire
fresh incremental disbursement at the CGFMU. Even for this quarter of Q4, we already made application by 90%. That, along with the future plan of having the contingency provisions, wh ich we have been building up last 2 years, will stand steadfast in that particular portfolio.
Jai Mundhra: Sure, sure, sir. And did I hear it right that you mentioned that the loan growth and loan growth could be around 16%, 17% at the blended level, and hence the CET1 still be above 13%. Was that the commentary right that I understood.
R. Subramaniakumar: Yes.
Jaideep Iyer: That's correct, Jai.
Jai Mundhra: Okay. And lastly, sir, lastly, the -- we have seen this quarter, there is a very strong growth in the payment fee -- within fee, payment fee has grown reasonably well. While there is a bit of a slowdown in the credit card portfolio as well as acquisition. So was there any one -off or this seasonality or even on Y -o-Y basis, the number looks very strong. If there is any explanation there? Or this is something else.
Jaideep Iyer: Jai, in certain categories, the network actually increased the interchange income. And there was a little bit of a couple of months of catch -up that happened. So about INR15 crores to INR20 crores overstated in that sense. But a step -up on certain categories of interchange has gone up.
So that's the reason. Some of it will continue to be staying during the rest of the -- coming -- going forward as well.
Jai Mundhra: Right. And lastly, sir, how do you look at the opex growth for next FY '26? We have managed it very well. And of course, a lot of -- you would have front loaded some of the investments also.
Now how should one look at the overall opex for FY '26?
R. Subramaniakumar: See if you look at that opex , we have been in the high range of around 27%, 30%. At that time, we said that, that is a focus area. We'll come down around 10% range, which we have already achieved right now. So hopefully our continued effort will be to maintain in that range only.
Moderator: The next question is from the line of Piran Engineer from CLSA.

Piran Engineer: Congrats on the quarter in this environment. Sorry, just following up on the previous question.
What are we -- what is our expectation on growth in unsecured PL and credit cards? So micro finance, you said that disbursement normalization will happen in the third quarter. But what about the other unsecured businesses?
Jaideep Iyer: Cards should grow in mid -single digits. As we continue to kind of increase the bar on quality and look at customer franchise. So that's where we would look at.
R. Subramaniakumar: The broad sense is do more with the existing portfolio. That is one of the major focus, which we have been doing it in the cards. With the 5 million customers, what more we can do, which will also provide us enormous opportunity for expanding the depth wit h the relationship.
Piran Engineer: Got it. Got it. And also when you mentioned in unsecured PL and credit cards, we are trending towards normalized level. And after that, I think you mentioned something, normalization in 1Q, 2Q, did I hear that correctly?
Jaideep Iyer: So we would look at cards normalizing from Q2 onwards, Q2 and normalization also. I mean, I think this is -- we are continuing to be in reasonable uncertain macro environment still with all that's going on. So we would be cautious on this. And therefore, w e are also continuing to improve filters on acquisition and portfolio actions. But yes, we would expect normalization from Q2 onwards. You will appreciate that...

Piran Engineer: Okay. Same for MFI, right?
Jaideep Iyer: That's right. Same for MFI. ..
R. Subramaniakumar: So while the yearly data -- yes, yes, just hold. The yearly data makes us to believe that we'll get normalized. But there are some external macro factors on which you can't make

measurement.
That is why this cautious approach is being said about us.
Piran Engineer: Okay. Fair enough. And just secondly, in terms of -- you highlighted how much you've cut the savings deposit rate, but what about term deposits, especially on the retail side?
Jaideep Iyer: Yes. We've cut term deposits as well. .
R. Subramaniakumar: We have done both...
Jaideep Iyer: 25 bps on TD, term deposits as well.
R. Subramaniakumar: Yes.
Piran Engineer: Across all tenures?
Jaideep Iyer: So the peak retail rate is down by 25 basis points. The bulk rates in the markets are already down by about 50 basis points.
Piran Engineer: Okay. But the non -peak retail TD rates would be flat? Or have you all cut it across other buckets also?

Jaideep Iyer: There has been rationalization across. But -- if the vast majority of retail deposits come at the peak rate
Piran Engineer: Okay. So majority of them would get re -priced 25 bps incrementally, I mean, for the fresh flows.
Jaideep Iyer: That's correct.
R. Subramaniakumar: Yes. Yes.
Moderator: The next question is from the line of Anand Swaminathan from Bank of America.
Anand Swaminathan: I just wanted to understand the CGFMU mix you mentioned. If you can give some idea about how the ROA economics will work under the CGFMU? Just basically, what would be your net margins and net credit costs and overall ROA compared to what the book makes in a normalized environment.
Jaideep Iyer: So Anand, CGFMU, we pay 1% of the portfolio that is under coverage as insurance cost, so to say. And in terms of post NPA, we kind of apply for credit refund, etcetera, from the -- and it takes about anywhere between...
R. Subramaniakumar: 2 years.
Jaideep Iyer: 18 months to 2 years for us to get the compensation for those NPAs.
Management : No. It starts with the first application. We can go after 24 months. We started in the October month - October last year. We'll get our first claim on '27.
Jaideep Iyer: Yes. So 2 years later, if the...
R. Subramaniakumar: First application.
Jaideep Iyer: Yes. All the document is fine, then we will get the claim back.
Management : We keep applying -- as and when there is an NPA, we keep applying those NPAs. And they will accept those NPAs. Once they accept it, we can also reverse our provisions. So there is a provision available for that. So with that, I think the bank will benefit. So at the 1% cost, we are -- I think last 2 quarters, we've been covering 50% of our disbursement, which we have increased to 90% in the current quarter, which we applied. So we will -- it will get covered.
Jaideep Iyer: So Anand on the ROA, ROA tree, I think I would rather say that we will have to see how this pans out. Upfront, we are taking 1% cost. And hopefully, credit costs gets materially covered, but it will come with a significant lag.
Management : So I think we can -- sorry, I think the maximum claim which we can go on a portfolio is up to 15%. So that's a very large -- any stress which comes out, we would be covered to a large extent.
Anand Swaminathan: Sorry, 15% of what?
Management : 15% of the covered portfolio for every year.

R. Subramaniakumar : Portfolio alone.
Management : Yes. Portfolio alone.
Jaideep Iyer: So if we have INR100 crore s portfolio fully covered, we can claim up to INR15 crores on that portfolio.
Anand Swaminathan: So let's say, for example, sir, this cycle, the microfinance loss rate was 7%, 8%, let's say. If a similar cycle plays out, let's say, 3, 4 years down the line, what will be your net loss -- after you have that CGFMU cover to that?

Management: 20% of that...
Management : Yes, it will be -- so if it -- 8% average on a portfolio which we have secured. What we get is upto 15%. Suppose let's assume INR100 crores what Jaideep told, 8% is th

e NPA. I can claim up to entire 8%, it can come. Because only the first 3% of the INR8 crores -- that is INR24 lakhs. That is the minus. Remaining 7 .75 crores will be recovered, provided all the claims get accepted. Even if I take those there may be some claim rejections. Still we can get bare minimum INR7 crores kind of. ..
Management: That'll be covered.
Ramesh Ramanathan : Yes, that'll be covered.
Anand Swaminathan: Okay. Then what should be the through cycle, I understand the delay in timing, but what should be the through cycle credit cost is, let's say, 100% of your book is under CGFMU going forward?
Ramesh Ramanathan : That will take some time for us to go because right now out of INR6,000, INR5,000...
Jaideep Iyer: Theoretical answer to that is, it should be close to 0.
Management: Yes.
Anand Swaminathan: So then your ROA improved significantly. You just take 1% cost and your through -cycle credit cost was like, let's say, 4%. And you see a significant improvement in profitability? Or I'm missing something here?
R. Subramaniakumar: You are not missing. You have mentioned it correctly. Theoretically, it is a fully, fully it is covered . But the point what Jaideep made is that, see, we want these things to pan out because it is a new experience for us also. So that is the reason he said that. But theoretically, what you said is right. Yes. It is fully taken care, there will be ROA accretive is very high.
Anand Swaminathan: Okay. Sir, then why not just go and grow it aggressively, why are you saying do you want to keep it under -- I think it seems a very good deal. Why not go back to previous growth levels?
R. Subramaniakumar: See, the point is we have already -- see, I told you that we are going to capture the appetite to the extent of this 7-7.5% of total book . It is a balanced steady growth of the entire balance sheet.

See, I'm not an MFI book alone, no. W e have multiple things to be grown. We wanted to balance it out where we get the risk reward, which is taken care. Here, the risk was high. We are trying to protect it through the multiple ways. And as far as the reward is concerned there are multiple products. We are an universal bank. We need to offer all these products to all my liability customers also.
So imagine, one of the best way to protect the liability franchise is to have an asset, retail asset. In the absence of asset -light liabilities, the one which is one of the strategy which we have just adapted for the purpose of growth of the liability becaus e nobody is going to come and put the deposit only for the case of deposit, unless it is rate driven. When you wanted to make that rate - driven concept to go the service -driven concept, you need to have all these products on your shelf.
Management : Just one clarification , Anand. For example, our NPAs are INR8 crores. The claim that we will maximum get is about 72.8% of that amount. So maximum benefit for us on INR8 crores will be about INR5.8 crores as the maximum outlay that we can get back as insurance for CGFMU. The idea wouldn't be to go and -- build the book which is prone to stress that way. But that is how the insurance structure will work.
Anand Swaminathan: Okay. Makes sense. So then basically, your loss rates come down by 30%. That's what it should, roughly.
Management : I think if I run loss rate of 8%. The first -- 2% will be borne by us, and we are paying 1% premium for the...
Anand Swaminathan: Yes. Okay. Then it makes a lot of sense. And a similar question on the credit card book, sir. We have gone through like 2 cycles in the last 4, 5 years. So let's say, I got your answer that you will grow 5%, 6% in this year. But on a normalized basis, wher e do you see this book growing? What is the right approach, let's say kind of 2, 3 years down the line? Will we go back to like high teens? Or it will still grow in li

ne with the overall book?
Jaideep Iyer: No, I think -- I mean, again, I think it's difficult to foresee these things so far ahead, Anand. But we like the franchise. We like the business. We have a fairly large position in that business. We are somewhere in the fifth to sixth largest player in th at segment. And we are at least for the last few months or few quarters and the next few quarters, the focus is to make this portfolio a lot more into franchise customer for multiple products.
And the more we see success there, the more confident we will be to grow this book even more. So I don't think we are saying that we are perpetually going to grow this at 3% to 5%, no. But having achieved the kind of critical size, we have, do we go back to 25% growth you've seen?

Answer to that is also, no.
Moderator: We take the next question from the line of Kunal Shah from Citigroup.
Kunal Shah: So firstly, just wanted to understand on the provisioning part. So this INR815-odd crores, that is after the 1% contingency provisioning release of I would believe INR250-odd crores. So would that be right?

Jaideep Iyer: That's correct. INR273 crores as of December end.
Kunal Shah: INR273 crores, exactly. Yes. So when we look at it all put together, you mentioned like INR375 crores was the cards, okay? Then we have created another INR248 crores of the additional provisioning to make like 100% provisioning on the GNPAs and obviously, like INR283 crores, which out of which INR273 crores was the contingency.
So when I have to look at it like INR815 crores there was INR375 crores of card, then almost INR248 crores of additional provisioning, INR10 crores towards the SMA provisioning net of the utilization and balance would have been towards the MFI and the other secured portfolio?
Jaideep Iyer: So the other secured portfolio, nil, I think we've also taken INR180 crores in MFI to move from 85% to 100%.
Management : So there are 2 parts to that Kunal. One is in cards. We had a contingency provision included in that INR273 crore.
Moderator: Sir, I'm sorry to interfere. I mean your voice is too low. Can you come close to the mic and speak, please.
Management : Yes, is this better?
Moderator: Yes, sir.
Kunal Shah: Yes, that I agree. Sir, if I have to look at it, INR815 crores okay, plus almost INR273 crores, which is the total contingency which has got utilized. Okay. So when we look at it, so all put together would have been almost INR1,100 crores, okay.
Jaideep Iyer: That's correct.
Kunal Shah: And so now maybe just running through the math of this INR1,100 crores, credit card would be INR375 crores. I agree there was a release. But otherwise, credit card in this gross number should have been INR375 crore s, okay? Then there was additional provisioning of INR248 crores, which was done to make maybe the provisioning 100% on JLG book. Okay. And then INR283-odd crores was the SMA book.
And then balance would be, I would say, other normalized JLG and retail. Retail, you said it's almost 0. So then balance would have been towards the regular JLG provisioning?
R. Subramaniakumar: You explain...
Jaideep Iyer: No, okay, let me just...
Kunal Shah: So I would say like broadly like maybe INR200 crores -- INR200 crores to INR250-odd crores would have been the regular JLG provisioning?
R. Subramaniakumar: Just give a minute.

Jaideep Iyer: How will you define regular JLG provisioning, Kunal? See we've told you the slippages. We are simply saying that we took 85% to 100% all the way on the entire book. The old book as well as the new slippages, okay . That is approximately INR24 8 crores okay, which is accelerated provisioning.
Kunal Shah: INR248 crores. Okay.
Jaideep Iyer: Then we look at SMA -0, 1, 2 where we have taken INR283 crores on the JLG portfolio. On an outstanding of about INR375 crores, right?
Kunal Shah: Okay. Yes.
Jaideep Iyer: And We've -- our cards full provisioning for the quarter without the noise on contingent would be...
Kunal Shah: INR375 crores, you mentioned.
Jaideep Iyer: Yes, INR375 crores. And then there is a total contingency provisioning release of INR273 crores, which was standing as of December 31.
Kunal Shah: Got it. Got it. And now going forward, if we have to look at it credit cost, how should it settle -- because now on SMA, we have largely provided 75% GNP A, 100% is provided. So then would there be any number which we will be looking as a maybe a normalized provisioning on the MFI portfolio? And credit card also it's coming off. So now how should we look at the -- maybe the credit cost in JLG and credit card and the other part of the portfolio?

Jaideep Iyer: So Kunal, I think we are in a fairly generally uncertain environment. I would caveat my answer by saying that, yes, we have been proactive on JLG and taken a substantial part of the provisioning on the book that will probably slip in Q1, post which we will expect the slippages ceteris paribus to keep coming down Q2, Q3 onwards. And we will have to revert back to 25% per quarter provisioning that is our standard policy on the JLG book.
Similarly, on cards, we have seen slippages come down quite reasonably well between Q3 over Q2 and Q4 over Q3. However, the environment is still a little uncertain. I don't think we will -- the slippages will take some more time to come back to, let's say, if our normalized range is, let's say, give or take INR425 crores, INR430 crores. I think we are a couple of quarters away before we get there.
And in cards, the simple thing is to take 90%, 95% of the slippage of that quarter as credit costs, gross credit cost and then we recover. So simplistically, I would say credit costs clearly going down given the fact that we've had a very high credit cost year. I think we will hesitate to give guidance, but there should be a sharp reduction in credit costs on this portfolio. And on the non -JLG non -card book, retail plus wholesale, we again expect extremely benign outcomes for next year.

Kunal Shah: Yes. So that's what. So maybe non -JLG, non -cards not much JLG largely provided on incremental 25% and credit card incremental net slippage, almost 95% provisioning. So that's the fair assumption of the credit cost?
Jaideep Iyer: That's correct.
Kunal Shah: Okay. Got it. Perfect. And when we look at it, so what was the gross slippage in credit card and MFI this quarter?
Jaideep Iyer: Gross slippage in cards was INR479 crores as compared to INR569 crores last quarter. And microfinance was INR472 crores as compared to INR536 crores last quarter in terms of gross slippages.
Kunal Shah: Okay. And one last question in terms of the growth. So JLG you mentioned would still be in the range of 6% to 7% of the advances. Did I hear that correctly?
Jaideep Iyer: That's correct. Yes.
Kunal Shah: So when we look at it currently being at 6.2%, so now fair to say that JLG will also be growing in line with the overall loan growth, which we have indicated of 16% to 17-odd percent or even higher than that, just to be within that range?
Jaideep Iyer: Yes. I think again, this will evolve. See -- we are -- if I look at the JLG book, there is an argument that the industry will still continue to de -grow potentially. Guardrails has just been put in place for everyone in April. We will have to see how ticket sizes change, what happens when there are 3 lenders.
So again, we are coming out of a very environment, which has been in a fair amount of flux. There are players who are possibly vacating space, we don't know. What we are seeing currently is that this book has a fairly high amount of repayment that happens every month. And our ability to reach a disbu

rsement rate, which is more than repayment is probably 2, 3 months away or 3 to 4 months away.
So that's where we are right now. Simple answer is, yes, this book should grow a little bit. But I don't think this book is growing materially for -- because the first 3, 4, 5 months has to be still watched in terms of how the industry behaves and what kin d of impact all the guardrails has on this business.
Kunal Shah: Any initial comments on the guardrail implementation? What are you seeing on the ground? Is there any impact, delays, deferments, which are happening because of this shift moving from 3 -- maybe more lenders to less than 3 lenders?
Jaideep Iyer: So we implemented guardrails in November itself.
R. Subramaniakumar: November.
Jaideep Iyer: The industry is -- I mean, many players did implement guardrails over varying periods of time before March. But the diktat , if I can use that word, is really effective April 1 for everyone to

follow. We are quite hopeful that everyone will follow the guardrails, which, therefore, is good for the industry, the leverage will not go up because there is a INR2 lakh cap on leverage. And with 3 lender cap, it becomes a lot more sensible...
Kunal Shah: No, I was asking, maybe any, maybe deterioration in collection efficiency, which we are seeing

because of this Guardrail implementation in the initial month in the -- maybe since it's implemented from 1st of April. So in these 3 weeks, any kind of deterior ation we had seen?
Jaideep Iyer: No, no, no impact on guardrails on collection at all.
R. Subramaniakumar: Kunal, this Guardrail has be seen from a different angle. The Guardrail is going to change the behavior of my loan officers from what they have been doing it earlier to what they proposed to do. So naturally, that is the only impact the guardrail is going to cause because that the ea se of getting a loan sanction would have been definitely -- could be tightened from today because that requires a behavioral change for them to understand what sort of borrowers you have to identify and then reach them out.
That is only transition delay. That's why you saw that I just made a statement that we are doing somewhere around INR300 crores what you saw it. It is much below couple of months before. And we feel that we may reach back to the INR650 crores. If you ask me, will you do the INR850 crores to INR900 crores what we have been doing earlier? That may not happen. It will be slightly lesser than that. In H2, we anticipate that we may go back to the near normal position.
Moderator: The next question is from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: This is on cards. As per the slide, the revolve rate has gone up around 25% versus 20% to 23% in the earlier quarter. So just want to check if there's any claim change here or it's just a one -off thing?
R. Subramaniakumar: Bikram?
Bikram Yadav: Usually in this quarter, the last quarter because of tax filing and all, we see at times about 100 to 300 basis points of change in that. So there is no permanent trend change. This is just range bound fluctuation which we see seasonally.
Rohan Mandora: Sure, sir. Second one, sir, on the home loan vehicle finance disbursement in 4Q compared to 3Q, they were lower. And even if you look at the quarterly average for the 9 months it's lower. So is that due to some specific strategy? Or is it competitive behaviour or lack of demand? How should one read into it? But disbursement for other lenders has been pretty good.
Jaideep Iyer: So tractor financing, we do -- yes tractor financing we do see seasonality. And typically, the Q2, Q3 numbers are always higher than Q4 because that's the season for tractors. On housing, we have basically tightened our inflow from an interest rate standpo int. So we are -- 2 things we are putting as some kind of a constraint. One

is on yields. And second is on the fact that we need more business from branches. So we are trying to see how the mix is favourable from a risk - reward standpoint and a cost standpoint.

Rohan Mandora: Sure. And sir, third was on the business loans. We have seen a healthy growth in that during the year. So one is, how is the origination mix in that right now? Is it primarily branch driven? And also, if you can touch on 30 days, 90 days levels in that por tfolio right now?
Jaideep Iyer: So on business loans, branches are continuously doing more and more, and we are now around somewhere in the 33%, 35% zone of origination from branches. And we are continuously working on how this materially improves. And we are quite hopeful by the time we exit the next fiscal, we should be closer to 50%, if not more. That's on the origination front. Sorry, you had...
R. Subramaniakumar: SMA.
Jaideep Iyer: SMA book on this. Honestly, I'm saying that we don't expect any material credit cost at all. So even if there is -- there is no build -up of any SMA -1, 2 above, normal and all. And as I said in the earlier question, we don't expect any material credit costs in the mortgage business in the foreseeable future.
Rohan Mandora: Sure. And sir, lastly, on your opex guidance of 10% year -on-year growth for '26. Currently still if you look at in many businesses, co -branding or maybe a non -branch led sourcing would still be a meaningful part. So with business growth, these costs will grow. So where are we trying to curtail costs incrementally to be able to contain opex growth at 10%?
Jaideep Iyer: So we are -- I mean, there are many levers here. I think on, let's say, secured businesses, we have yet to reach optimal productivity. So with similar sales and credit teams, we should be doing much more business. So that's one. There are efficiencies in o perations, efficiencies in technology that we still have to fully implement.
So it is not that when we are saying there is a 10% cost growth, we are saying that the business is going to grow at that rate. We are talking about efficiencies coming, which is why we are saying, we should hope to control cost rate in that range -- cost growth in that range.
R. Subramaniakumar: The combination of productivity increase and an efficiency improvement, plus moving away to -- towards more sourcing from branches, which is going to be the driver for this.
Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: A couple of data keeping questions. On the wholesale book front, if you can give the rating breakup, A, better; BBB and BB, below?

Jaideep Iyer: Shailesh, we're not carrying that handy. I'll give it to you offline.
Management : 80-odd percent would be A and above.
Jaideep Iyer: Yes, about 80% is A and above. There is no material change in this.
Shailesh Kanani: No material. Okay. Second question on the continuation with respect to opex . We earlier have been alluding that business acquisition cost would kind of come down as we kind of increase the productivity on the branch front. I understand that also includes the collection in the line

item disclosure, but have you seen any material change in business acquisition cost? Any decline we have seen in the recent times?
Jaideep Iyer: So Shailesh, we are continuously working on improving this, and we see a lot more scope even including collections, actually. Thanks for bringing that out. In terms of cost of collections coming down for largely the cards business, because the rest of the businesses, that's not a material number.
R. Subramaniakumar: Thanks for bringing up the collection point. I'll tell you when you r gross NPA in the retail segment is going to keep on reducing it. By design, the recovery cost is also going to

come down
in that particular sector. That is also additional factor, which will help us out.
Shailesh Kanani: Just to continue on that, but we would have some written o ff pool where we would continue to do our efforts for collection, right? Because we've been aggressively writing off. So how would that work then in that case?
R. Subramaniakumar: That will add up to our profit. I suppose you are -- see, in the MFI, if you take a very simple aspect. When your efficiency and the collection goes up, the people are just freed up for doing the collection from the technical write off of the NPA. So it is a question of only diverting the manpower from collection to that of the recovery. And your -- the problem will come and the cost will go up only suppose your collection efficiency is down. That, as indications are a little past.
Jaideep Iyer: And Shailesh, we -- given what has happened in Q3, Q4 we've already deployed collection manpower increase, and that's already there in the numbers in Q4. So I don't think from here on that is going up.
R. Subramaniakumar: No fresh investment.
Shailesh Kanani: Okay. And last question from my side. In the opening remarks, you have said that we are PSL compliant, but we have not bought any PSL certificates, right? So it is organic compliance, right?
Jaideep Iyer: No. No. No. Shailesh we have bought PSLC, but the cost associated with that purchase is not material. It's about INR20 crores, INR30 crores.
Management : It is also not so much. So we have actually -- we buy generally micro in general, which is very minimal, nominal costs.
Moderator: The next question is from the line of Param Subramanian from Investec.
Param: Firstly, on the draft LCR guidelines that have come through, have we done any initial assessment on that, the impact for us?
R. Subramaniakumar: Yes. We have done it. We have a positive impact.
Param: How much would that be?
Jaideep Iyer: Param, we should be positive by about 3% to 4%.

Param: Okay. Got that. Also on capital, so you made that initial comment that even by the end of FY '26, we should be north of 13% CET1. But structurally, how are we looking about, say, capital for the company where are we comfortably operating. Yes.
Jaideep Iyer: So we should be quite comfortable with a threshold of 12.8% to 13% on CET1. So we will not, therefore, need capital for at least the current financial year.
Param: Okay. Fair. Just one last question. So in the P&L going into next year, there are a lot of moving parts with the rate cut. You said there is a EBLR re -pricing pressure. There are the SA rate cuts, there is some operating leverage. So s ome in substance, I just want to understand how one should be thinking about operating profit, right, going into next year and maybe beyond? Since credit cost has been discussed in detail, but maybe on operating profit. Yes.
Jaideep Iyer: So Param, we also had some one -offs in operating profits in the current fiscal. We -- in Q3, we had some investments which unlock some value. We had some tax benefits, which resulted in some interest income from tax authorities. So broadly, if I kind of ex clude that, we should be flat to improving on operating profit. And the reason I'm being conservative here is that we will have -- if I just take the full year of fiscal '26 versus the full year of fisc al '25.

We will have a reasonable reduction of the contribution from cards and micro finance from a book standpoint, which, of course, therefore, puts some amount of pressure on net interest income. Some of that, we claw back through efficiency on cost. And of cour se, provisioning has been discussed, that should be definitely lower as compared to current year. So in a nutshell, we should be -- we'll be happy with the flattish PPOP on the fiscal '25 outlook.
Param: Okay. You're talking about the absolute number, right

?
Jaideep Iyer: Yes.
Moderator: We'll take the next question from the line of Krishnan ASV from HDFC Securities.
Krishnan ASV: So my first question was about these new guardrails and just the bank's approach to these new guardrails. How does your customer selection change on the ground now when there are -- when you face up with borrowers who have more than 3 vendors? Could you just talk us through that a little bit? Number 1.
Number 2 from the cards portfolio, right, on the cards portfolio, there is a certain potential profitability that you would assess for the cards business as we stand today, right? That would be the potential and where we are, you are aware of at the end of FY '25. How long would you think it would take us to get to potential profitability on the cards business?
R. Subramaniakumar: Yes, I will ask Kin gshuk to talk about the micro finance, then Card will come back.
Kingshuk Guha: Yes. As far as the new guardrails are concerned, your first question. The first thing that happens is that the approval rate slightly takes a dip because of the guardrails. So till now in the last financial year before the guardrails were implemented, you could go beyond 3 lender as well.

So today, it will get restricted to 3 lenders and a cap of INR2 lakh. So both of these parameters were not there previously. And hence, we take a dip on the approval rate.
So as Mr. Kumar had previously also mentioned in the same call that, what happens is that the selection process or the ease of doing business slightly goes down. And hence, identifying a customer who would possibly be meeting both the criteria is the new n orm for the way forward.
So other than taking a little bit of a dip on the approval rate, materially, there's not -- nothing much has really changed in the ground.
So the effort to get a customer whose approval would come through has gone up a little bit.
Krishnan ASV: What I mean is if you now encounter a customer who is supposing with 4 lenders, right, how do you decide whether you need to withdraw from this customers? I mean, what are you looking at, at that borrower level?
Kingshuk Guha: So it's a...
Jaideep Iyer: Krishnan, I think existing set of borrowers, I can't do anything. When I'm acquiring a new borrower, we will check if the existing set of lenders is already 3, we cannot lend as simple as that. What?
Rajeev Ahuja: Ongoing monitoring is what he's asking.
Jaideep Iyer: Yes. Are you talking about ongoing monitoring?
Krishnan ASV: Yes. I mean you either become a lender who then withdraws from the borrower so that the borrower goes back to 3 lenders or you remain one of the 3 and somebody else has to withdraw.
So I'm saying how do you take that decision is all that I'm trying to...
R. Subramaniakumar: Let me make it one thing clear. He has already borrowed from me. And subsequently, before this guardrail implemented by all the players in the market, he has just borrowed from somebody else. That's the real situation, right? We'll continue to make effort to recover from him and put all the efforts which we have been taking till now, the same efforts will be put in there.
Going forward, any new person whom you are onboarding on ours, be it renewal, be it our -- the same customer comes with the renewal, possibly my system will not approve it, and he will be rejected. If a new customer comes with all these guardrails for not fulfilling, he'll be rejected.
Existing customers he's paying correctly, then it is good, we'll continue to collect it.
The existing customer is not collecting it. We'll do all the recovery measures, which we are doing it in respect to any default, hope it's clear?
Jaideep Iyer: Yes, Krishnan, there is -- we didn't understand your withdrawal because once you've given a loan, you have to collect the EMIs. There is no other options.
R. Subramaniakumar: This situat

ion as I explained, 4 different scenario. If I had to withdraw it becomes an NPA. Then I have to do the recovery. It is like a recall in advance. And then the moment I recall it, as per RBI Guidelines it becomes an NPA. So non -standard account, whatever we do is the same way.

I don't think that any borrower has a very large heart to say that I'm exceeding elsewhere, you come and collect it. I mean if it happens, it's would be a good one. It's a nice one. Hope you would have understood that.
Krishnan ASV: Understood. I think probably I didn't explain my question too well, but it's okay. We can take this offline. The other one on cards business. How far are we from potential peak profitability?
Jaideep Iyer: So Krishnan, I think the cards business overall has undergone a lot of change over the last 2 years. Regulatory changes have happened. One can therefore say that what was an optimal profitability 3 years back is now no more the optimal profitability, it's probably a notch lower. We would want to go back to some kind of normalization by the time we exit the current financial year.
But more importantly, instead of looking at again, focusing on what's the card profitability, I think we are trying very hard to kind of change the mindset to look at that as a customer franchise and see what we can do with that customer.
So the way we approach the portfolio as well as new customer acquisition is changing. And I think that is what is making us more excited than just looking at improvement in profitability of that business.
Krishnan ASV: Okay. So just related to this, if you don't mind, Jaideep. I mean I understand this. Obviously, you're trying to now make sure that you are able to sweat this customer through other segments as well through other products as well. So just on that journey, could you just talk us through where we are in terms of what percentage of our customers are relatively more mature in that journey in terms of more products per customer? On the asset side.
Jaideep Iyer: It's very, very early days, less than 2%, 3% of the customers have been sweated in that sense. So we have a long way to go.
Moderator: We'll take the next question from the line of Anand Dama from Emkay Global.
Anand Dama: Good results compared to what I think was expectation after the third quarter. Sir, number one, is that you've been saying that microfinance is where there will be a contraction? Or basically, the pickup will take some time. Card is where I think you were expecting an normalization to happen. But if we future forward ourselves into next 2 to 3 years, what will be the share of microfinance and cards as a percentage of our overall portfolio?
Jaideep Iyer: Honestly, Anand, we are -- this is probably not the best time for us to start crystal ball gazing over the next 2 to 3 years. I think we will take 1 year at a time. The focus is really over the next year to consolidate these businesses and extract more at least out of the cards business and consolidate on the JLG business. As I mentioned earlier, again, that industry is materially changing. There are new guardrails.
We are -- it's going to shrink. The industry has shrank materially March over, let's say, June last year. So I don't think this is the best time to talk about 2, 3 -year time frame. But broadly speaking,

I would clearly say that I don't think we are going back to the 35%, 37% mix that we had in these 2 businesses. It should be materially -- settling down materially lower.
Anand Dama: Yes, exactly. I expect that to be lower, but what could be that l ike? Could it be around 10 -odd percent or 10% to 15% in next 2 to 3 years? That's a fair assumption?
Jaideep Iyer: Again, I think, Anand, I would -- as I said, we are wanting to take this one step at a time.
Rajeev Ahuja: Anand, the dir

ection of travel is very clear. We have enough confidence in our other businesses to be able to take this call. And I think the macro environment is very important. So it will continue trending down. I don't think we can give you even a range which is today in our mind 3 years out, 1 year, I think we've already said it will be 6% to 7% of our total business of micro finance. And I think that's why we'll -- let's see what happens in the next 3, 6 months and then we'll be able to r evise it.
Anand Dama: And any guidance in terms of margins, how it will shape up over next first half and then second half and so will be the ROA? You may not give the hard numbers, but at least direction.
Jaideep Iyer: So Anand margins, there are too many factors at play. I think we should behave -- we will probably see flattish to lower before it starts moving up.
R. Subramaniakumar: Trending up.
Jaideep Iyer: On margins. I don't think I mean, I think we would -- I mean, directionally, we are seeing PPOP flattish, again, dip and then going up. Consequently, margins as a consequence of margins. Provisioning should be lower. So uncomfortable giving specifics on th is, but yes, we should obviously start improving by definition, given where we are.
Anand Dama: Okay. So directionally, next year, I mean, FY '26, we should be better off versus FY '25, right? Because you've done the heavy lifting in terms of credit costs.

R. Subramaniakumar: That we will be better.
Anand Dama: That's definite. Yes.
Moderator: We'll take the next question from the line of Aditi Naval from RSPN Ventures.
Aditi Naval: So most of my questions are answered. I just had one question on the Ka rnataka exposure. So first is can you just give a number on what is our share in Ka rnataka? And also, how do we plan to -- like what is the status right now? And how do we plan to -- like what is the strategy going forward, especially in the Ka rnataka?
Kingshuk Guha : So Karnataka, our portfolio percentage is slightly lower than 10%. And currently, in the last 2 months, we have improvement in the Karnataka portfolio. Month -on-month, we are improving by almost about 2% to 3% per month. So if you really ask us, Karnataka to come back to its normal collection efficiency, which would be crossing 99%. I think we should see that by the end of this quarter. As a strategy, we have kept our disbursals muted in Karnataka.

We have been not doing any disbursals in the last 2 months. This month, we have started doing a little bit of a disbursal as far as our existing borrowers are concerned. So whoever is taking a second cycle loan, and we've been very cautious about the rural engine as well. So I think quarter 2 onwards, we should see Karnataka coming back to its normal shape.
Moderator: The next question is from the line of Maitri Shah from Sapphire Capital.
Maitri Shah: I just had 2 questions. Previously, in the opening comments, you stated that our secured retail book will grow by like 25% to 30%. Is that correct?
R. Subramaniakumar: Yes. Secured retail we are talking about. Yes.
Maitri Shah: And the wholesale book will grow like from 10% to 12%, right?
R. Subramaniakumar: Fine. That's right.
Maitri Shah: And our loan book will have like a 16% to 17% growth.
R. Subramaniakumar: Correct.
Maitri Shah: So how do we see our ROAs after all these initiatives in provisioning? And with a flattish PPOP how do we see ROA shaping up for FY '26?
R. Subramaniakumar: See, as I said earlier, ROA will be trending upward, and we don't wish to give any specific numbers there, but it is going to trend upward. And if you ask a very simple question in comparison to '25 it will be way away, I mean, far better.
Maitri Shah: And advances growth, how do you see the advances g rowing?
R. Subramaniakumar: Advances, we just now told. Just we just reiterated the number with our

renewed focus on retail
secured, which will be in the range of around 20% to 25%, which you said. And in respect of the wholesale, we said around 12%. And overall, it will be in 16%, 1 7% range.
Maitri Shah: And the NIM, is there a guidance on the NIM...
R. Subramaniakumar: I think it was also told you earlier that the NIM is will be the flattish and it will start trending up as we move forward in the rest of the year.
Moderator: The next question is from the line of Hitaindra Pradhan from Maximal Capital.
Hitaindra Pradhan: All the questions have been answered. Just on the NIM part, are we guiding for a flattish NIM in the coming quarters? Or is it expected to come down because our secured book is rapidly increas ing.
Jaideep Iyer: Yes. So I mean, honestly, Hitaindra, I said there are many moving parts on margins. It is very difficult to guide in the short term. I would expect margins to be coming down a bit before clawing back up. And we hope to be in the current range by the time we exit the current year --

coming year. But there are just too many factors on margins. We don't know how many repo cuts will happen with what frequency.
I can just say that the repo cut does result in a faster asset re -pricing and the deposit re -pricing follows. We do have levers on savings account rates which we will exercise judiciously. But again, there will be leads and lags on margins, which will be very difficult to predict, given that this is the first rapid down cycle on rates that we will see where the bank's books are externally benchmarked.
Hitaindra Pradhan: What is your breakup of external benchmark and MCLR and fixed rate book?
Jaideep Iyer: About 45% to 47% is floating between largely externally benchmark and about small percentage to MCLR.
R. Subramaniakumar: Fixed rate is around 45%.
Jaideep Iyer: Yes, fixed rate is about 45%, 47%.

Hitaindra Pradhan: And on MFI, I understand your commentary is that in this particular month in April Guardrail has been implemented. The way I see the comment is, basically, you are seeing some dip in terms of how you would be able to disburse and find the creditworthy borr owers. So there can be a dip in disbursement and growth from an otherwise normalized perspective. But on the credit cost, per se, you are not finding any sort of difference.
So the trend which was happening from February to March was increasing collection efficiency and lowering of even the forward flows, etcetera. So that is continuing in April for you as well as for industry as well. Is that the sort of the right understandi ng?
R. Subramaniakumar: As far as we are concerned, we have implemented the MFI N Guardrail for November onwards. That's number 1. We expect the industry to fall in line from April. That is an expectation because we do not know how it is going to pan out, that is beyond our realm of assessment. As far as with the revised MFIN, we said that, yes, we saw some disbursement down and whi ch we are very cautious in Q3 and Q4 also.
And that is likely to ramp up and then catch up to three -fourth of what we normally peaked it before the MFIN guardrails are done from H2 onwards. And collection of course Collection of course, we saw some positive trend in this month and the indications and the belief as far as that will continue to be in the same range.
Moderator: Thank you. Ladies and gentlemen, we now conclude the Q&A session. If you have any further questions, please contact RBL Bank Limited via e -mail at ir@rblbank.com. I repeat ir@rblbank.com. On behalf of RBL Bank Limited, we thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2025

“RBL Bank Limited
Q1 FY '2 6 Earnings Conference Call”
July 19, 202 5

MANAGEMENT : MR. R. SUBRAMANIAKUMAR – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. RAJEEV AHUJA – EXECUTIVE DIRECTOR
MR. JAIDEEP IYER – HEAD-STRATEGY
MR. BIKRAM YADAV – HEAD-CREDIT CARDS
MR. KUMAR ASHISH –HEAD OF RETAIL ASSETS
COLLECTIONS
MR. NARENDRA AGRAW AL – HEAD – BRANCH
BANKING & RETAIL LIABILITIES
MR. KINGSHUK GUHA – WHOLE TIME DIRECTOR–
RBL FINSERVE LTD

Moderator: Ladies and gentl emen, good day and welcome to RB L Bank Limited's Q1 FY26 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. R Subramania kumar, Managing Director and CEO of RBL Bank . Thank you and over to you, Mr. Kumar.
R. Subramaniakumar: Thank you, ma'am. Good evening, ladies and gentlemen, and thank you for joining us for a discussion on our bank's financial results for the first quarter of the financial year 2026. We have uploaded the results along with the presentation on our website, a nd I hope you have had a chance to go through it in detail ahead of this call.
As always, I'm joined by Mr. Rajeev Ahuja and other members of our management team to address any questions you may have. Let me start by reflecting on the journey over the last two years. We have steadily strengthened our balance sheet, both in size and q uality.
Our deposit franchise is growing well, with the deposits this quarter up 11% year -on-year and 2% sequentially. And on a per -branch basis, we compare favorably with the peers of similar size and geographic spread. Our 562 -branch network, together with the e xtensive touchpoints of our subsidiary RFL, remains central to this growth, serving as hubs for deepening the customer relationship and expanding reach.
We continue to invest in enhancing branch productivity and customer engagement. On the lending side, our overall advances grew 9% year -on-year and 2% sequentially this quarter. The trend of growth is encouraging.
The secured retail advances rose 23% year -on-year this quarter. And the commercial banking grew 32% year -on-year, reflecting the disciplined execution of our strategy. At the same time, growth in the unsecured retail has moderated deliberately with the cre dit cards and JLG remains flat or lower, improving the overall risk profile of the balance sheet.
In fact, one of the key achievements of this and the previous few quarters is that growth has come alongside an improvement in the quality and the texture of the balance sheet on deposits. The granular retail deposits grew ahead of the overall deposits at 16% year -on-year and 5% sequentially, underscoring the strength of our franchise and the customer confidence.
In addition, CASA deposits rose 11% year -on-year but were moderately lower sequentially and the share of the granular deposits now stands at 51.4% up by 1.6% sequentially, a positive structural shift. As I have mentioned earlier, we are delivering on our commitment to achieve the granular growth on both sides of the balance sheet and this will only strengthen further over a time.
Operating costs rose 12% year -on-year, driven primarily by higher collection costs in cards as

we fast -tracked the in -house migration of collection services, which we had spoken about earlier.

In our assessment, this new in -house setup offers greater flexibility with the potential to enhance productivity and reduce collection costs going forward.
However, we expect this to moderate as we rationalise the cost and drive efficiencies through initiatives already underway. We believe the impact of these efforts will start reflecting in our numbers from Q3 onwards.
In wholesale banking, our reimagined approach continues to play out well. The commercial banking remains a key engine, complemented by the selective participation in the corporate lending opportunities where the risk -reward equation is appropriate. Our treasury and GIFT City operations conti

nue to perform well. In particular, in GIFT , we have recently introduced new products for our retail clients, which should support further scale -up.
Across the franchise, we are positioning ourselves for sustainable, profitable growth with a stronger, better diversified balance sheet -- the one that has the large r share of secured retail, healthier granular deposit accretion, and improving asset quality trends. Our capital position remains robust, with the total capital including profits being 15.59% and CET1 ratio of 14.05%.
One area close to our hearts is our commitment to customer first and deepening customer centricity. We continue to improve our product propositions and service delivery, with recent digital initiatives including the launch of our unified mobile app for all the customers and Suvid ha app for our J LG customers, enhancing the digital journeys.
Improved operational efficiency and technology stability are helping us to address the customer grievances better as we embark on a tech refresh to strengthen our core and simplify the front -end experience. As I have often said, we have a strong distributi on footprint with branches and BC touchpoints, call centers and digital channels, and we remain focused on leveraging this.
For instance, through our BC channel, that is the wholly owned subsidiary RFL, we have enabled distribution of products like affordable housing loans, small micro -LAP , and are in the process of enabling individual loans to credit -tested JLG borrowers. We expect this to scale meaningfully over the next two to three quarters.
In summary, our priorities remain clear.
• A sharper and more balanced portfolio across retail and wholesale.
• Branch -led customer acquisition and deposit mobilization.
• Disciplined execution and governance around risk and cost efficiency.
• The sustained efforts to deepen the customer relationship and cross -sell intensity.
As I have said before, we are staying disciplined and focused on the four C's that will drive sustained lift. The cost of deposit, cost of operations, cross -sell, and cost of credit. With that, I will now invite Jaideep to take you through the financials i n greater detail.
Jaideep Iyer: Thank you, sir, and good afternoon, everyone. Let me briefly touch on some of the specific aspects of our financial performance. We grew our net advances by 9% year -on-year and 2%

sequentially to INR94,431 crores. And retail advances grew by 5% year -on-year to INR56,625 crores.
The retail -wholesale mix as a result is now at 60 -40. Business loan and housing loans grew 34% year-on-year and 3% sequentially. Total retail grew 5% year -on-year despite the degrowth of 10% year -on-year in our unsecured retail segments.
The wholesale advances grew 15% year -on-year and 2% sequentially. Within this, commercial banking, which continues to be an area of focus, grew 32% year -on-year and 6% sequentially.
Our total deposits grew 11% year -on-year and 2% sequentially to INR1,12,734 crores. And CASA ratio stands at 32.5%. Within total deposits, our granular deposits, which is deposits below INR3 crores, grew faster at 16% year -on-year and 5% sequentially to INR57,934 crores. And now constitute about 51.4% of total deposits.
This is an improvement of about 2% as compared to 49.3% same time last year. Credit deposit ratio was at 83.8% and liquidity coverage ratio was at 152% for Q1. Our NII was down 13% year-on-year and 5% sequentially to INR1,481 crores.
Mr. Kumar touched upon this earlier and I'll give some more details on this in a minute. Our cost of deposits was flat sequentially at 6.53% while cost of funds was marginally lower by 4 bps at 6.55% sequentially. Our NIM was lower at 4.5% this quarter. Ou r total other income was INR1,069 crores this quarter, 33% higher year -on-year.

Core fee income grew 3% year -on-year to INR793 crores.

Other income was helped by gains on
the sale of G -Sec. Our total net income was up 2% year -on-year at INR2,550 crores. On opex , opex grew at 12% year -on-year and 9% sequentially to INR1,847 crores.
As a result, the cost -to-income was 72.4% for the quarter. Our pre -operating profit was INR703 crores and our PAT for this quarter is INR200 crores. Let me elaborate a little bit on margins.
We ended Q1 with NIMs of 4.5% which was lower than our Q4 margin of 4.89% and the reasons for this decline are primarily, first is, of course, the repricing on the advances side and the change in mix of advances that we have seen continuously over the last four quarters, as a combination of which our yield on advances was lower by 50 basis points sequentially.
And as I said, the impact was on two accounts. One is that we started with a lower interest earning book on Cards and JLG and therefore they contributed materially lower in terms of daily average balances of loan book for Q1 over Q4. And secondly, the repo cuts on external benchmark led to a loan repricing which is largely done in Q1.
A tail of that is remaining which will happen in Q2. Both these resulted in approximately 48 to 49 basis points reduction in gross yield of advances. Similarly, on the deposit side, our cost of deposits was flat but again there are a few nuances here.
We have taken rate actions on savings account and term deposits but the full impact of this is going to come in Q2. Our SA cost, for example, is actually already down 60 basis points sequentially and our exit savings account cost is almost 100 basis points down sequentially. On

the TD front, we have cut rates by about 40 to 70 basis points across tenors on our fixed deposit rates.
However, our mix in deposits is moving towards more retail as I had alluded to before which is resulting in a more gradual decline in cost rather than a faster decline despite the cuts that we have taken. Obviously, this gives the benefit of longer duratio n on deposits which is conscious as we are focusing on the retail growth in deposits. We also had a little bit of reduction in CA average balances for Q1 over Q4.
Q4 had the benefit of significant amount of dividend mandates which results in escrow accounts and CA balances from corporates. That was materially lower in Q1 and that effectively largely compensated for the reduction in savings account deposits that we s aw in Q1. Going forward, we will expect deposit cost to actually fall by about 20 to 25 basis points in Q2.
Let me now tell you why at least we believe margins therefore in all likelihood have stabilized at these levels and will improve from here on. We believe that Q1 marked the low point for margins as bulk of the repricing on advances side is now behind us an d we are also at the bottom of the contribution from our unsecured businesses. We expect the cost of deposits to trend a little lower reflecting the rate cuts we have already taken and those we intend to execute in the coming months.
That said, we anticipate an improvement in margins will become visible by Q3. Let me dwell a little bit on our operating costs. We saw an increase of over 12% year -on-year driven primarily by higher expenses in collection and card related activities this quarter.
As we progress through the year, we expect this to moderate and rationalize in terms of absolute growth. Broadly, we are also having multiple strategies to drive cost of collections across the bank down through a range of initiatives which we expect should help in improving our cost control measures and therefore moderate the cost growth. We expect these efforts to really start reflecting from Q3 onwards.
Broadly, we therefore expect cost growth for the year to be materially below advances or around the advances growth. A little bit on asset quality. Our slippages in our JLG book was approximat

ely INR318 crores and in cards was ab out INR 520 crores.
Net slippages came in at INR286 crores for JLG and INR494 crores for cards respectively. Credit costs was approximately INR441 crores for Q1. This was largely cards related because on the JLG book, we had of course taken provisioning on the SMA book and almost entire NPA formation in Q1 was out of the SMA book and therefore that provisioning was consumed as provisioning for th e NPA on the JLG book.
However, we have taken a 1% provisioning on our JLG book as contingent provisioning. You may recall that we had utilized this in Q4 along with the 1% provisioning on cards. We have now reinstated the 1% on JLG book.

We do not intend to reinstate this on cards, but we will maintain 1% to begin with on the JLG book. And that was about 54 crores for the quarter. We have also taken coverage under the CGFMU book and now just short of 50% coverage is there for our JLG book through CGFMU. Our net restructure advances stood at 21 basis points. It has now become quite negligible. Lastly on capital, happy to note that capital remains flat. Our consumption on capital is materially negligible. Partly this was helped by the fact that the NBFC provisioning was rolled back, regulatory provisions came down in terms of capital consumption. And the mix of our book is towards more secured, lower risk -weighted assets resulting in a significantly lower growth in risk-weighted assets as compared to loan b ook.

And this is despite the step -up in operational risk costs, operational risk weight that goes up in Q1. Despite that, we've been able to maintain flattish capital with CET1 at above 14%. With this, we will open the session for Q&A.

Moderator: Thank you very much, sir. We will now begin with the question -and-answer session. The first question is from the line of Jai Mund hra from ICICI Securities. Please go ahead.

Jai Mundhra : Yes, hi. Good afternoon, sir, and thanks for additional disclosures. Sir, my first question is on your yield impact. So, you mentioned that you have taken the majority of the impact in this quarter.

And assuming there is not material change in the loan mix, there would still be a remaining impact of 50 basis point rate cut that happened in June, right? So, the yield may still be looking downwards. What would be your sense, assuming the loan mix does not change materially, how should one look at the overall yield?

Jaideep Iyer: We will expect 15 to 20 basis points drop in yields in Q2.

Jai Mundhra: Okay. And that you are saying that will be offset by the cost of deposit, which is likely to come down by 20, 25 basis points. And hence, the mar gin is more or less stabilizing?

Jaideep Iyer: That's correct. Yes.

Jai Mundhra: Sure. And just on this cost of SA, I mean, you mentioned that, the share of retail TD and maybe the CA composition is lower and that is what explains the stable reported cost of deposit, right? That is the way to look at it.

Jaideep Iyer: That's correct. That's correct. Yes. Okay.

Jai Mundhra: And thirdly on -- yes, sorry.

Jaideep Iyer: No, I mean, broadly, I wanted to say that while we have taken the brunt of margins, I think on both sides of the balance sheet, it is de -risked to that extent in the sense that we have lower contribution from unsecured book as compared to the previous quar ters and we have a higher contribution from retail deposits in this quarter as compared to previous quarters and those trends have been continuing. So the lower margin is also a reflection of lower risk on both sides of the balance sheet.

Jai Mundhra: Right. Sure. And on the MFI slippages, right? It looks like they are clearly mirroring the outstanding SMA position with one quarter lag, right? So maybe in the near term, the slippages should come down further, but now tha

t your SMA is now back to Y -o-Y levels, how could one look at the normalized slippages in MFI and have we achieved that normalization? Would we be achieving that normalization by Q 2?

Jaideep Iyer: So we have given the SMA position for microfinance for Q1 and typically you can use the same ratio of slippages to SMAs outstanding. I would expect it to be in the 75 % to 80% range slippages and therefore the reduction in slippages will reflect the lower SMA outs tanding that we have disclosed . I think honestly what is normal will be a little bit of a debate in MFI, but I can clearly say that the trend will continue to come down as we see right now Q3 over Q2 and Q4 over Q3 on microfinance.

Jai Mundhra: Sure. Thank you. And last question, sir. I mean, if you can sort of provide -- I mean, till last quarter, we were saying that 1% exit ROA is definitely...

Jaideep Iyer: Sorry. Yes, go ahead.

Jai Mundhra: Yes. So I was saying, sir, if 1% ROA exit ROA -- sorry , 1% ROA, when do you think that, you know, given the trajectory, given the normalization on both sides of balance sheet, when do you see we would be more or less reaching 1% exit ROA?

Jaideep Iyer: Yes, so we had indicated that we should exit the year and we stick to that for now at least.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal . Please go ahead.

Nitin Aggarwal: Congratulations on good results. My first question is on the provisioning coverage. We have taken very high levels of provisioning last quarter and raised coverage sharply, and this quarter we have drawn down a little. While overall, PCR still remains very healthy, but in context to us

now also taking contingent provisions again on the JL G book.
So what is the intent in terms of where do we maintain our PCR in the medium term, and how do you see the credit cost? Is this quarter like a sustainable number because of the utilization that we have done, or can we see some rise in the coming quarters on the credit cost front ?
Jaideep Iyer: So, Nitin, in terms of the thinking on 1% is that, you know, we kind of had the 1% which helped us when the situation was bad, and I think it is important to kind of maintain at least 1% on the MFI, and hopefully we can go up a little bit over time. In add ition, we have also started CGFMU over the last nine months, and as a result of which roughly 50% of the portfolio at least is covered on CGFMU . So we will maintain this 1% on contingent provisioning on MFI.
In terms of credit costs, the 50 basis points includes the INR54 crores provisioning that we have taken, which of course going forward will be only on the incremental book by definition, and I think we have guided a sub 2% credit cost and we are kind of roughly still there. I don't think we will expect to materially change that guidance in the near term.

Nitin Aggarwal: Yes, so that is the reason I asked. On one hand, yes, we have provided additional on JLG book , but we have also utilized the estimate provision that we had which has saved for the quarter that much extra expenses.
Jaideep Iyer: Yes, but I think there are two things. The one main assumption on the credit cost is also that we go back to a 25% provisioning on microfinance. This quarter, obviously we are back to 25%, but we will not claw back what we had already taken, which was a 75% p rovisioning on SMA, which has been carried forward into the NPA.
But going forward on fresh slippages, we will mathematically look at providing 25%, unless we see something dramatically wrong happening in the portfolio, which is unlikely. And therefore, we expect credit cost to be not materially different than the 50 ba sis point that we've seen in this quarter.
Nitin Aggarwal: Right, got it. And secondly, related to asset quality, is there secured retail slippages? We have reported quite a rise there. So h

ow should one look at that?
Jaideep Iyer: So there were a couple of relatively high value accounts, high value by the standard of the portfolio, which is business banking, working capital, retail that we have. There were a couple of loans in the range of INR25 crores to INR30 crore s each which slipped. Usually we've had negligible to nil slippages in this portfolio over the last several quarters. So we don't expect this to repeat in Q2 or later.
And we expect that there should be materially good recovery on this portfolio as well, because it's well secured over the next six to nine months maximum. So therefore, I think we would still want to broadly indicate that a substantially large part of tota l credit costs almost entirely should come from only cards and microfinance and maybe a little bit of wheels, which is there. But on a blended average basis, the rest of the portfolio, including wholesale, should be not material.
Nitin Aggarwal: Right, got it. And the last question is on the opex, wherein we talked about the reasons behind the rise in opex and the investments in the card business. But how is this affecting the profitability of our card business, if you can give some color on that? And secondly, the overall cost ratios for the bank, because this quarter the cost income has gone up a little sharply. So how do we look at that for these two things?
Jaideep Iyer: So the card business profitability is clearly running below trends, both on the account of credit costs, which continue to be higher than what is normalized. And I think we should get there in a couple of quarters. And as we had alluded, we had an increase in operating costs on collections, which we think should start moderating from Q2 and become closer to normal by the time we exit this financial year.
There is a lot of effort that is happening on this front and we can meet offline and we can take you through that. Overall, at a bank level, we will continue to expect opex growth to be on a year-on-year basis, not more than advanc es growth, so broadly in that 9% to 12% range with a downward bias as we go forward. Because this quarter, we had an above -trend growth.

And cost -to-income, of course, is a function of income as well. And as we expect margins to start flying back up from Q3 onwards, we will expect cost -to-income to start trending down again.
Moderator: The next question is from the line of Harsh Modi from JPMorgan. Please go ahead.
Harsh Modi: A couple of questions. I'll go one by one. First is on your fee franchise. This quarter, there was

some benefit from trading, but the core underlying fees, could you talk a bit about what are the trends, where should we expect that number to head , let's say, in the next three, four quarters? And second, back to the cost ratios, is it fair to then assume that costs will probably move up or stay high even in second quarter and only start moderat ing in second half of the year?
Jaideep Iyer: So, fee income trends, core fee income should grow in the teens. Q1 was a little muted, partly again driven by cards business being a little bit lower in Q1 on fee income. And we expect that to bounce back. And therefore, fee income should trend into teens in terms of growth as we go forward. And I'm talking about core fee income.
And on the cost front, as I said, from a year -on-year perspective, we should moderate growth going forward. And I don't think we will go down materially in absolute terms, but I don't think in absolute terms, we will go up from here as well as we go forward over the next two to three quarters.
Harsh Modi: Sorry, if I may slip in one more. On LDR, we are around 83, 84. What number you think is a normalized number? Can we hit closer to 85, 90 levels? Or is this close to where we are, where we should stabilize, let's say, over the next three, four quarters?
Jaideep Iyer:

Broadly, I think we've given a range of 83 % to 87%. And it's hard to kind of, given our size and scale, I think 2%, 3% up and down is not unusual. So we will look at 83 to 87 as a working range to work with.
Harsh Modi: Right, so we are close to the lower end, and hence, that is one more lever for margins, maybe.
Jaideep Iyer: Yes, yes. So the LCR was also high this quarter compared to normal, and we should moderate down to 130, 135 levels going forward.
Moderator: We'll take the next question from the line of Mona Khetan from Dolat Capital .
Mona Khetan: So my question is on the margin front, you mentioned a couple of things that impacted the yields. So, if I heard it right, did you mention that the M FI and credit card yields have sort of come down on a steady state basis?
Jaideep Iyer: No, Mona, what I mentioned was the contribution from that portfolio has come down. The yields have not materially changed.
Mona Khetan: Okay. Because the mix has come down.
Jaideep Iyer: That's right, that's right.

Mona Khetan: All right, that's al l from my side. Thank you.
Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: Hi, thanks for taking the question. So, sorry, just to again touch upon with respect to margins, so you indicated that maybe there could be a marginal improvement of 5, 7 bps and stabilization in 2Q . And then maybe 3Q onwards, so I would tend to believe at least in terms of reduction in yields, that has broadly been -- that will probably be factored into, say, by 2Q. There will be no further pressures. While maybe the cost of deposits advantage will continue to flow through in Q3 as well as Q4.
So, looking at maybe overall this kind of profile of assets, where do we actually see in terms of margin stabilizing given that we have largely done the rate cuts on the deposit side as well? And maybe in terms of the portfolio composition also, there coul d be some flip towards secure, but not a significant one. So, what should be the steady state levels of margin? Or maybe Q4 exit, where do we see it?
Jaideep Iyer: So, Kunal, the assumptions and statements that you made is ceteris paribus expecting no more repo rate cuts. Naturally, a repo rate cut would again mean some leads and lags in terms of deposit pricing versus loan pricing. Subject to that, your assumptions are fairly okay. In terms of clawing back on margins, I think we should go back to the maybe 4.8 range plus minus by the time we exit Q4.
Kunal Shah: Okay, so it should get towards 4.8 by Q4.
Jaideep Iyer: Yes.
Kunal Shah: So, broadly, when we look at it in terms of the ROAs, so today we are at, say, 0.56%, I think by Q4, maybe we are looking at almost like 30 basis points of margins to come through. Credit cost also, you indicated maybe 1.9 odd percent , this might continue, or maybe if card credit cost stabilizes, then we should see some improvement out there. And opex also, we are looking at efficiencies to flow in from here on.
So, maybe if the average margins, average ROA for this year could be maybe closer to, like, say, 0.81 odd percent , maybe exits could be relatively higher, just looking at broadly like these three parameters. And fee income also, you seem to be slightly confident, so there doesn't seem to be any levers which can drag the ROA now.
Jaideep Iyer: No, Kunal, I think, I think we would stick to what we have said before, that we will have improvements over time, over the quarters on margins, and to some extent fee income, and opex.

Some of this is more H2 related, and our estimate currently is that we would stick to looking at 1% ROA type exit annualized in Q4.
Kunal Shah: Okay . And when we look at growth, maybe what would be the growth guidance given that now LDR is also comfortable? So, where should we see the average growth? You mentione

d in terms of opex, at that time you indicated like 9% to 12 odd percent. So, would be that fair assumption even on the advances side?

Jaideep Iyer: So, Kunal, I think on advances, I mean, you know, while it's easy to say that we look at a headline growth of 14 %-15%, I think what is important is that we are trying to look at risk rewards in each of our portfolios. So, for example, in mortgages, we will look at doing more small ticket housing, small ticket loans. We are using our RFL distribution to kind of now ad d to the origination engine, because growth, I mean, I think there is always a choice between growth and profitability and that f ine balance we will have to look at.
If we ignore that, one can grow faster. But I would say that given that we are trying to change mix in most of our businesses, as we said, even in wholesale commercial banking is growing faster. Obviously, you can't cut INR500 crore ticket sizes and call it commercial banking. So, if you put all of that together, I think we are comfortable with a mid -teens kind of growth.
Kunal Shah: Okay. Because the only context was when you look at disbursement's run rate across the segments and the additional disclosures which we have given, the run rate seems to be quite slow all across, be it prime LA P, used car, two -wheelers, business banking, maybe because of a couple of accounts which have shown some pain. But I think disbursement run rate was not very encouraging across many of the product segments during the quarter.
Jaideep Iyer: So, Kunal, Q1 over Q4 is a little difficult comparison always.
Kunal Shah: Yes, I agree. I agree. But still, maybe that los t momentum seems to be quite high on the low base. Ye s. Because we have the base advantage. Ye s.
Jaideep Iyer: No. So, I think, again, prime housing is something. See, we are also looking at ensuring that more and more portion of our business comes from internal customers. So, again, I think the quality of growth is quite critical. I think it's easy to step on growth if we look at growing through external sources, DSAs, for example.
But we are quite conscious of the fact that quality of growth is important, which means that more in-house customers, more multi -product ownership, and that because we are also trying to balance profitability here. So, in that context, given the hurdles that we put to businesses, I think we are quite happy with what we're seeing.
Kunal Shah: Got it. Got it. Okay. Thanks and all the best. Yes.
Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL Capital. Please go ahead.
Rikin Shah: Thank you for the opportunity. I had a few questions, but just before that, thanks for providing this product -level granular data. Just wanted to confirm if this disclosure would be consistent in the quarters to come as well. And then I had a few questions.
R. Subramaniakumar: Yes. The first point ofcourse , we take it for granted that whenever we change the way we give the data transparently, we'll continue that. You would have seen it in the last 1 year. Now we found a format. Now the format has been changed to make your life much easier to understand that where we are going. And it will continue. There is no reason for you to doubt. And if you have any specific reason, you can share with me so that let me say what made you to think so.

Rikin Shah: No, no. Perfect. I was just hoping that this kind of granular data and disclosure gives a lot of confidence. So, just wanted to make sure that we get to see it every quarter and compare the trends. So, thanks for that. So, the questions are as follows. The first one, we did indicate that loan yields may go down slightly in 2Q. But I just wanted to understand where do these yields settle in the medium term?
Because if I look at the prod

uct level yields in the new businesses, the disbursal yields are higher than the portfolio yields in most of the segments. Of course, I appreciate the fact that the unsecured is slowing down. But where do you expect the asset yields to settle in the middle term? I think today we are at around 12.5%. Where do you see that probably, let's say, 1 year out? That's the first one.
The second question is on opex. We did allude that the opex was higher due to credit card

collection because we have in -house some of these efforts. But given that we have just done this in the last couple of quarters, are we going to start rationalizing it so soon again? And when you say that there are a few initiatives planned, if you could elaborate, that would be very helpful. So, that's my second question.

And the third one is on the asset quality finally. So, I appreciate that there is some amount of conservatism by creating a buffer provision on JLG. But the fact that almost 75% of SMA is provided for and 45% is now guaranteed by CGFMU, do we expect to keep doing this every quarter when this is anyways going to be a little less focused business? So, those are my three questions. And the last one is a data -keeping one. I just wanted to get the latest repo, other EBLR, MCLR, and fixed rate split for the book. Thank you.

Jaideep Iyer: Okay, so I'll try and answer whatever I remember in terms of your questions. The first one on gross yields, I think, given the various initiatives on change in mix that is happening, I guess, it is -- I would rather say that at least for the rest of -- and there is, of course, repo cuts which can happen. So, it's a little hard to kind of predict here. But ceteris paribus, I think we should bottom out in Q2 on gross yields. And then there should be some climb back up gradually as we go forward.

On credit card collections, I will request Bikram to answer. But before that, on -- yes, on the 1%, I can be basically, I think, now it is only on the incremental book. So, if our JLG book grows by INR500 crores, it will mean INR5 crores impact, right? So, this was just a stock that we had created because we -- I think the idea is very simple. When we are back to a normalized provisioning situation, we should go back to what buffer we had earlier, right?

So, on cards, we are quite clear that we don't need a buffer because we don't -- we take aggressive provisioning. We take 100% provisioning in 120 days. Whereas in microfinance, we will go back to our 25% per quarter run rate. And therefore, it's important for us to build buffer here. And along with CGFMU, that's a good, healthy mix to have. And that's the reason why we did that 1%.

On the mix, repo is approximately 30%. MCLR is about 5%. Other external benchmarks is about 11% and foreign currency book is about 6%. So, if I take Rupee book about 47 %, 48%, it is

floating. In addition, we will have about 5 %-7% of the book which is short -term fixed rate. So, you should consider that equivalent to floating. Bikram, I request you to elaborate on some of the collection initiatives that we are looking at to rationalize costs.

Bikram Yadav : So, your question was that we have just recently taken over the collection from the Bajaj Group company to our own folds , and what is the opportunity to rationalize it so quickly . So, the circumstances under which we had migrated this collection capacity was just to have little bit of over capacity to manage things because all of that was done in a bit of a short window.

After that, we have done analytical mapping of the entire base that has to be collected, geographical locations and the synergies which were there with our other book which already were with us. In addition to that, we will leverage AI -led collection initi atives to replace some bit of manual and cost -intensive methods. With this rationalization, we ho

pe that in the new system without compromising on credit outcomes, we should be able to rationalize costs. And there would be some supervisory -level measures a lso that we'll do between the two portfolios.

Rikin Shah: Got it. And if I may just squeeze in one more question. Ja ideep, you did allude to mid -teens kind of loan growth expectations going ahead. Would be great if you could also spell out how does that look in terms of unsecured retail, secured and wholesale?

Jaideep Iyer: So, Wholesale should grow in mid -teens. The unsecured portfolio should grow in high single digits to low -teens. And secured retail should grow in -- yes, early to mid -20s.

Rikin Shah: Got it. And this is for FY '26 itself?

Jaideep Iyer: That's correct. That's correct.

Rikin Shah: Okay, perfect. Thank you very much for all the answers.

Moderator: The next question is from the line of Piran Engineer from CLS A. Please go ahead.

Piran Engineer: Yes, hi, team. Congrats on the quarter. Most of my questions are answered, just a couple of follow -ups. Firstly, on credit cards, any commentary on early delinquency trends? Why are the slippages remaining high? And is it an issue intrinsic to us or is this more a credit card industry issue not improving?

Jaideep Iyer: So, P iran, for us on cards, I think there is a little bit of anomaly in terms of Q1 having a higher number of cycles because of number of days in terms of NPA formation. So, Q4 was, to that extent, slightly lower than trend. And if you look, if you remember, I thin k Q4 was a sharp trend below as compared to Q3 of last year.

So, if I kind of normalize this, we are sequentially slightly lower. I think the pace of improvement on delinquency in cards is there, slower than what we would like, but it is clearly there and we

expect this trend to start becoming more material in terms of improvement in H2.
Piran Engineer: But are you seeing early delinquency starting to improve? Because if slippages have to improve in H2, early delinquency should have improved now.

Jaideep Iyer: Yes, that is happening because we have been taking credit actions on portfolio almost 15, 16, 18 months back. So, if you look at 6 MOB 30+, and 12 MOB 90+, those numbers are clearly showing a trend which is improving.
Piran Engineer: Okay . So, H2 is closer to normal I take it then in credit card slippages? Or just improving , but yet above normal?
Jaideep Iyer: Yes, I think we also want to kind of try and redefine what is normal for us. And for us, normal has been 6 %-7% of credit cost or 6.5 %-7.5% credit cost for a while. And that is -- if that is normal, that is where we should get by the time we finish H2. But I think we are also wanting to look at a normal which is a notch lower than this. That part will take some more time.
Piran Engineer: Got it, got it. And, just secondly on your SA rate cuts, any deposit or behavior change you have noticed? Because one of your peer banks mentioned that after their SA rate cuts, they saw money move out of the bank or money move within the bank to TDs. Have you all also experienced something like that?
R. Subramaniakumar: Yes, TD, we saw some movement from SA to TD but the material impact has not been seen in the moving out of the bank.
Piran Engineer: Got it. Okay, this is useful.
Moderator: The next question is from the line of Rakesh Kumar from Val entis Advisors. Please go ahead.
Rakesh Kumar: Yes, hi. Thanks. So, couple of questions, sir. And firstly, to congratulate you on the good numbers. So, on the core basis, we have improved our performance. So, thanks and congratulate on that.
So, firstly, sir, on the credit card, if I see like there is a sale of around INR938 crore s of loans of around 1.5 lakhs credit card. So, is that the reason only why our return of pool has come down sequentially?
Jaideep Iyer: Yes, I mean, Y

es, we have sold INR900-odd crores of cards. Yes. And yes, return of pool would have come down to that extent. Yes. But it was, this pool was obviously technically written off fully provided long back, a vintage pool.
Rakesh Kumar: Yes, correct. No, so but since it is written off and it is, you have sold to ARC. So, your return of book will fall further, right? Because of this transaction.
Jaideep Iyer: That's correct.
Rakesh Kumar: Correct. But I am just thinking that in the presentation you have given that, you are kind of recovering INR80 crores to INR100 crore s on the card return of number, I think. So, why we are selling it then for, INR25 crore s in all, INR 938 crore s of assets we are selling at INR25 crore s. So, is there any vintage issue here?
Jaideep Iyer: So, Rakesh, what we do is we typically look at -- analytically look at low collectability pools and especially deep vintage where reasonable amount of efforts from the bank would have

happened and that is the kind of pool we select and we look at then the net present value -- net of collection cost that we will incur if we have to collect ourselves and do an analytical exercise and see if we can mix and match a little bit of sale versus efforts that we will do because ultimately we also have a finite collection capacity which w e think sometimes are better utilized for near -term vintage portfolios.
Rakesh Kumar: Got it. In the prime housing loan what is the reason that our yield is not falling? It is on E BLR, right? Essentially that disbursal number yield is not falling. So, any reason for that? Am I doing it wrongly ?
Jaideep Iyer: That is the guideline is existing book reprices . New book is a choice of risk to our customer that we choose, right? So, we have -- if you look at most banks, we have also chosen to sacrifice a little bit of growth to ensure that we are getting a certain minimum yield which is not as low as what the repo cuts have happened. But that’s new ..
Rakesh Kumar: Understood. Like so March and June, the repo difference is hundreds , right? So, are we going down the drain on the quality of customers to maintain the disbursal yield?
Jaideep Iyer: I think it's a factor of the fact if you look at a certain set of banks, this is probably how banks are behaving. We are also ensuring that we are looking at customers and these are also internal customers. So, we are looking at customers where we are able to get our yield s. And that has a

little bit of consequence on growth which we are happy to take.
R. Subramaniakumar: Correct.
Rakesh Kumar: And on this affordable housing, growth is pretty strong year-on-year, from INR1,850 crore s to INR2,400 crore s. But still the difference between the disbursal yield and the outstanding pool is being maintained. So -- and the gro ss NPA has not increased so much So, why this yield difference of 100 bps is maintaining?
Jaideep Iyer: Sorry, so the first question I'll also request our Retail Head, Kumar Ashish , to just give you some more flavor.
Kumar Ashish: Hi. So, if you look at our presentation and slide number 19 and compare the disbursements that we have done in prime housing in this quarter versus that of the previous quarter and even Q1 of last financial year, you will see that we've consciously made a choice to underwrite those prime housing loans which we are comfortable with the yields that we can afford. That's why the number is down a nd that's the point that Jaideep was making that we've compromised on the growth for getting the right yields. On your second question vis -à-vis affordable housing, can you repeat the question again?
Rakesh Kumar: I was saying that from Q1 25 to Q1 26, there is a strong growth in the affordable housing number , gross advances number. So, what is the reason that disbursal yield and the gross advances yield diffe rence is still

maintained at 1%, although the gross NPA the number is very negligible?
Kumar Ashish : The context here is that our entire drive on affordable housing and small la p because you will see the focus and in business banking is to leverage on our branches. Now while the retail

secured asset story has been invested in the last two years, what is happening now is more and more branches of the 560 branc hes so have started participating in cross selling secured loans. As our branches in the Tier 2 and Tier 3 locations are actually cross selling to these customers, that is where we are able to acquire relatively better yields . So while you are right that the disbursements in quarter 1 in affordable housing are twice that of quarter 1 of the last financial year, if you look at the disbursements that we achieved in quarter 3 and quarter 4 of the last financial year, they are in sy nc.
We, of course, will be important to mention here that going forward, these are the areas that we will continue to focus on growth and in the future quarters, you will see more disbursements in affordable housing, in small la p and in business banking, leveraging on our branches and that too in the Tier 3 and 4 markets.
Rakesh Kumar: Sure, I partly understood it, but we can take it offline, I think.
Moderator: Thank you. We'll take the next questio n from the line of Jignesh Shial from Ambit Capital. Please go ahead. Mr. Shial, I have unmuted your line. Please proceed with your question.
Jignesh Shial: Most of the questions have been answered. I just needed some data keeping part. So the fee bifurcation h ad been given on the retail fee side. Earlier you used to give the total fees, so i s it fair to assume that the balance fee would be your wholesale fees and can we get the bifurcation there or how does it work?
Management: That is there in the presentation.
Jaideep Iyer: In Slide 24, you will have fees on wholesale as well.
Jignesh Shial: Okay, understood. So that's basically the wholesale part. Okay, understood. And can I get the LCR data as well, the LCR number?
Jaideep Iyer: 152% for the quarter average.
Jignesh Shial: Okay, that's 132.
Jaideep Iyer: 152.
Jignesh Shial: 152 you are saying, right?
Jaideep Iyer: Yes.
Jignesh Shial: Okay. And your retail disbursement classification has also been a bit changed. So, this is quite detailed one. As far as what you had given now your PL AP, SL AP and BBG will go in the secured business. Is it correct to understand?
Management: Yes. It was secure.

Jignesh Shial: And the AHL, PHL will go under your housing and whereas your RVF and Used will go under Wheels and retail and gold is other retail?
Jaideep Iyer: That’s correct.
Jignesh Shial: Okay, perfect. That’s quite helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Himanshu Taluja from Aditya Birla Sunlife AMC Limited. Please go ahead.
Himanshu Taluja: Yes, thanks a lot for the opportunity. Just a few questions at my end. Sir, firstly, on the credit card portfolio, when I see a slight change in the revolver proportion, the improvement of one percentage point, is there anything to read on that front? And, how that is or is it a sustainable basis?
Bikram Yadav : So, see usually between quarter 4 to quarter 1, you would see this as a cyclic thing. One has to watch it over a period, but if you were to correlate it with our early portfolio outcomes, it does not look like that it is increase of risk or portfolio risk in the portfolio. It looks more like a c yclic movement.
Himanshu Taluja: Sorry, can you repeat again? Sorry, I just missed out?
Bikram Yadav : So, between quarter 4 to quarter 1, usually there is an increase in revolve rates because of the funding requirement with the customers. We have seen that increa

se, but what we have seen is also, we always correlate any increase in revolve with a risk in the portfolio, so that correlation is not holding up.
So, all our credit parameters are well within the range and they do not for now indicate that there is a risk -led increase in revolve rate. It looks like a cyclic increase only.
Himanshu Taluja: Okay, sure, sir. Sir, second question is on the fee -income line, given our credit card portfolio is also rationalized and a mix of the secured is going to rise, how do you expect the fee -income trends to behave over FY 26 and on a steady -state basis?
Bikram Yadav : Jaideep if you would pick this up.
Jaideep Iyer: Sorry, c an you repeat the question?
Himanshu Taluja: Yes. So, it's on the fee -income line, given our credit card portfolio is also rationalized MFI and given the secured assets mix is also, how do you expect the fee -income lines to trend over FY26 and on a steady -state basis?
Jaideep Iyer: So, on core fee -income, as I said, we should be growing the core fee -income slightly ahead of advances growth. So, if the advances growth are in let us say 13%, 14% range, we should be similar or slightly higher. That's how we would want to plan for.

Himanshu Taluja: The third question is from the JLG given our focus on the incremental disbursement are under the CGFMU in sured , what is the dupont of that particular MFI loans post this change of the insured versus the earlier on a steady -state basis?
Jaideep Iyer: So, Himanshu, right now, obviously, we are taking the cost. I think the CGFMU ability to claw back once NPA happens, etcetera, is an 18 month, 24 month plus scenario. So, I think the way we are looking at it is that between contingency provisioning and CGFMU I think as we get more and more coverage and more and more let's say contingent buffers, I think that is how we will look at making the portfolio less volatile in terms of credit costs.
Himanshu Taluja: Can you just help explaining w hat is the typical cost associated by doing this insured ? Can you help me understand what is that?
Jaideep Iyer: So, the cost of insurance is 1%, 1% of the disbursement and subsequent year it will be 1% of the outstanding of the older portfolio.
Himanshu Taluja: Okay. Sure, sir. Thanks a lot.
Moderator: Thank you. The next question is fr om the line of Param Subramanian from Investec. Please go ahead.
Param Subramanian: Yes, hi. T hanks for taking my question and congrats on the quarter. Firstly, on the fee income, could you once again explain what exactly has happened driving this weaker core fee? Because I see everything, I mean, across the break -up that you've given on retail fee s, it's broadly flat or down Y-o-Y.
So, what is driving that a nd within that payment is up 20% Y-o-Y despite cards and card volumes, card spends being lower. So, what is driving the higher payment fees?
Jaideep Iyer: So, payment fees is a combination of card and general banking as well. It's not only cards, though a good proportion of that would be cards. On the overall core fee income, I think it's basically a combination of many other stre ams of income, including FX, Q1 behavior, across FX and other lines of business.
So, I don't think there is anything specific that we have a call -out on this in terms of trend. As I said, we expect this to kind of trend towards double -digit growth as we go forward.
Param Subramanian: Jaideep just wanted to understand within this what exactly is lagging that is going to catch up that makes you confident that we are going to get back to – because it’s soft on a Y -o-Y basis?
Jaideep Iyer: I think part of it is actually non -payment card -related fee streams, including annual fee on cards and other fee income that you make on cards . We expect that portfolio to start getting better from Q2, Q3 onwards.

Param Subramanian: Got it. T

hanks for that. Second question is on PPOP. So, if I look at your PPOP level ROA in this quarter, it's at 1.9 % . It's weaker than what we've had in the past, of course, there's a very sharp margin decline. But, going by what you're talking about, you know, operating expense growing in line with balance sheet broadly fees also, I would think broadly in line with balance

sheet. So it's all dependent on margin, right? This ROA reco very that we're talking about. Is my understandi ng here correct that we expect?
Jaideep Iyer: That's correct. The current PP OP is really pulled down by an extremely sharp decline in margins. And as I said, thi s should start looking up from a little bit from next quarter, but more importantly from H2. And I think that will be the material difference for PPO P to claw back. Having said that, I think we've said in the past that we will h ave a best case situation of PPO P being flattish. So we continue to say that PP OP for the full year will be similar or slightly lower than last year.
Param Subramanian: Got it. So within this margin, Jaideep , so your guidance says that the secured book will grow faster than unsecured. So is it that we see a very sharp decline in funding costs through the course of the year that's going to drive this 30 basis point sort of expansion in margin? Because the book mix change that you're talking about is a bit adverse ?
Jaideep Iyer: Yes, so I think the, yes, the Q1 numbe rs obviously bear the brunt of the re -pricing that has happened because of Repo cut while there is a tail left. But the cost of funds benefit will come substantially in Q2. And we expect to do significantly more rate cuts because we do ha ve a lever in savings account, which is still, while the peak rate is 6 .75, blended average is about 6%. So there is enough for us to cut. And we are doing this consciously to cut it gradually because , we are also now engaging with customers for multiple product relatio nships so that we minimize the impact of SA cuts on balances as we go forward. So yes, cost of f unds, cost of deposits will be one dominant lever.
And if you look at, while I'm sayin g that the growth in unsecured is going to be lower than growth in secured, but if I look at standard book growth, so today if you loo k at microfinance, there is a large book which is provi ded for and not giving income. So as technical write -offs happen over time and as the mix of book improves to a standard, both in cards and MFI, that is the impact also that should come through in margins and NII.
Param Subramanian: Got it. So if you could just quantify that, Jaideep , so what is the interest reversal number that you are seeing as a pressure on your margin line curre ntly, which will say come down?
Jaideep Iyer: So rather than getting into that specific, Param, what we are trying to say is that today the contribution from standard book of MFI and cards will improve going forward as a percentage of mix. As a percentage of mix, despite the fact that the growth in th at book is going to be behind the secured book.
Param Subramanian: Fair enough. And one last bit. So what is your X bucket collection efficiency in microfinance currently?
Jaideep Iyer: 98.4 I think this was disclosed as a part of our advance s disclosure.
Param Subramanian: 98.4 is it?
Jaideep Iyer: Yes, that's correct.
Param Subramanian: Thanks a l ot and all the best. Thank you.

Jaideep Iyer: Thank you.
Moderator: Thank you. We will take the next question from the line of Mohan Raj, a Retail Investor . Please go ahead.
Mohan Raj: Hi everyone. I just wanted to understand this CGFMU scheme . Like now, since we started covering, this would be a n additional cost for the micro finance business. So including this cost, the yield from the unsecured business would st

ill be higher than the secured one? Or how is it going to be profitable including all these expenses?
Jaideep Iyer: See, CGFMU is a 1% effective insurance cost that takes care of a reasonably large portion of potential NPA slippages that come. The only challenge is obviously the actual recovery from CGFMU is a significant lag over NPA formation. Whereas the cost for ins urance is obviously up front.
But I think from a medium term perspective it is quite logical to take this coverage and along with the contingent provisioning that we have created, we should be able to hold variability here

on provisioning. And we also expect business to get more and more normalized as we go forward. We have seen a brutal cycle last year. Now that the guardrails are in place, by MFin and all lenders we expect the lending to be far more disciplined than we have seen in the past.
Mohan Raj: Thank you.
Moderator: Thank you. The next question is from the line of Vansh Solanki from RSPN Ventures . Please go ahead.
Vansh Solanki: Yes. So as the management mentioned in the previous call, we have already built our CC distribution in -house. And also we do the budget finance and stability. But still we see the numbers for credit card spend and our spends on a credit card are quite lower than the industry standards. So my question is just how the company is thinking to stabilize these numbers and when these will be stabilized and how the efforts are making its way?
Bikram Yadav : I'll take this. So see, once the exit of BFL has happened, we have been consolidating which customer segment do we want to play and how do we run this business going forward with a different management method. Now if you are to see, on a year -to-year basis, we have reduced our AIF by about 10%.
These are those customers who are either marginal or were not active or were not, contributing to the spends. Despite 10% decrease in the customers , our spends have not gone down with the same proportion. We have only lost about 1% spends. We are right now in a process of fixing our product staircase processes and some bit of, product improvemen ts to create bundled offerings.
You would see that we will start acquiring a one notch above customers say from quarter 3 onwards and then the spend growth would mostly be likely to be in line with the industry. So this was a conscious consolidation phase in which we have slowed down to redesign the business to be ready for growth in the second quarter, in the second half of the year.

Vansh Solanki: Okay, thank you. And the second question was about the slippages that if we show the percentage of the growth slippages, it is quite normal and flat like 1.81 % to 1.15% Q -o-Q, but when we see the net slippage it is grown up from 0.81% to 0.99%. So is there some recovery in the last quarter which did not happen in this quarter or what?
Jaideep Iyer: Yes, there is. From a trend standpoint, Q1 has been slightly lower on upgrades and recovery than Q4, but we expect that to kind of come back to similar levels in Q2.
Vansh Solanki: Okay, thank you, sir.
Moderator: Thank you. Ladies and gentlemen, we now conclude the question and answer session. If you have any further questions, please contact RBL Bank Limited via email at IR @rblbank.com. I repeat, IR@rblbank.com . On behalf of RBL Bank Limited, we thank you for joining us , and you may now disconnect your lines. Thank you.

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Q2 FY '2 6 Earnings Conference Call"
October 19, 202 5

MANAGEMENT : MR. R. SUBRAMANIAKUMAR – MANAGING DIRECTOR
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MR. RAJEEV AHUJA – EXECUTIVE DIRECTOR– RBL
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MR. BIKRAM YADAV – HEAD-CREDIT CARDS – RBL
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MR. RAMESH RAMANATHAN – HEAD INVESTOR
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Moderator: Ladies and gentlemen, good day, and welcome to RBL Bank Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. R. Subramaniakumar Managing Director and CEO of RBL Bank. Thank you, and over to you, Mr. Kumar .
R. Subramaniakumar: Thank you, ma'am. Good afternoon, ladies and gentlemen. Thank you for joining us here on a Sunday afternoon. Especially during the festive season. We truly appreciate your time and presence. Yesterday was a landmark day for RBL Bank. We announced a histori c strategic transaction, which I will speak about shortly.
But before that, let me briefly touch upon our second quarter results also announced yesterday. Over the last several quarters, we have stayed focused on strengthening our balance sheet through granularization of both advances and deposits and by optimizin g our retail mix. I am pleased to say that this journey continues steadily and with discipline.
During the quarter, our advances crossed INR1 lakh crore s mark, the secured business loans now above INR10,000 crores, and secured working capital and tractor finance portfolio crossing INR2,000 crores and INR3,000 crores, respectively. Our secured retail and commercial SME businesses continued to grow healthily.
The wholesale banking remains a key growth driver, contributing meaningfully to advances . low-cost deposits and profits. Our bran ch-led retail asset business is scaling up well. With over 60% of the leads now sourced from the branches. In fact, our entire organic gold business originates through branches, helping us to keep the acquisition cost low.
On the liability side, the granular deposits have grown consistently from around 43% a few years ago to about 51% today. Term deposits below INR3 crores have grown at a CAGR of 21% over the past 3 years. We have consciously derisked the portfolio. The secured retail loans now form 34% of advances, while unsecured retail has reduced from 34% to around 26% over the past 6 quarters.
The strong underwriting has kept net slippages near zero in wholesale and secured retail segments, which together account for nearly three fourth of total advances. The MFI portfolio is normalizing well and we expect it to return to pre -COVID levels of stability soon.
The credit cards, however, remain an area of the focus as we address stress in the world of vintages. Our retail secured products, which have been in the investment phase for the last 2 years, have now turned PBT positive as a cohort.

And we expect all the segments barring prime housing to contribute to profitability by year -end.
In short, the bank is well positioned for consistent the profitable growth with a stronger and more diversified balance sheet. The foundations we have built th e granular liabilities, the balanced

retail portfolio, the bran ch-led origination and improving cross -sell intensity will continue to anchor our strategy.
Now turning to the important announcement on the transaction that we announced yesterday. Emirates NBD, the second largest bank in the UAE, and a leading financial group in the MENAT region will invest approximately US $3 billion through a preferential issue , subject to shareholder and regulatory approvals to acquire a 60% stake in RBL. This will also trigger an open offer as per SEBI guidelines. P ost completion, the Indian business of Emirates NBD will merge with RBL Bank. This infusion will take our net w orth to around INR42,000 crores and po

sition us
among the best capitalized banks in the country. It enables us to accelerate growth across our existing businesses, invest meaningfully in technology, brand and distribution and create a stronger and more diversified income st reams.
Emirates NBD brings not only the capital, but also the deep global banking expertise, digital innovation capabilities and access to the vibrant trade corridor between India and Middle East.
This partnership marks the beginning of a new chapter for RBL Bank . We have transitioned from stability to sustained growth from selective participation to the leadership in chosen segments and from being a midsized Indian bank to be a future -ready institution backed by one of the most respected financial groups in the r egion. We believe this transaction will create a long-term value for our customers, employees and shareholders and reinforce our position in India's fast evolving banking landscape.
Thank you, and thanks once again to all of you for coming on a Sunday afternoon.
Moderator: The first question is from the line of Rikin Shah from IIFL Capital.
Rikin Shah: Okay. Congratulations team for the landmark deal, really fantastic. I had a couple of questions to begin with. First one, just wanted to understand how the net worth would look like after the pref open offer and the amalgamation is done? Is it broadly around INR44,500 crores -- INR42,000 crores -- okay, INR44,500 crores on day one. So maybe whenever the deal gets consummated, the new networ th would be around INR44,500 crores. So that's a correct understanding, right?
R. Subramaniakumar: Yes, around INR42,000 crores to INR44,000 crores in between...
Jaideep Iyer: Including the branch merger, INR44,500 roughly, yes.
Rikin Shah: Okay. Got it. Secondly, sir, I mean, this is abundant capital, which probably means that you wouldn't need capital for the next 5, 7 years, curious to understand early days, but what is the capital allocation plan? When -- with this capital coming in, will you be thinking about retiring some costlier cost of funds or make some inorganic acquisitions.
How should we think about this allocation of capital? Because the eventual deployment of the loans will happen only over a period of time. So over the next couple of years, what could be the allocation plan for the bank?

R. Subramaniakumar: So I'll give a broad sense, the details of it, we can work and then discuss subsequently after the transaction is consumed. So broadly, we first scale all the existing businesses because all these businesses which we have already implemented as the clear g rowth path. So we will be in a position to scale that. That is one.
The second, there are some new opportunities which will open up because of this particular transaction. And these new opportunities are likely to be in terms of NR business and the cross -border payment cross -border transaction and trade business, and it wi ll also open up our ability to do competing our competitive land space of the corporate business, we will be able to do more business for those corporates who are from these geographies doing business with us.
And we will be in a position to do more corporates who are doing corporates of India who is doing business in those regions. So this is a new opportunity, which is growing up. those there will be the additional allocation which will happen. However, the de tails of it we can work out. Jaideep, do you want to add something?
Jaideep Iyer: Yes. And Rikin, I think on the liability side, clearly, we will not stop the retail engine growth on deposits and especially low -cost deposits. What might happen is, of course, the need to look at any long -term foreign currency borrowing, etcetera , etcetera , will dramatically come down and

there might be some retirement of liabilities. But the core banking business is not something tha

t
we will want to compromise.
Rikin Shah: Got it. And a few more follow -ups on this. So given Emirates has its own credit rating, has the rating of its wholly owned subsidiary in India, which I think is also AAA, would you expect credit rating agencies upgrading the rating for the bank from AA -? And if that were to happen in two scenarios, let's say if it gets upgraded to AA+ and/or AAA, what is the incremental delta on cost of funds that one can potentially see if that were to happen? So that's number one.
The second one, if you could talk a bit more about the current business of its wholly owned subsidiary, how big is it? How complementary in terms of the loan book portfolio vis -a-vis RBL Bank currently if that were to be integrated, what could be the IT or employee integration challenges, if any? That would be the second one. And I have a couple of others, if you allow me to ask them or as we'll come back later on the call.
R. Subramaniakumar: So, second question will answer first one, I'll ask Jai deep to give the details about it. They are working on a technology platform similar to us. So, the question of -- I mean like the merging the branches into the RBL may not be a big challenge, number one.
Number two, they are mostly into the corporate banking and very few accounts -- some few accounts are common between us and this -- we're assuming that and then taking it forward may not be a challenge for us to work with regard to that other point.
Jaideep Iyer: Yes, on cost of funds, cost of borrowings, again, I think yes, we would definitely expect the rating upgrades to happen. But today, if you look at our cost of deposits, I would say, give or take, we are maybe 1% or so higher than, let's say, the large priv ate sector banks. And I would expect that gap to materially narrow over time.

Rikin Shah: Okay. And if I can just maybe squeeze one more question and then perhaps, I'll come back again. How should we think about the proforma financials for next couple of years given there are multiple moving parts here?
Of course, given significant capital coming in, the leverage goes down and ROE gets down, but the ROAs will also materially move up. So, any guidance on how to think about the potential financials in FY '27, '28 would be helpful.
Jaideep Iyer: No. Rikin, it's a lead too early to comment on the specifics that you're asking. But directionally, of course, as you rightly said, ROA will materially expand given the large inflow of equity. And ROE will be a function of getting a reasonable leverage ont o the books over the next couple of years after that. But given the very strong expansion in ROA that happens, we would expect to claw back to a reasonable level of ROE respectable levels of ROE within a couple of years.
Rikin Shah: Perfect. And just one last data keeping question on the quarterly results. I think I saw that there was INR44 crores of some adverse MTM impact. If you could elaborate on that, what was that, it will be helpful.
Jaideep Iyer: Yes, I think we are holding Utkarsh Small Finance Bank through the holding company, which subsequently will get merged, they declared because of ECL considerations, they also declared a reduction in net worth, and that resulted in a mark -to-market which happens once a year based on the audited financials of the investee company or the Holdco and that is what resulted in a reduction of about INR40 crores.
Rikin Shah: And any potential further implications from this particular investment or this was one time?
Jaideep Iyer: We don't expect anything more.
Moderator: The next question is from the line of Kunal Shah from Citi group.
Kunal Shah: Yes. So again, related to the deal in terms of the consumption of the capital how frequent would that be? And maybe in terms of the growth acceleration from here on? Obviously, the capital would rise l

ike almost 2.5 threefold. But in terms of the growth ac celeration, how should we look at it?
Or maybe we will look more at inorganic opportunity because the entire machinery, I think, we need to invest a lot into the machinery to get to those kind of growth level. So ideally, how much time would it take for capital to be adequately consumed and any inorganic plan?
R. Subramaniakumar: See, right now, when you look at the opportunities, we don't say that the opportunities for inorganic cannot be ruled out. Yes, it is also the one more . First, we are working out very deeply with regard to organically how we can consume and grow multifold. Today, our capacity, which we have built it in respect of all the businesses, as well as delivery missionary will facilitate us to achieve a fairly hi gher growth level than what you have been seeing it for the last couple of quarters. So this is one.

The second is that as we grow to our capacity, the capacity buildup will take place. since we were able to establish all the product lines. It is a question of only location and expanding it. That should not be a big challenge given our streamlined processes of capacity building. During the two quarters, after the consummation of the capital and other things, the growth will be accelerated. Thereafter with the additional capacity, which is not thoroughly done with, we'll be able to give a little more accelerated plan. Meanwhile, we don't rule out the opportunity for the inorganic, which we'll keep looking at it. That is too early to comment exactly how this is going to pan out.

Jaideep Iyer: Yes. I think Kunal, one should appreciate the fact that this is an announcement. And I think the transaction consummation itself is several months affair , which gives us enough time to plan over the next few months. So this is just the announcement of the transaction.

Kunal Shah: Sure, sir. So, on that, but -- so maybe in terms of the capacity buildup which we have, what is the kind of growth, like today, maybe this quarter we saw some acceleration out there? Now getting towards next 14 -odd percent. But does the existing network and distribution franchise suggest that we have the potential to even grow at 20% or so without immediate investments?

Rajeev Ahuja: Kunal, this is Rajeev. I'll talk to that. So, if you see barring the micro finance and card business, which because of the environment and our own risk adjustment, we have actually pared them down over the last few quarters. The rest of the business actually has been growing quite well. Retail secur ed advances has grown between 25% and 35%. And there is more and more opportunity to do that.

The wholesale business actually where the machinery is the most developed, which can actually grow a lot more, and that does not need a significant addition and perhaps -- this is also where the cross -sell, the ability to do more business will actually bec ome easier for us, not just in the long run, but in the short run, too.

I would say these are the natural ones to grow faster as we continue building the capacity on the more granular business in retail, as of micro finance will come back, okay? And I think by the end of this quarter, card will also start showing organic growt h. So we should see a natural growth of the current structure of the business come back. in addition to what we can do in at least three out of the five businesses, that's what we can do by a buildup of capacity.

Kunal Shah: Sure. And on open offer, is there any limit? So today, the open off er price seems to be almost similar to that of the deal price at 280. So maybe -- is there maybe we don't get too much of an open offer, they would even be okay with just holding 60%. Is there any limit.

I think any which way there is up ward cap of 74% in terms of FII holding which might not be crossed. But maybe on

the visible side, is there any benchmark or maybe it can be even like, say, in low single digit maybe if it's like say, near to the deal price, yes.

Jaideep Iyer: No, Kunal, I think the open offer is a consequence of the preferential. I think the intent here is to look at a 60% pref. And as you rightly said, one would normally not expect anything material in the open offer.

But the construct is that there is a minimum 51% that will be taken up by ENBD. Depending on the foreign shareholding in the open offer. And -- but the idea is to be at somewhere in the 60% range plus the branch merger, which will add another maybe 2% to t he transaction.

Kunal Shah: Got it. And the last question is on the write -off in corporate, particularly as well as the MFI. So, the accelerated one this quarter? Is it more to do maybe getting closer to this transaction where there was an acceleration or if there was anything specific?

Jaideep Iyer: This is an absolute business as usual and that is not going to change even in the next couple of quarters. We are repeating this is an announcement. I think the closing consummation of the transaction is going to take its own time. We will be on our natura l normal growth trajectory.

Kunal Shah: So even write -off in the corporate almost like INR40-odd crores.

Jaideep Iyer: No, no, that was a very old NPA, Kunal, which had become old enough for us to kind of do a routine write -off. There nothing, it's a technical write -off. Nothing really because -- yes, just 100% provided NPA.

Moderator: The next question is from the line of Anand Dama from Emkay Global.

Anand Dama: Congratulations for this deal, my first question was that -- so this deal obviously came as a very positive surprise. But what is the rationale behind this acquisition by NBD? We could have actually grown. We were already on a recovery path, possibly, we c ould have grown on our own with some kind of capital infusion. That is number one.

Number two, in the release, you have said that there are regulatory approvals that you will require. So what is going to be the sequence of those regulatory approvals and whether you will also need an approval of NCLT because that is going to be a merger of the Indian subsidiary of NBD Emirates .
Third, the broader construct of the NBD Emirates given that basically, how do you see the portfolio reshaping for us. So, for example, we are more of a retail and MSME bank at this point of time, that's of corporate.
Do you believe that the portfolio shape of the RBL Bank in the future years to come under NBD would undergo and change, and we will actually be more of corporate than more of retail as such? Any early discussions which have happened on that? And if you can share something on that, that would be great.
R. Subramaniakumar: One of the biggest attraction of RBL is the retail franchise and the retail growth story, which has been seen and its execution capacity. And, at the same time, not giving up its ability to grow in the corporate. This is the first basic principle and the v ision with which strategy will be built thereafter. It will be by scale for the existing business and addition of the new business.
And coming to your other point of saying that why the capital infusion we re not local growth.
See, everybody has a great aspiration on doing it. Given an opportunity, nobody would like to

be a small midsized bank forever. And you know that small midsized bank has its own challenges.
And the most obvious reason, or most obvious step would be that we want to get on to the larger league or on the top of midsize d bank and not to call as a small bank, for which the one important ingredient is the capital.
When the capital is -- either you go in a tranche small, small sets or upfront everything and then try to bu

ild the building base on that. we thought that getting it upfront and then building the -- because all the building blocks are available. It is a question of only scaling. So with this, we will be able to do much faster than what otherwise we would have achieved our desired dream of moving up in the ladder. That's one important factor. And what is the second question?
Jaideep Iyer: From the approval standpoint, Kunal, it's -- sorry, sorry, Anand. Sorry -- so from the approval perspective, the RBI approval and government of India approvals and CCI approvals. The merger specifically is under the BR Act of 44A and therefore, there will be no NCLT process at all. And that is what is typically with respect to banking companies and branches, everything gets done under the RBI guidelines.
R. Subramaniakumar: The first approval will be the shareholders' approval, which will be on the 12th of November, we have called the EGM. Thereafter, all of the approvals, what he said will be applicable.
Anand Dama: And sir, the open offer will trigger only after preferential placement is done? Or because I think in the press, there was one question, and I think where it got -- I mean they were confused that the open offer actually or they might acquire the stake firs t from the market and then actually look at pref. If you can just clarify on that.
Jaideep Iyer: Yes. So Anand, basically, normally, as you know, the pref happen s first and then the open offer. But in this case, since the preferential issue is 60% and on paper, we have to look at a 26% open offer of the expanded share capital.
On paper, therefore, the stake can go up to 86%, which will, of course, cross the minimum public shareholding requirement of 25% to be with the public. And of course, we are going to be -- continue to be a listed Indian bank. And therefore, the SEBI guidel ines allow under a certain section to actually first consummate the open offer. And depending on the open offer, the preferential and the open offer gets proportionately scaled down.
Now it's a different issue that one doesn't expect anything material in the open offer. But obviously, from a process standpoint, one has to have the ability to do a 26% open offer. And therefore, this is happening in this form, which allows us scale down proportionately of both the open offer and the preferential issue such that the minimum public shareholding is at 25%.
And therefore, the investor goes up to 75% on paper. And then, of course, from 75%, the investor has to come down to total foreign shareholding of 74%, which will happen through the scale down of only the preference issue. That is the structure.

Anand Dama: Okay. So in that case, first, your approval actually will come for open offer or there could be an open offer in next month and thereafter, we can...

Jaideep Iyer: Open offer after all regulatory approvals, RBI government of India...
Anand Dama: First all approvals in place. And then first the open offer will be launched and then the placement.
Jaideep Iyer: Correct. The pref will happen within 15 days of the closure of the open offer.
Moderator: We'll take the next question from the line of Jayant Kharote from Axis Capital.
Jayant Kharote: The first question is regarding the ROA question. I see that secured assets is clearly the focus area incremental ly. If you can call out a couple of products there where you can see in the next 3 years, the size of such products can become, let's say, 2x, 3x or anything that you can call out in terms of the size?
Basically, what we're trying to understand is which will be the drivers for incremental growth if you are sitting with such large network, you can build size of books over there ? So, if you can call out that is first. And second, just a follow -up on that. Can you also tell us the ROA profile of your secured retail book and which

products have a slightly better ROA profile there, if you can call that out ?
R. Subramaniakumar: Yes. With regard to the growth adjusted ROE, I'll ask Jaideep to answer you. See, there are the products which we have launched. You just look at the things which have grown. For example, the BBG, which is nothing but working capital and term loan for the various business groups. It just propelled beyond doubling of the business. That is one. So it will continue to grow at that rate when the new network is because the opportunity we feel is pretty huge in MSME sector.
And second important thing where there will be a multiplicity will be in respect of liability mobilization with a distribution point getting doubled and tripled, that is one. When the distribution points grows up, it certainly opens up a big business for all our mortgage business. wheels business and our BBG business.
All this business gold loan, which is a branch based, that is also get propelled and that is something which will be in terms of 3x, 4x because the gold is where the current trend, we will be able to get into the space of some of these NBFCs which are doing it. Today, we are not able to get in the space because of the lack of distribut ion available to us.
And another very important point, what you can think about is in respect of the distribution point is going to create our visibility, and it will provide us a big opportunity for the SME and commercial banking. That is something which will also be an oppor tunity to grow to 2x, 3x.
And the synergy between this -- the investor and the bank will also provide you a big opportunity in corporate. And the corporate will no longer be growing at what is the rate we are doing. You would have seen in the last quarter, we grew around 14%. And 2 0% is what the corporate has grown and commercial has grown around 32%. There, we can see a large opportunity to grow at much faster than what we have been growing it.

While the composition may remain all the engines which we have already fired in last two things have an ability to grow multiple. And now we will be looking at some of the missing parts of our retail portfolio, which we have not launched the commercial vehicle, we can explore those possib ilities.
And apart from that, the important thing which will multiply is our ability to grow the retail deposits. Retail deposits has one constrain t by having the footprint. Today, the footprint is at 561 locations that we can have it -- when the footprint increases to multifold, our ability to have the retail deposits less than INR3 crores will also get spiral up. And with this, we are not looking away from corporate -- from the credit cards.
The credit card is another big business. We have reimagined the entire business. We have been doing with the partner with more branches available, certainly, our ability to mobilize from the new market will go up and which we have totally reimagined. So ne xt 1 or 2 quarters, that will become normal with high business growth opportunity that will enable us because when the business grows high, our ability to grow in the car d also proportionately goes up.
So is our micro finance, which is coming out of the woods , and it may not be spiraling very high, but it will be fully utilizing the capacity and it will no longer be the only vertical which is contributing revenue. And with its CGFMU and other coverage we have taken. It will be able to sustain any down cycle.
So the model what we are looking at it is more capital, there will be a spiraling of the business in the normal secure d and other things, which are going to give us a higher. In fact, I just made a statement that our entire secur ed has become profitable at PBT level. I will ask Jaideep to tell you about all ROE and related activities.
Jaideep Iyer: Jayant, just to add to Mr. Kumar, basically c

onceptually think about improving degrees of freedom, right? I mean I think we are constrained today on cost of funds. And therefore, we have certain choices on the assets. Those constraints begin to fall away, giving obviously, even with the same product segment, the opportunity to grow becomes that much faster. So that was one on the question on retail assets , I think tractors is very profitable for us, followed by the other small AHL and small business loans. Prime mortgages is where the spreads are narrow and which will take some more time for profitability.

But as I said, that opportunity improves because over time, we will expect to become far more competitive on cost of funds as compared to, let's say, larger peers over time. And that degree of freedom is actually what really makes a big difference because the risk reward choices get influenced basis that.

Jayant Kharote: So just if I may add a follow -up. It's clear that the strategy will be distribution led over the next couple of years. Fair to say that if -- even if you get an optical bump up in the ROA right now, you would want to use that to invest in creating more long -term value through expanding.

Jaideep Iyer: That's correct, yes. Absolutely. So the answer to your question was yes.

Jayant Kharote: Okay. So any time frame if let's say, from INR560, we want to go to INR1,500, INR2,000 , any time frame in your mind right now?

Jaideep Iyer: I think it's too premature. I'll repeat the statement that we made that this is an announcement to take us several months to consummate the transaction, that gives us enough time to plan.

Jayant Kharote: Okay. Okay, one slightly one more question, if I could squeeze in about the quarter. I see an inch up in the slippages in the credit card personal loan portfolio. Can we expect this to be the major part of the bulk stressed identified book? Or 3Q should be a sharp improvement? Or it can -- the tail is still there?

Jaideep Iyer: No, Jayant, I think the cards portfolio slippage will take a couple of quarters to normalize. So we will be in this range, give or take, for at least 1 to 2 quarters before we start seeing things improving.

Jayant Kharote: And largely cards not PL, right?

Jaideep Iyer: They are fairly integrated in that sense. So typically, PL, of course, will always be on a like -to-like basis lower than cards because PL gets cross -sold to the upper end of card customers. But when we are talking about slippages, this number is a combinat ion of both.

Moderator: The next question is from the line of Rakesh Kumar from Valentis Advisors.

Rakesh Kumar : Yes. So sir, just a couple of questions. So post this transaction and open offer, how would the senior management hierarchy, how would the Board structure would look like?

R. Subramaniakumar: The Board structure as per that particular transaction agreement, which we have signed, it will be a 50 -50 in a sense, 50% will be an independent subject, of course, to RBI approval. 50% is an Independent Director . 50% will be the non -- other than Independent Directors , so that rather than independent directors will have two components.

One will be executive Directors and the Non-Executive Directors . So they will have the right to nominate the Executive Director and NEDs as well. Today, the bank has a Board of around 11. So the 11 will not work for that. So the Board can be at a 10 or 12, it will be an even number. We have already moved for that to b e amended as instead of 15, we wanted to have it the cap 14.

Rakesh Kumar: Okay. So net -net, how many representatives they would have post the transaction?

R. Subramaniakumar: See, that is what it is a 10, 12 or 14 is going to decide that particular number. If it is 10, you can easily calculate it is other than the ED and MD, five-five and you add up three , then other numbers are only the math

ematical formula.

Rakesh Kumar: Got it, sir. And sir, senior management and top management, how that structure hierarchy, would there be any change post that? Any discussion we have had so far?

R. Subramaniakumar: Parking the discussion part out of it, I just wanted to tell that this is the senior management and the senior management, which has been working. And the entire group has been working

together for the last 3 years to stabilize the bank consolidate the bank and grow the bank. And I don't find the reason that why some of the team should come for scaling the bank since it is not going to be the other one, the take is very simple.

Any investor will be liking to see that the delivery of the team. And going by that way, that the team will stay together. And you know well that my given statement is always work with the team, we have been doing it. Last 3 years, they demonstrated how go od they are and will continue to grow.

Rakesh Kumar: Sir. I agree with you. And sir, second thing, like it was -- I couldn't understand it having looked at banking for the last around 25 years. You said that you will have capital and the growth will be multifold. So hypothetically, any largest like large pri vate bank considering that they have abundant amount of CET capital, so they start growing at a very high pace. Does it look like such a easy possibility?
R. Subramaniakumar: Of making a comparison within the banks who has already rea ched certain scale. I just want you to look at this. This are agile and the bank, which is the hunger for the business. Our market share is hardly 0.5% whereas the opportunity available is much, much larger.
If I increase the distribution and we are in a position to build the capacity as we have been telling about you, this market share of 0.5 has an ability to go to 1. So when you wanted to move from 0.5 to 1, there is a huge business growth, which will be -- which is possible with this kind of infusion what we are talking about, what we have agreed upon.
Moderator: The next question is from the line of Param Subramanian from Investec.
Param Subramanian: Congratulations on the deal. So firstly, part of my questions have been answered. Firstly, again, on management, will there be -- as in will Emirate s be bringing in management representatives? How to think about that from a senior management perspective?
R. Subramaniakumar: Right now, as for the agreement which we have inked , it is a Board which they are talking about, the management will continue as it is as per the agreement I'm talking about. And we can't predict beyond 3 years or 4 years. I'm talking about the current short term, understanding what we have and what has be en inked in.
Jaideep Iyer: And Param fortunately, the ir business is quite small, right? So , we don't expect any material overlap at all.
Param Subramanian: Fair enough. Okay. And secondly, see, so I heard a lot about. So for example, you mentioned that your cost of deposits come down. You're also a significant part of your balance sheet will now get equity funded.
So I'm presuming it allows you to expand into a lot more products now that you couldn't do earlier. So from that perspective, would it be fair to assume that over next year or next couple of years? You can grow at 30% plus. I'm just putting a number out there. But on your loan book, would that number be broadly correct?

R. Subramaniakumar: Depending on the opportunity, this is something which is global with buying capacity, which we have created.
Param Subramanian: Yes, sir. So you also mentioned you're doubling, tripling of branches, expanding new products or some rough number we can work with from a growth perspective.
R. Subramaniakumar: What you said the 30% is very much global . That is something global. But anyway

, we'll get into the greater details and we'll speak on that once we are ready with all the things. Let this deal be consum ed as Jaideep said before, next 5 to 6 months is a period where we'll get into the much more granular . This is something we just -- we just signed the agreement yesterday. That is -- but we have a plan.
Param Subramanian: Yes. Fair. Yes. Fair enough, sir. And lastly, sir, so a very significant portion of India remittance comes from UAE and you've got a market -leading player as your partner. So how to think about the impact of this on your CASA overall as in where that numbe r can move as in some rough numbers you could call out I mean I don't want a number on CASA ratio as such, but how much -- how significant this impact would be?
Jaideep Iyer: Param, again, I think it is really too early to talk about specific numbers on business. I think what we are comfortable in saying that the opportunities open up quite substantially on all the areas that you mentioned and more. I will again repeat. I think we've just signed the agreement. There are several steps to be taken over the next several months for closure. And we will have enough time and opportunity to, one, get more precise at our end, along with ENBD and to also communicate that strategy going forward to other stakeholders.
Moderator: The next question is from the line of Vansh Solanki from RSPN Ventures.
Vansh Solanki: Sir, my question is on a NIM that as we are cautiously expanding now JLG book also and our wholesale book also from last many quarters are expanding very well. So can we just see that our yields on advance is now bottomed out? And from now on because our books are growing, so our yields on advances will grow from now, maybe Q3 may be stable but Q4 will be a much improvement there, right?
Jaideep Iyer: Yes. Vansh, I think we will see levers on both sides. We will -- you're right in saying that both -- I will add actually that your yield on advances has bottomed out and will start moving up.
Primarily because of the mix, and I'm keeping any other subseque nt repo cuts a side this is ceteris paribus answer.
On the liability side, there are more levers where rate cuts will continue to flow through. And

therefore, in a nutshell, therefore, we should see margins expanding from Q3 onwards. We had guided that in Q1 that we have bottomed out, and therefore, Q2 is f lattish, maybe just a basis points above but we are quite confident in saying that we should start improving margins from here.
Vansh Solanki: And how much percentage of our deposit is repriced as of now because Q2 where a very good number of reduction in the cost of funds. So can I assume the same for a Q3 onwards or...

Jaideep Iyer: No, I think -- no, I don't think so. I think the improvement will moderate. But we still have levers on our savings accounts, which we will try and look at improving on that front over time. But I don't think we will have the delta that you saw between Q2 and Q1 on cost of funds going forward. It will moderate.
Vansh Solanki: Okay. And on the write -off side, the previous question also someone asked about JLG book. So from Q1, the write -off on JLG is doubled in Q2. So is there any problem on ground or what it is or is just business as usual?
Jaideep Iyer: No, once this is -- we have a 365 -day write -off policy. If you recall, the stress in the MFI book started from Q2 of last year. So actually Q3. So this is -- the write -off that you're seeing in Q2 is what slipped in Q3 of last year. So it's just a mathemat ical outcome of the slippages that we saw over the last 3, 4 quarters.
Vansh Solanki: Okay. Okay, sir. And the last one is on the other income. I just saw that fees income are increased in last 1 year from last Q2 also and Q1 also. But still, our total other income is almost will not -
- has increased so much

there is a 13% decline Y -o-Y. So is there any oth er part of other income, which is not increasing that line?
Jaideep Iyer: No. So the two aspects to this, the treasury income, which is based on a sale of G -Secs and equity investments, etcetera , is, of course, episodic anecdotal can't be smooth. So that is one noise. And second, we answered in the beginning of the call that we have a mark -to-market impact of unlisted share that we are holding in Utkarsh holding company, which was approximately INR40 crores. That goes as reduction in other income.
Vansh Solanki: Okay. Okay. And is there any other -- how can you just give me a number how much treasury income in the current quarter and Q1. If we had a number available?
Jaideep Iyer: So Q1 was a large number. One because of the interest rates having come down, the trading income on G -Secs was INR270-odd crores in Q1. This quarter, there was nothing substantial.
Moderator: The next question is from the line of Piran Engineer from CLSA.
Piran Engineer: Congrats on the great deal. Just firstly, a couple of clarifications. On the previous question, my line was a bit hazy. On the NIM trajectory, are we still guiding to that 4.8% exit NIM for the year?
Jaideep Iyer: Yes, we said that we bottomed out in Q1, and therefore, Q2 was flattish. We will expect from here on 10 to 15 basis points improvement every quarter. So we are -- yes, we will continue to hold a 475 to 480 exit in March.
Piran Engineer: Perfect. Perfect. And also just broadly on credit cards. Now the industry, including us, has been taking a lot of portfolio actions for the last 6, 7 quarters. But we still sort of continue to see slippages. And by we, I mean the entire credit card industr y, what do you think really are we missing here? Like why aren't the portfolio actions yielding results when it's such a short -term loan?

Jaideep Iyer: Yes, I'll have Bikram answer that, Head of Credit Card, Bikram.
Bikram Yadav: So, the point that you're making is absolutely right that at an industry level, we see some residual stress in the customers, which were already delinquent. As we have said in our previous guidance that any time when there is a rapid issue. And so if you were to see from 2022 until 2025, there has been a rapid issuance and then some part of that cohort is still a bit painful.
Now thing with portfolio action is that whatever portfolio action s that we have taken is already giving us a sense of relief on fresh incidence of defaults and resolution of fresh delinquencies. The residual stress is only in delinquent or minimum paying customers in delinquent base. So thing is that the fresh incidents of defaults have already started coming in line. We would need -- at an industry level, we would need about 2, 3 quarters to deal with the existing delinquent book.
Piran Engineer: Okay. So, if you could just give us a sense of, say, there are 100 customers who are delinquent typically, how many flow into NPA and how many flow back into standard.

Bikram Yadav: So, see, this would vary from which bucket do they stay in. Typically, what we see is that the customers who reach 4 or 5 DPD, which is -- so about 90% of them get resolved. And the trickle down is about if we were to say that from a first -time delinquent bas e to NPA, about 0.8% of the customers eventually land up in NPA pool.
Piran Engineer: Okay. Fair enough. And once you land up in NPA pool, let's say, after a few months, you recover that money, do you reinstall the original credit limit? Or is it a reduced credit limit? Or is it 0?
Bikram Yadav: Customers typically underwritten fresh. And if it is looking like a very -- I mean, rarely would be that will restore is limit to original mostly either it is a reduced limit or no restart of the relationship.
Piran Engineer: Understood. Understood. And just lastly, on the open of

fer Jaideep, you are explaining that if it crosses 75%, it will be toned down the total shareholding. So just hypothetically, let's say, to 20% is subscribed in the open offer, then your pref issue is only 53% is it? Additional 2% goes to -- for the merger.
Jaideep Iyer: No, no, no. So merger, first of all, is a subsequent action. So let's park that aside. The open offer gets scaled down proportionately, both preferential and open offer amount will scale down proportionately such that minimum public shareholding goes back to 25%. And then I also mentioned that because there are foreign investment and limits of 74%, any reduction to comply with that will be solely on the account of preferential .
Piran Engineer: Understood. Okay. Okay. So, it will be a pro rata reduction of open offer plus pre f to get that theoretically, 86% down to 75%. It's pro rata.
Jaideep Iyer: That's correct.
Moderator: The next question is from the line of Krishnan ASV from HDFC Securities.

Krishnan ASV: Congrats on the landmark transaction. I'm just trying to understand a couple of things here. One, as a franchise, RBL has generally been handicapped, we have not delivered even the 14% ROE in our lifetime, right? And yet we have been able to land this tran saction is definitely all goes well for the rest of the banking system, I hope.
But purely in terms of which handicaps will get addressed, because despite everything NBD in its Indian avatar has not been able to do a lot. It's hard ly had a single branch. So , I just want to understand what capabilities is NBD likely to bring because it's largely RBL's existing infrastructure, which has to be stated better, which has to improve its capabilities.
So where are you likely to invest? So that's my first question. Number two, are there any covenants or restrictions on the existing management team that you can't -- because of this golden handshake, you can't do anything?
R. Subramaniakumar: Let me just take one. First one, ENBD has an international presence, which RBL lacks. So that is the one biggest positive plus, which will be in a position to be brought on table. Number two, ENBD is operating in a geography where there is a large Indian p resence is there. So the Indian presence, the routes will always come back to India.
So that is also going to provide a big opportunity for the RBL to reap upon. The third, there is a continuous remittance flow which comes from the GCC sector, with the highest compared to the entire inward that's the highest. So right now, if you ask me that RBL's share of getting that particular payment business, restricted or limited because of our limited geography and other things.
Now with this particular synergy, which is going to bring up, there is going to be an acceptance of RBL as a bank for opening NR accounts as well as for sending the remittance back. This is going to be another synergy.
The third is that they are working in a geography where the large group of our Indian corporates are dealing with, which we have been not able to deal with earlier, and that is opening up a new opportunity for Indian corporates operating in geography, the corporates of U AE and GCC operating in India.
So it is going to be a 2 -way channel which is going to provide us a bigger opportunity. And naturally, the bank distribution will expand because of -- you asked about the gap. The gap was that our capital ability to raise a big capital, we can do always in tranches 1000, 2000, 3000 for doing the growth of that particular period.
But this is an upfront we can have a large distribution, which can be created, which will catapult or multiply our ability to grow in all the areas that we done it. The second part of the question was with regard to what management and I think...
Krishnan ASV: Covenants, in the sense, generally, there have been precedents in th

e past, not just in India and elsewhere as well. But when financial institutions under both landmark transactions, you want to at least address the behavioral issues. So are there any covenants or restrictions that you can't

overdo certain things during the interim that you've got to run it as business as usual. How do you address that?
Jaideep Iyer: No, no. It is pretty much business as usual. There will be some information requirements, etcetera , that might be required, but there is nothing which is of any significance, which will have any constraint on us to live life business as usual in the interim. And of course, once Capital comes in, the opportunities that we just described.
Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: Sir, congratulations on this deal. Not only it is good for RBL, but even for the country, $3 billion gets added to the kitty. So just one question, other questions answered. Sir, what is the return on equity that Emirates is looking at from their investment? And any time frame by which we would be reaching those levels?
R. Subramaniakumar: Right now, it is a growth capital which has been talked about and nothing beyond as of now.
Shailesh Kanani: So no number as such. If you can share.
Jaideep Iyer: Shailesh, obviously, the ability to draw business plans over time is still very premature. As I said multiple times before, this is just an announcement, we will have many steps before we consummate the transaction.
And there will be enough time and opportunity for us to fine -tune our thinking and also communicate that to stakeholders over time. Just one data point. However, having said that, ENBD is running at about 19% to 20% ROE. So hopefully, we'll get there.
Shailesh Kanani: That would be great. Just a small question on the quarter. What would be a write -off pool from MFI and CC. And this quarter, the recovery seems to be less from the MFI side. It is only INR9 crores. So, if you can throw some light on that?
Management: It was in interest also.
Jaideep Iyer: Yes. So that was nothing unusually different from the last quarter. It is similar. And the write -off is also technical write -off is really aging situation. So , MFI gets technically written off over 365 days and cards over 120 days. So , there is nothing unusual or different. The numbers reflect in MFI's case, what would have happened 4 quarters back and in cards case is th ese 120 days.
Shailesh Kanani: Jaideep, what would be that pool means if you can quantify that pool?
Jaideep Iyer: In MFI?
Shailesh Kanani: Yes, both.
Jaideep Iyer: MFI should be a couple of thousand crores. Written off in this quarter, you're saying only this quarter?

Shailesh Kanani: No, no in general, written of pool. So just getting some gauge into the recovery, if that can be accelerated because we have done good written off in the last 12 months.
Jaideep Iyer: About INR1,500 crores a pool in MFI, which has been technically written off.
Shailesh Kanani: And how would -- if you can throw some light on the recovery from this pool?
R. Subramaniakumar: See normally, the recovery is in the range of around 0.6% to 0.8% per month. So, this is something which we are working for increasing it to the tune of somewhere to 0.9% to 1%.
Jaideep Iyer: And this is also a function of the rural economy. So as the stress wheels out and as things turn around, we can -- we will also hope to see the improvements in recovery over time, but it's not going to be a game changer. It's going to be this 75 basis poin ts to 1% per annum range.
Moderator: Thank you. Ladies and gentlemen, we'll take the last question for today from the line of Jai Mund hra from ICICI Securities.
Jai Mundhra: Congratulations on the transaction. Sir,

only one question. If you can share your preliminary thoughts on the ECL transition we have had I mean we have a portfolio, which is inherently more risky, has more PD and almost very high LGD. This is the draft gui delines, if you would have -- and how would it impact the running credit cost and maybe the onetime transition?
Jaideep Iyer: So Jai, broadly, the onetime transition should be in the range of about 6% to 8% of network, current net worth, not a material number. So that's one. And I think the impact on an ongoing basis would be that because in terms of credit cards, for example, we have pretty much full provisioning in 120 days.
I don't see that as a material impact on an ongoing basis. I think we will have some increase in wholesale book because trade finance group gets added from a standard asset provisioning perspective. So my rough estimate should be that the 40 basis points t hat we have today, maybe

goes up to about 60 to 65 basis points.

Jai Mundhra: Sure. And sir, the way -- see, the way I look at it is the SMA 1 plus 2, right, while you have a large proportion of them slipping in the current setup in credit card and MFI books. So anyway, you are providing. But under ECL, you will have to provide on t he fresh formation also, right, which is also 3%, 4%, if not higher. So, does that mean that you have slightly more structural credit cost in the current loan mix format?

Jaideep Iyer: No, Jai, the point still is that if that slips into NPA anyway gets taken care of in today's math at an accelerated manner. So therefore, the -- so if theoretically, we were providing, let's say, cards basis, the RBI guidelines are unsecured, which is 15%, 25% and 100% over 3 years, then yes, that would have been a material impact. So then when SM A 1, SM A 2 flows into NPA, anyway gets fully provided. So , including that, I don't think that estimate. But Ramesh, do you want to add?

Ramesh Ramanathan: So, I think, Jai, the question is we have Stage 1 provisioning, which will come through for cards and MFI which actually you could think about when you look at peers in the NBFC space who

are listed, it will be something similar. Most logically, you will see some release in provisioning on the secured side, given the loss given default is much lower.

And like Jaideep said, on the non -fund book in the wholesale segment, you will see some increase because of the nature of the -- it's not on the balance sheet today for us. But that book is pretty much on a -- the entities we do business with are very well rated, in most cases, better than the overall corporate portfolio.

So that impact will be minimal. But the big delta will be on Stage 1, Stage 2, primarily in the unsecured businesses. and that, I think, would be similar to what you see for other peers in the industry.

Moderator: As that was the last question for today, we would now conclude the Q&A session. If you have any further questions, please contact RB L Bank Limited via e -mail at ir@rblbank.com , I repeat ir@rblbank.com . On behalf of RBL Bank Limited, we thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2026

"RBL Bank Limited
Q3 FY '2 6 Earnings Conference Call"
January 17, 202 6

MANAGEMENT : MR. R. SUBRAMANIAKUMAR – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – RBL BANK
LIMITED
MR. RAJEEV AHUJA – EXECUTIVE DIRECTOR– RBL
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MR. JAIDEEP IYER– HEAD-STRATEGY – RBL BANK
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MR. NARENDRA AGRAWAL – HEAD BRANCH BANKING
& RETAIL LIABILITIES – RBL BANK LIMITED
MR. ANSH UL CHANDAK – HEAD TREASURY – RBL
BANK LIMITED
MR. BIKRAM YADAV – HEAD CREDIT CARDS – RBL
BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to RBL Bank Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. . Please note that this conference is being recorded.
I now hand the conference over to Mr. R. Subramaniakumar , Managing Director and CEO of RBL Bank. Thank you, and over to you, Mr. Kumar.
R. Subramaniakumar: Thank you, ma'am. Good evening, ladies and gentlemen, and thank you for joining us for a discussion on our bank's financial results for the third quarter of financial year 2026. We have uploaded the results along with the presentation on our website, and I hope you have had a chance to go through it in detail ahead of this call. As always, I'm joined by Mr. Rajeev Ahuja, Mr. Jaideep Iyer and other members of our management team to address any questions you may have.
Before we get into the details on Q3 operational performance, I would like to briefly touch upon the business trends of the quarter. Our advances grew 14% Y -o-Y and deposits grew 12% Y -o-Y. This was after we reduced our IBPC outstanding from INR4,500 crores to INR1,500 crores. The CD ratio stands comfortable at 86.1%. The granular deposits, which remain our focus area, grew 15% and constitutes 51.5% of total deposits. On asset side, secured retail assets grew 25% Y-o-Y, while unsecured advances have now stopped degrowing and it grew 1% sequentially. In the wholesale segment, our commercial banking business grew 30% Y -o-Y, driven by calibrated investments in relationship s and credit teams across existing markets, along with the selective expansion into the new geographies.
The disbursal in JLG segment has reached monthly run rate of INR700-plus crores, with improvement in early bucket collection efficiency and reduction in slippages and SMA bucket balances.
In credit cards, we achieved over 1 lakh card acquisition in a single month for the first time, post cessation of our new sourcing through our Bajaj partnership. The cards in force grew sequentially after 6 to 7 quarters of reduction. The spends per month are comfortable at a run rate of INR7,000 crores.
The credit card slippages continue to be slightly elevated, and we expect this trend to continue for 2 quarters -- 2 more quarters. On the interest rate front, the bank has absorbed 100 bps of repo rate cut done until June 2025. The rate action taken in savings and the repricing in term

deposit rates has resulted in NIM increasing by 12 bps sequentially this quarter.
The bank expects term deposits to reprice further in Q4 FY '26. And together with the improved disbursals in better yielding assets, we expect the margins to be marginally better in next quarter even after 25 bps repo cut in December 2025. We have adopted a calibrated approach to deposit

repricing, including savings account rates and remain confident of continuing this gradual normalization in a measured manner.
During the quarter, we accelerated branch expansion by adding 18 branches and we will sustain this momentum to strengthen our physical footprint and support growth in retail deposits. We have made meaningful progress in leveraging branches as a fulcrum for asset growth with increased branch -led sourcing across gold loans, working capital, secured business loans, home loans and credit cards.
While this remains a work in progress, we are encouraged by the direction of travel and expect the pace of traction to further improve. The disbursal from branches is at a monthly run rate of INR400 crores. The gold loans disbursal has now reached a mo

nthly run rate of INR225 crores
to INR250 crores and has the potential to go significantly higher.
Our wholly owned subsidiary, RFL, as a sourcing channel for affordable housing and small business loans is now gaining traction and has the potential to become a meaningful contributor to secured loan sourcing alongside JLG.
Importantly, our retail secured businesses as a cohort have now turned profitable at the operating level. And as scale builds, we expect operating leverage to progressively translate into improved performance.
On the progress of announced capital infusion by Emirates NBD Bank, we received shareholder approval in November 2025 for the overall transaction, including the proposed capital infusion and amalgamation of Emirates NBD's India branches with the bank. Appl ications have been made for approval with other regulatory authorities, including Reserve Bank of India, Government of India, Competitio n Commission of India, SEBI, et cetera, and they are in various stages of progress.
In summary, our priorities remain focused on building granular liabilities with a narrower cost of deposit gap versus larger peers, achieving a more balanced retail asset mix with a faster growth in secured products, strengthening branch -led customer acqui sition and deposit mobilization, deepening customer relationship through higher product penetration across our large existing customer base and improving operational efficiency in our chosen segments to deliver more predictable outcomes across our P&L.
Overall, we believe we are firmly on the right trajectory with the multiple growth opportunities ahead and right engines well oiled to capture these in a disciplined and a sustainable manner.
Now I will invite Mr. Jaideep Iyer to take you through the financials in greater detail.
Jaideep Iyer: Thank you, Mr. Kumar, and good afternoon, everyone. Let me briefly touch upon some of the specific aspects of our financial performance. We grew our net advances 14% year -on-year and 3% sequentially to INR1,03,086 crores. Retail advances grew by 10% year -on-year and 1% sequentially to INR60,611 crores. Consequently, the retail wholesale mix is now at 59:41.

As Mr. Kumar mentioned, this is net of the reduction of INR3,000 crores in IBPC in the business loan and housing loan segments. Secured retail advances after the above reduction in IBPC grew 24% year -on-year and 1% sequentially. Adjusted for IBPC, obviously, this has grown faster.
Within secured retail, business loans plus housing loans grew 34% year -on-year and 8% sequentially. Tr actor finance grew at about 23% year -on-year and 7% sequentially.
The disbursal rate run rate for secured retail is well above INR5,000 crores on a quarterly basis. For context, this number was approximately INR3,000 crores in Q1 of this year. Wholesale banking advances grew at about 21% year -on-year and 5% sequentially. And within wholesale, commercial banking grew at a faster pace at about 30% year -on-year and 7% sequentially.
The disbursal in the JLG segment is at a run rate of INR700 crores per month versus INR550 crores in the previous quarter. The good news is that the early bucket collection efficiency is 99.5%. This is as good as one has got in this segment for a long time. The benefits of this has already been seen in lower sequential slippages, and we expe ct that trend to continue.
Reiterating what Mr. Kumar said on cards, we've now crossed 1 lakh card acquisition in a month for the first time post the Bajaj Finance sourcing stopped in November 2024. As a result of which

our cards in force also grew sequentially. We hopefully, this should now result in the receivables as well growing on this sequentially from the next quarter onwards.
On deposits, our total deposits grew at about 12% year -on-year and 3% sequentially to INR1,19,721 crores. CASA ratio now stands at

30.9%. Our primary focus area being granular
deposits, as we have mentioned several times in the past. The focus is on deposits less than INR3 crores, which grew faster at 15% year -on-year and 4% sequentially to INR61,632 crores and now constitutes 51.5% of the total deposits vis -a-vis 51% in the last quarter.
Branch banking -led deposits grew 18% year -on-year and 3% sequentially, accounting for 66% of the total deposits of the bank. Average LCR continues to be healthy at 125%. CD ratio, as Mr. Kumar mentioned, is about 86.1%. We are quite comfortable with the ra nge of 83% to 87% on the CD ratio.
Our cost of deposits for the quarter was down to 6.2% versus 6.26% in Q2. Our savings account cost for the quarter was 11 basis points down sequentially to 5.15%. Similarly, our cost of TDs is down 23 basis points to 7.29% versus 7.52% vis -a-vis last quart er. We've also taken a rate action in savings where we've reduced the peak bucket down to 6% from 6.5%.
We do expect cost of deposits to further decline in Q4 and therefore, should help to marginally improve the margins even though the full impact of the December repo rate cut will come in Q4 of this financial year.
A little bit on our operating performance. Our NII was up 5% year -on-year and more importantly, 7% sequentially to INR1,657 crores. NIM as a consequence, sequentially was up at 4.63% vis -a-vis 4.51%. Other income in this quarter was up 13% year -on-year to INR1,050 crores. And excluding the one -off investment benefit that we had on a listing of a strategic investment we had in Q3 of FY '26. So excluding that, it was up 13% year -on-year.

Core fee income grew 10% year -on-year and 3% sequentially to INR959 crores. Our total net income was up 2% year -on-year and 9 % sequentially to INR2,708 crores. Opex grew less than revenues at 8% year -on-year and 2% sequentially to INR1,795 crores. Our cost -to-income ratio as a consequence is 66.3% versus 70.7% last quarter. PPOP - pre-operating profit was INR912 crores, up 25% sequentially. As a result, our net profit for the quarter was INR214 crores.
We've also taken the gratuity provision due to change in the methodology of about INR30 crores, which is a part of the reason for net profit to be at INR214 crores. On asset quality, in terms of net NPA ratios and GNPA ratios, we are down. GNPA was down 45 basis points quarter -on-quarter to 1.88% and net NPA was down 2 basis points to 0.55%.
Provisioning coverage ratio is healthy at about 71.1%. Our total net slippages in the quarter was INR711 crores, down from INR918 crores in Q1 FY '26 and INR727 crores last quarter. Net slippages in wholesale was negative, which has been the trend for a while, aided by recoveries, negative of INR9 crores. Credit card slippage was INR539 crores. JLG was INR130 crores and the rest of the retail was INR51 crores.
So essentially, our major slippages are pretty much from cards and JLG with a reduction -- reducing -- materially reducing trend in the JLG business. JLG is also further reduced at INR124 crores in line with improving collection efficiencies. We've also seen improvement in resolution rates in bucket 1 and bucket 2. Also, we now have 80 -plus percent of our standard JLG portfolio is now covered by CGFMU. Hopefully, that helps us in good stead if and when there is another cycle over the years.
Our net restructured advances is very, very small now at 0.16%. On provisioning, net provision on advances was about INR634 crores, largely dominated by cards with INR491 crores, JLG of about INR60 crores and all other retail put together at about INR70 crores and wholesale was about INR13 crores.
Credit cost as a result for the quarter was 64 basis points. On capital, we continue to be fairly healthy with 14.94% total capital adequacy and CET1 of 13.45%, including the profits for 9 months. We burned about sequentially a

bout 7, 8 basis points, large ly due to growth.
With this, we will now open the session for Q&A. Thank you.
Moderator: Thank you very much. The first question is from the line of Rikin Shah from IIFL Capital.
Rikin Shah: I have 4 questions. First one was, I just noticed that the balance with other banks on the balance sheet has jumped to INR12,000 crores, sharp increase both Q -o-Q, Y -o-Y. Partly, it's a function of, I guess, reduction in the CRR, but instead of deploying it elsewh ere, it has again gone to other banks. So just wanted to get a sense, will this buildup continue? Or do you intend to deploy that in either GSEC or loans in the coming quarters? That's number one.
The second one is on your provision coverage. It has now come down to 71%. So perhaps it

means that the additional SMA loan provisions on MFI book are no longer being carried and it has normalized. So how do you expect PCR to kind of settle in the next 1 y ear? Is this a level where it will continue? Or would you want to further increase it? So that's number two.

Third one is on asset quality. So the slippages in credit card are elevated and Kumar sir, you mentioned it may remain elevated for the next couple of quarters. I was just curious to understand why has it not normalized yet? What is it keeping at elevated levels and probably longer than what we initially thought?

And lastly, pertaining to the fund infusion. So any initial thoughts how you would be looking to deploy once the capital potentially comes in 1Q FY '27? So those are my 4 questions.

R. Subramaniakumar: Okay. I'll take a couple of them, and I'll ask Jaideep to get into the mathematical part of it. Okay.

The first one with regard to deployment of the funds, as I told in the last time also, we said that we have drawn a broad strategic points for deployment of that, and it is being discussed at the Board level. And we will be able to give the precise w ay of doing it because we have identified the growth within all the areas, which we have been growing for the last 1 or 2 years.

Second will be some new foray and new areas we'll be entering, which will be in terms of investment part of it in wealth management, expanding our branch footprint and expanding our distributions and some of the new products and services in retail, we'll b e able to introduce it.

And we have a GIFT City, we wanted to leverage it. These are the various things, which I said earlier, we stand by that, and we are working on the deeper numbers on that.

With regard to the PCR, if you look at it, we are normally comfortable between around 75% to 78%, which is what we have been maintaining it earlier. Maybe in the quarter to come, we will be building up to that extent. And with regard to the bank balance, I'll ask Jaideep to give you the details.

Jaideep Iyer: Yes. And just to add on PCR, we have Board -approved policies. So obviously, there is not much discretion or changes that happen. So depending on the portfolio, which is going back, there is a certain level of provisioning, which is taken. So it's a little bit of a mathematical outcome than a target. But we've said in the past that we should definitely be 65 -plus at most of the times.

On credit cards, yes, we kind of -- if I want to kind of divide the problem, I think we are kind of happy with the book that has been created over the last 18, 24 months, and we've seen progressively better outcomes on that if we look at leading indicators like 6 months on book or 12 months on book.

There are certain pockets of the portfolio, which are exhibiting weakness. And we think that it will take us, as Mr. Kumar mentioned, a couple of more quarters for that to resolve itself. And therefore, conservatively, we are guiding like this. And it's a combination of what underwriting, we had a reasonable jump in growth of cards post -COVID. So part of tha

t could be related to
that.

Part of that is also related to some macroeconomic weakness. Some of that is also related to the fact that we are withdrawing from many pockets because we were fairly distributed on cards when we had a partnership with Bajaj, and we are now wanting to kind of focus in more in the top, let's say, 80, 100, 150 locations rather than being far more spread out. So as we withdraw from fringe geographies, there are some impact on collections that happen. So I think it's a combination of that.

The good part is that we are quite confident of where we see this resolutions improving and what is the kind of risk underwriting that has happened over the last 2 years. So there is reasonable predictability on what we are seeing. And hopefully, we'll be able to demonstrate that over the next, let's say, 2 to 3 quarters.

On the balance sheet front -- yes, on the first question, it's actually a single day phenomenon. So if I look at daily averages, I don't think it will be so stark. But some deployment of excess liquidity in a manner, which was more tactical at that point i n time is more a consequence of that rather than anything from a structural to trying to read into that.

Rikin Shah: Got it. And just one clarification on the PCR comment. Kumar sir mentioned 75% to 78% being the comfort level, and you did mention 65% plus. So how should we kind of build this going ahead....

Jaideep Iyer: It's a consequence of which goes bad, right? So for example, theoretically, let's say, at some point, let's say, there is a secured retail asset shows some increase theoretically. That will continue at 15%, right? Because the recoverability of that is very high. So we -as we expect -- see, one of the other things that is happening is on the microfinance front, there is a catch -up of provisioning that is happening.

We have got back to a 25% run rate. So we will see a little bit of net NPA increase in microfinance from a legacy portfolio standpoint, whatever went bad in Q2, Q3, et cetera, and Q4, we will have a catch -up provision based on a 25% per month -- per quarte r catch -up. So it has nuances around which portfolio at what point in time. I think basis the recoverability, we are quite comfortable with the provis ioning guidelines that we have.

So we are very aggressive, as you know, on cards. We are reasonably comfortable with the microfinance portfolio to be taken 100% provisioning over a year. We are -- despite portfolios like tractor, we take 100% provisioning in 2 quarters. So despite it bei ng secured. So I think the -- depending on what portfolio exhibits stress, there can be some ups and downs. But broadly speaking, as I said, plus/minus 70% is where we should be comfortable with.

Moderator: The next question is from the line of Jayant Kharote from Axis Capital.

Jayant Kharote: So 2 questions. One is on the cards business itself. While we do understand that you've taken corrective actions, but the quantum of slippages are -- or at least the provisioning seems to be continuing for much longer than the industry. And a few more quar ters, meaning a good 1/3 of the book is not growing. So even with that capital coming in, if a large part of the book doesn't accelerate, how do we see this business, not from next 2, 3 quarters, but next 2 -year perspective? And when do we really start the issuance rate to go back to the earlier levels? That is number one. And specifically, I want to understand why RBL card portfolio lagging the industry over here? I'll come back with the second question.

Jaideep Iyer: I think the way I have described it, I don't think I have much more substance to add here, Jayant. Basically, we are saying that when we look at incremental portfolio that has been underwritten over the last couple of years and the early trends that we are seeing on that, those are coming

quite under control. And there are -- as I mentioned, there are certain pockets of portfolios, which are exhibiting stress, and we expect that to resolve itself over the next 2 quarters.

In terms of coming back to a run rate of issuance of 2 lakhs, 2.5 lakhs, I don't think we are necessarily chasing a specific number here. I think the bigger excitement that we have is how do we underwrite cards that have multiple products looked at cross -sell to the same customer base. So we are hopeful to have a significantly higher overlap between our savings account and card customers over time.

We are more hopeful of underwriting other secured products to the same customer base through more advanced analytical underwriting methods. So I think that is where even the methodology of which how we approach customers, how the customers can do DIY journ eys for consuming multiple products, I think that is where the focus is.

I don't think we are looking at cards as a stand -alone product to grow materially beyond -- I mean, we will be very comfortable with a 10 % to 15% growth in the book and 1 lakh to 1.5 lakh. We should get to 1.5 lakh new card acquisition in a few months.

And I think that's a good run rate as long as we are able to bank the customer for more products because one of the -- ironically, one of the risk mitigants in this business is actually to have a more transactional relationship beyond cards with the custom er. And that's obvious when you look at performance of card businesses across banks and nonbanks, you will see that difference. And I think we want to progressively move towards multiproduct customer consumption on this rather than a single product busine ss.

Jayant Kharote: Understood. We've very clear actually, 10% to 15% of the book is very clear. And like you said, you're not targeting the 2.5 lakh. So just to add on the asset quality, how many more quarters do you think you'll need for the cards book to stabilize on asset quality?

R. Subramaniakumar: See, I just want this to be addressed in 2 parts of it. I mean the acquisition which we are doing it in last maybe around 6 months' time is behaving normally. In a sense that we are in a position to come back to the quality of acquiring to good state. The existing book, which is just showing the stress after we took over, as Jaideep made it clear earlier, it was operating in all the pin codes. We have shrunk the pin codes.

So naturally, the pin codes where we don't have the muscle to do this activity is just showing a lot of stress there because this is one business where you have to be in the business for retaining the people at the end. And you have to keep on doing the bu siness wit h all the pin codes to do that.

That stress, we made a very sharp assessment of it, and it will pick out in June, and thereafter, it starts trending down. So we will be by September, if you call it, it may be normalized number what we have been seeing it earlier. So June is what it will pick out. And Bikram, anything more to add?

Bikram Yadav: Yes. So no, sir, I think you have summarized it well. In terms of our customer selection criteria and our distribution strength, we are almost at a well -defined level. And from here onwards, we'll continue to grow at about 10%, 15%.

What we have identified in collection performance is that except the early trends and the new sourcing is behaving as per the plan, except for a particular cohort, most of it is looking predictably coming within our risk appetite zone. And I think in anoth er 2 quarters, we should see it is getting back to the desired levels.

Jayant Kharote: Great. Sir, just to again confirm, by September, if it stabilizes, it means second half of FY '27, we should be looking at a normalized behavior of this book on the card...

R. Subramaniakumar: Yes.

Jayant K

harote: And sir, second question was on the growth after the capital and branch strategy. So if you could just help us with the time lines on both branch expansion, assuming hypothetically, the capital is already in the next 1 or 2 months, how do you lay out the b ranch expansion strategy over the next 1 or 2 years? And then again, similarly time line on the growth, when do you see growth acceleration?

R. Subramaniakumar: See, our branch expansion strategy is very clearly laid out, and it has been well consumed with the team across. We'll exit March with around 600 branches. And by next March, a year after, it will be around 800. And by third year, we'll be exiting 1,000 br anches. It is our own RBL branch bank.

We have already identified 200 high -growth locations across the country, taking into consideration the opportunity for us to make a higher growth rate there in respect of our granularization as our focus. This is apart from the touch points of around 1,300 where we have an RFL, which we have started leveraging it for the last couple of quarters where apart from doing a JLG business, they will be doing all that retail secured businesses also.

So if you -- for a simplistic understanding, you'll say that 1,000 branches will do all your retail asset, retail liability, it is a retail consumer business branch bank. And RFL will be doing your retail asset also. So for the business growth opportunity, you'll be having around 2,400 touch points by end of third year.

Jayant Kharote: Great. And on the time lines for growth and the capital?

R. Subramaniakumar: See the capital is depending on the approval, which is going to come. We don't have a precedence to say precisely that when it is coming because it's the first of its kind. So we made our own assessment based on what the conversation, which is going on wit h various regulatory authorities whom applications that we made. We feel that maybe in Q1 will be the right time for us to say that approvals will come. Thereafter, the process will follow for getting that infusion to take place.

Jayant Kharote: And post the capital, would you take time to start growing? Or do you think you already have the right plan in place?

R. Subramaniakumar: Right now, we are already growing at 25% to 30% range. If you see it, my wholesale is growing at 21% and commercial is growing at 30 % and retail secured is growing somewhere around 30%, which all of them put together is somewhere around, what, 70% to 74% because our unsecured and JLG put together is 26%, remaining is this.

This cohort is growing at a range of around 25% given. So with the capital, with an expansion of footprint, naturally, it has to be much above the 25% what you're talking about, another 10%. So the growth is something which is given and assured. With our c urrent growth rate, our run rate will go faster. Instead of getting forced, maybe that we will continuously reaching the boundaries much easier.

Moderator: The next question is from the line of Kunal Shah from Citi group.

Kunal Shah: So 2 questions, particularly now getting on to the credit cost. So given that the pain on the credit card is continuing, now how should we see the credit cost settling? And I heard that maybe the credit card slippages would peak out in maybe June. So do we see a much elevated level even compared to that of 2Q going forward -- 3Q going forward? Or maybe this is the level, which can be sustained? And what would be the overall guidance on the credit cost side?

Jaideep Iyer: So Kunal, I think on slippages, we are not suggesting that this is going up. I mean we are broadly talking about current range, which are obviously elevated from where it ideally should be. There

is no suggestion that we will see anything more than the ran ge that we've been in.
I think on credit costs, maybe it's going to be 2 different halves n

ext year because cards will play
a role. So I guess the first half will be somewhat in the current range, maybe a little lower because microfinance is coming under control. But second half should start seeing a significant improvement on credit costs.
Kunal Shah: Okay. So maybe this kind of a run rate of 2.5%, 2.3% to 2.5% should continue for a few more quarters?
Jaideep Iyer: No, I would say not a few more quarters. I think -- see, within this, I think microfinance is coming down. We are not seeing any material challenge in any other part of the business, whether it's wholesale or secured retail.
And so if microfinance comes down, we should see some moderation on credit costs. But I'm not getting into precise number guidance here of 10 basis points or 20 basis points, but we should not go beyond this range, clearly. And as and when the card situati on improves, which as I'm saying -- as we are saying, should start looking better from September. So second half of next year should start moderating in terms of credit costs quite materially.
Kunal Shah: Sure. Got it. And second question is with respect to the cost of deposits benefit. Maybe, in fact, when we look at it, it's not coming through much even like this quarter, it's been down just 6 - odd basis points. So when do we see this eventually cost of de posits benefit to flow in? When we look at it may be from 6.53%, it's still down to 6.2%.

So maybe when you -- when we look at it, maybe when should a larger part of this benefit flow in? And again, like maybe savings is seeing the benefit. TD, we saw it like 23 -odd basis points this quarter. So TD benefit should continue for another 2 quarters given the average maturity?
Jaideep Iyer: Yes. So Kunal, I think the TD trend is quite clear. The savings account reduction is calibrated consciously. I think where there is a little bit of a challenge is that the CASA ratio on a daily average basis is a little bit of a challenge given the situati on in the industry and the fact that we are also reducing SA rates. So if I look at TD rates, I think, yes, that trend will continue because repricing benefits will come over time. And therefore, effective cost of funds reduction will be a little moderated as compared to the TD cost reduction.
Kunal Shah: Okay. Got it. And one last question on ECL -- maybe if you have again recalibrated the impact and maybe gone into much detail about it, what could be the overall ECL transitioning impact now?
Jaideep Iyer: So that's a little bit work in progress. I think we are in that 10% zone of net worth. But we are - - RBI guidelines have recently come out, and we are in the process of -- we will also have to potentially start reporting IFRS accounts for consolidation pur poses post the consummation of the transaction. So we are working on that with a lot more detailed orientation. And as and when we have visibility, we'll come back, but we should be plus/minus broadly in that 10% zone of net worth.
Moderator: Next question is from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Just first question on RBI approval. So you mentioned that you have also sought approval for amalgamation of Emirates India branch. And of course, there is an approval pending for the transaction. Are these 2 separate approval or they are like one approval only?
R. Subramaniakumar: There are 2 different approvals. It has to be -- first one is in respect of consummating the transaction. The second is the amalgamation of the branches into it. And we also made a statement during the intervening period, we also sought the permission for running the 2 entities, which is also the third approval, which has also gone. All the 3 approvals are independent of each other. And they will be considered concurrently because everything has a linkage to every other approval. It is n ot -- nothing can be giv

en on a stand -alone basis .
Jai Mundhra: Okay. Sure. No, that is very clear. And second question, sir, on credit card business, so you mentioned about the likely asset quality behavior. But I also wanted to c heck on the growth side, right?
So if you believe that it will take over 2 quarters for portfolio quality to more stabilize in the interim period, would you see the book outcome to be similar wherein the Q -o-Q or Y -o-Y growth has been negative? Or you think that maybe the recent behavior makes you positive to at least start growing this book? How should one look at the credit card book growth over the next 2 to 4 quarters?
R. Subramaniakumar: So one important point I, then I'll ask our Bikram to talk about it in detail. The first thing will be that first, it will become Q -o-Q positive , then it will start working on Y -o-Y positive. Next

quarter, it is going to become Q -o-Q positive and the other Y -o-Y positive because with the 10% to 15% range, it will take some time to become Y -o-Y positive. Bikram, you can give further details.

Bikram Yadav: Right. So see, on any mature credit card portfolio, you see erosion of about 20% annually, either voluntarily or involuntarily, which means that to sustain a growth of, say, about 10%, 15%, we have to do new cards equivalent to about 25% to 30% of our curr ent base.

Now immediately after exit of Bajaj, we did a diversification of distribution, which has scaled up to 100,000 cards in December. We'll continue to now scale it up to drive about 10% to 15% growth on a sustainable basis. In month of November and December af ter, I think, about 12, 15 months, we have seen growth in the portfolio.

Now after the start of -- so this is a point of inflection from where we will sustainably grow 10% to 15% annua lly, which means that about 5%, 7% to 10% quarter -on-quarter. That is the answer on growth. For driving this growth, we have already developed well-defined distribution within the bank with no dependency on third party, which is giving a sustainable new acquisition on a month -on-month basis. Did I answer your question?

Jai Mundhra: Yes. That helps very much. Then another question, sir, was on IBPC sell -down. I was under the impression that the bank would need more growth even if it comes from IBPC. So why sell down IBPC when 1 or 2 quarters down the line, you may have to again do IBP C only?

R. Subramaniakumar: No, I think it is not a sale of our asset. This is something IBPC, which has been taken by us over a period of time, and we got accumulated to 4,500. Then we said that our own muscle should contribute. So we have started saying that instead of doing la zy banking, we wanted to do hard work banking, which is one of the major reasons for us to share this IBPC.

At one point of the time, you can't depend on the third party, if you want it, you can accumulate it for the growth. Minus this, our people are able to show the growth of around 24% organic, so that now they know that strength, which will go up to, let's say, 30 %, 30% to 35%. That is the idea. It is not our assets sold out to IBPC, it's other way around. We shut or removed our IBPC book, which we bought over a period of time.

Jai Mundhra: Correct sir. Okay. And last question, sir, on LCR. If you can quantify from April beginning, you may have to provide more runoff rates on MIB and there could be some lower runoff rates on wholesale deposits. What could be the net impact because of these ch anges on your LCR? Would there be release or you may have to provide more liquidity?

R. Subramaniakumar: If I remember right, the task is going to give you a benefit of LCR release because it is going to move away from 100% outflow to the 40 % outflow. And it is providing an opportunity for growth, plus it is going to give you a release of LCR. I don't think there is going to be a problem of LCR.

Jaideep Iyer: Yes, marginal benefit on the net release situation.

Jai Mundhra: Sure. The only thing is that we have to provide more on the mobile and Internet banking, but that will be offset, right, by the lower runoff rate.

R. Subramaniakumar: That's correct.

Jai Mundhra: And congratulations, Jaideep, for your elevation.

Moderator: The next question is from the line of Piran Engineer from CLSA.

Piran Engineer: Congrats on the quarter. Just a few questions. Some might be repetitive, but on this credit card slippages, so I understand that the new cohorts are doing better. Do you think it's also an issue with our collections infrastructure?

Like maybe when it was with Bajaj, they have a vast collections infrastructure across multiple products, multiple districts. Obviously, it will be much bigger than us. And now when we move to ours, that is one of the reasons. So it's not just the quality o f the customer, but the ability to recover, which has impacted slippages. What do you think of that?

R. Subramaniakumar: Yes. Bikram, you can answer.

Bikram Yadav: Yes. So see, when we have done a very rapid transition in -- somewhere in last financial year, there definitely was a transition impact, which was there. But when we look at our collection outcome today, they are operating almost 5% better than what they u sed to operate in Bajaj's collection management days.

Our problem is not neither of -- so our problem is not generally at a portfolio quality level. We have identified not -- there's a particular cohort, which is giving us a little bit of a grief. If we were to see the collection performance outside that, we are doing a little better than what we

used t o do even when Bajaj was there.
So our collection muscle right now is fully developed and fully ready to manage a portfolio of this size with a reasonable growth. But the slippage is coming because of that cohort, which is giving a little bit of grief. Otherwise, we are reasonably in con trol over the portfolio.
R. Subramaniakumar: Just to summarize the point what you asked about, whether the collection infra is weak when compared to the BFL is a broader point, which you brought about. The collection infra at the end of the day is always the collection agency, which is working on the field, right? The collection agency is going to be with X or it is going to be with Y, is the same set of people. The supervisory team is what it has been taken over. This infra setup might have taken a little time, but the setup is as strong as that it used to be earlier. There is a broader sense I wanted to give you and give you a comfort that it is not the collection infra. If the collection infra is weak, it is going to be fairly high.
So it isn't so. So the initial setup and absorption period, the moratorium got extended a little because of that. The locations on which we have to work on is much beyond the pin codes where we have been set up our pin code. That creation has taken a littl e longer time.

Bikram Yadav: And we have accelerated the issuance only after fixing the collection infra issue. So I mean, we have paused our growth plans till the collection infra was 100% in control and was delivering at the original level. So that is the thing that we want to submi t.
Piran Engineer: Okay. Got it. Got it. Sir secondly, even our secured retail slippages, are we happy with current levels? Is this built into our profitability metrics, etcetera, like INR167 crores a quarter from a INR35,000 crores book. I mean if I look apples -to-apples with other banks, obviously, it's high, but we do understand that you all have to take higher risk bets because of your cost of funds. Is this in line with your estimates or not is my question?
Jaideep Iyer: No, Piran, so a couple of things. We have a very sma

ll agri portfolio, which is -- which had some couple of accounts of about INR15 crores, INR20 crores this quarter. If I divide the book into, let's say, 2, 3 parts, if you look at mortgages, which will include small -LAP, micro LAP, housing, prime housing, prime LAP, all of that put together, I think we are in a relatively negligible slippage situation.
And you should look at net slippage on this because there are certain businesses where because of the guidelines, you do have slippages, but then they get upgraded. So other than a couple of quarters back, we had an issue wit h our working capital business.
And this time, we had a couple of loans on agri, but these are not anywhere symptomatic of the portfolio. This is anecdotal. And I think we are -- other than tractors, which by definition, goes at about 2%, 2.5% of the portfolio at slippages or credit cost , we are quite comfortable with where we stand on this.
Piran Engineer: Okay. Got it. Got it. And sir, your INR15,000 crores secured business loan book, is that fixed rate floating rate, what's the average tenure like?
Jaideep Iyer: On the business loan, on LAP portfolio?
Piran Engineer: The INR15,000 crores secured business loan, so I presume that is LAP, but I don't know if it works...
Jaideep Iyer: Yes, that's correct. That's correct. So behaviorally, it should be about 4 to 5 years.
Piran Engineer: Okay. And it will obviously be floating rates then?
Jaideep Iyer: Yes, yes. All entire retail is pretty much linked to repo and floating other than cards and microfinance and tractor basically.
Piran Engineer: And gold also?
Jaideep Iyer: Yes. So basically mortgages and working capital.
Piran Engineer: Got it. And sir, lastly, on CASA now, you mentioned industry -wide pressures, but is it just simply that your customers are moving from SA to TD after the rate cuts?

R. Subramaniakumar: See, we saw that assessment. Some of them have moved from one bucket, the people who are there in the higher bucket has moved partly to that TD. But one thing I want to tell you that NTB, which my team is able to mobilize even after the cut, it just outwei ghs even that outflow, which we have seen it here.
If you look at it last -- in the last 2, 3 cuts, the total net outflow somewhere around INR200 crores or INR300 crores only for the book of around INR18,000 crores, which is a sign of holding the customers together. So this is also not the one which left the bank, majority of that

gone to TD.
Piran Engineer: Got it. Okay. Yes. left the bank, of course, not because all the other banks have also cut their rates. So you can't go anywhere else. But moving to TD was my question. But yes, that answers my question.
Moderator: The next question is from the line of Param Subramanian from Investec.
Param Subramanian: Firstly, on -- so I heard Mr. Kumar call out 200 branches per year, if I'm not wrong, for the next 2 years. What does that mean for opex run rate for FY '27 and '28?
R. Subramaniakumar: See, I'll tell you on an average around what, INR0.5 million is what we do. Opex ...
Jaideep Iyer: So, yes, I think -- so let's say, simplistically, if you look at 200 branches for fiscal '27, we will look at an average rollout impact from a P&L standpoint of 100. And one should assume a INR60 lakh to INR70 lakh operating cost run rate per branch, and therefore, that will translate to INR60 crores to INR70 crores in FY '27.
Naturally, the next INR60 crores to INR70 crores of that full impact will come in fiscal '28. And then fiscal '28, we will add another 100 branches for the year average basis the 200 full year. And so that's how the costs will pan out. But I think the reason we have confidence of visibility is one is, obviously, there will be capital coming in. Second, we will continue to improve profitability on our secured retail.
Third, we expect a

material change in cards and microfinance profitability by the time we exit our second half of fiscal '27. So I think when you put all of that together, I think we are quite comfortable in taking these expansion costs because ultimately, we'll have to balance at some level, some level of growth and it's easy to grow loans.
We'll have to obviously -- if we have to grow deposits at a cost, which we are comfortable with because we do have a stated intention to reduce the gap. And along with that, if we impose a 25%, 30% growth in deposits, naturally, we will have to arm the businesses with distribution, and that's the intent.
R. Subramaniakumar: With the branches a distribution retail asset, we have a very calibrated plan of making the branches to become profitable on the 18th month. That means the branch which is opened in this quarter will become -- before FY '28 will become profit. And once the cycle sets in and with your ability to reduce the cost with your ability to borrow at a cheaper rate, that will get

compensated. But while, of course, when you wanted to expand on the liability side, the footprint has to expand, right?
Param Subramanian: So INR7,200 crores is your annual opex run rate. So you're saying only INR60 crores, INR70 crores extra impact. Did I get that correctly?
Jaideep Iyer: Yes, for branches, yes.
R. Subramaniakumar: For branches, yes.
Param Subramanian: And this is fully loaded. I think -- this is fully loaded branch expansion. So that should be the incremental run rate. Okay. Okay.
Jaideep Iyer: Correct.
R. Subramaniakumar: Correct.
Param Subramanian: Okay. Fair enough. Second question, again, on your margin in this quarter. So on Slide 5, you show these movements, right, between your cost of funds and yield. I can see the LCR is also broadly stable quarter -on-quarter. Your yield is down 13 basis points . Your cost of fund is down by less than that. So how exactly is this NIM expansion? How has it played out over 12 basis points in this quarter?
Jaideep Iyer: So part of that, Param, is CRR cut benefit of about maybe 4 basis points or so.
Param Subramanian: Yes, that I get.
Jaideep Iyer: Yes. Part of that is on a daily average basis, the investment book to advances book was lower than historical trends. Some balance sheet efficiency, some improvement in short -term investments that we had. So it's a mix of factors.
Param Subramanian: No, I thought it should have reflected in your LCR, right? I mean that is flat. Anyway, I will take that offline.
Anshul Chandak : Average LCR of course, is lower than the previous quarter. So we've used liquidity more efficiently this quarter.
Moderator: The next question is from the line of Rakesh Kumar from Valentis Advisors.
Rakesh Kumar: So a question sir on extension of DCCO. So how much is the provision that we are holding on loans outstanding?
Jaideep Iyer: Can you repeat that question. Sorry, we couldn't understand the question. Can you repeat?
Rakesh Kumar: Yes. So with respect to account, so we ended...
Moderator: I am sorry to interrupt you. Mr. Rakesh, your voice is breaking, sir, we are unable to hear you.
Rakesh Kumar: Is it fine now?

Moderator: Yes, please go ahead.
Rakesh Kumar: Yes. So I was asking the amount of a standard asset provision that we have on the loan that we have where the DCCO has been extended. So what is the provision that we have on those loans?
Jaideep Iyer: So total project loans that we have in our book basis the new guidelines that kicked in is about INR4 crores.
Rakesh Kumar: Okay.
Jaideep Iyer: On standard, yes.
Rakesh Kumar: Okay. So what would be the incremental number? So like because of this increase in the DCCO expenses?
Jaideep Iyer: Appx. INR1.7 crores is largely incremental because of the DCCO ext

ension .
Rakesh Kumar: Okay. Okay. And if you look at the constitution of your retail liability, it has marginally deteriorated from the June numbers. So if you have any color to add here?
Jaideep Iyer: In what context, sorry.
Rakesh Kumar: Yes. So if I look at your retail liability constitution -wise breakup, which is there in the Slide number 16. And if I look at the number from June, June to December number, so there is like individual and HUF number percentage has come down?
Jaideep Iyer: Yes. I guess that necessarily is not good or bad in itself. I think small business, if you look at granular deposits, we are sequentially better. So it could be from small businesses. It could be -- so we would typically not necessarily look at just indivi dual as a constitution, but look at the granularity. And on an individual basis, I think we've kind of seen SA - savings account anyway being a challenge for the industry. So part of the reason would be that. But otherwise, I'm sorry, Narendra, yes.
Narendra Agrawal: Yes. Our retail deposit is better, which is CASA and FD less than INR3 crores is growing faster at 16% as compared to the total deposit s.
Jaideep Iyer: Yes.
Narendra Agrawal: And our granular deposit is growing at 15%, which is better than total deposits. Individual is showing lesser because of the SA -- because we cut the rates from 6.5% -- 7.5% to 6%. But on the retail deposit growth and granular deposit growth, we are growing at a faster rate.
Rakesh Kumar: Got it. Sir, just third question, lastly, TD has like from the March number, it has fallen by approximately 40 bps to now. Considering that what is the fresh deposit fall that has happened in the system as per the RBI number, what would be the acceleration in the additional fall in the TD cost?

So would it be around 70 bps or 80 bps, assuming that there is a complete pass -through happening in the outstanding TD number also in line with fresh TD number. So like how do you think that would it complete in next 6 months, 9 months or 1 year time?
Jaideep Iyer: I think it should complete in maybe a 9 -month kind of a time frame. The typical average maturity of TDs would be in the 9 - to 12month zone on a blended average basis. And the latest cut -- see, I think the issue is that I don't know, maybe we have another 20 basis points to go in terms of incremental TD cuts at least in this cycle. And therefore, I would not go to the extent of 70, 80 bps. I would say 30, 35 bps is what we would have broadly as some more room to go in terms of overall TD cuts, cost of TDs coming down.
Rakesh Kumar: In the next 3 quarters?
Jaideep Iyer: In the next 3 quarters, right.
Rakesh Kumar: Yes. So from the liability side, at least we are safely -- we are very safe on the margin front on the liability side at least?
Jaideep Iyer: Yes. I mean I think -- I guess, in our case, there are multiple plays on margins, right? So I mean we went through a period where there were rapid repo cuts and there was a material reduction in our microfinance and card book contribution to total, right? So now both seem to have bottomed out. And therefore, we are -- it's difficult to predict long term. But clearly, over the next 3 months, maybe even 6 months, we should see margins improve a bit.
Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: I have 2 questions. So first question...
Moderator: I'm sorry, to interrupt, Mr. Kanani, we are unable to hear you, sir. Your voice is breaking.
Shailesh Kanani: Is this better?
Moderator: Yes, please go ahead.

Shailesh Kanani: Yes. So my question is to Mr. Kumar indicated that the retail secured portfolio has begun contributing to the profitability at the cohort level. So can you please provide a product -wise breakup in terms of profitable breakeven and yet to breakeven

products ?
Jaideep Iyer: Shailesh, I think the prime housing followed by prime LAP, tractors is already profitable. Gold loan is getting to be profitable. I think LAP is profitable. Prime housing is yet to catch up. And small -- affordable housing and small LAP, given that it's a growth area, acquisition costs are still a little higher. Maybe that is just about breaking even.
So 2 things will drive profitability. One is, obviously, there is a back book, which keeps growing and therefore, giving you interest income without cost of acquisition. Second, we are consciously keeping the mix in favor of small business loans and afford able housing, as you will see in the slides that we have presented, which has a faster breakeven time. And third, we continue to

expect productivity gains on origination as well going forward. So I guess it's a combination of all of this in terms of improving profitability.
Shailesh Kanani: So if my understanding right, in terms of yet to breakeven, it is only prime housing is one segment, which is yet to contribute to the breakeven. That understanding right?
Jaideep Iyer: Pretty much, yes.
Bikram Singh Yadav: Yes.
Shailesh Kanani: Okay. Fair enough. Sir, my second point is with respect to wholesale lending. Obviously, macro has helped and this quarter, the numbers were good. But if you can throw some light, say, once the capital comes in, 2 years, 3 years down the line in terms of m ix, we have been stable in terms of 60 -40. How would that number be in terms of retail and wholesale?
R. Subramaniakumar: Let me tell you, this is a precise number. We'll be able to say once we finalize our strategy along with the Board. And naturally, it is not going to be 60 -40. It will be definitely trending towards -- I mean, moderating in respect to the -- in favor of wh olesale.
Shailesh Kanani: In favor of wholesale. Okay. Fair enough. Sir, just one question. Sorry to harp again on credit card business , because we have had some misses on that in terms -- especially post our tie -up with Bajaj. Can you shed some more light in the sense, what gives us the confidence that in the next 2 quarters, asset quality would improve?
Because in the past also, we had given similar guidance, but somehow because of the macro and other factors beyond our control, we were not able to kind of deliver on the asset quality on credit cards. So if you can throw some more light?
Jaideep Iyer: Yes. So Shailesh, as we said, I think if we look at portfolio originated over the last couple of years, leading indicators on that portfolio, underwriting changes that we have done and being demonstrated in terms of early bucket, we are seeing other than some patches of cohorts, as we mentioned, we are looking at significant improvement in line with our expectations. So there is a clear visibility on improvement, which we see from September quarter onwards. I think -- sorry , go ahead.
Shailesh Kanani: No, I was just listening. Yes. Okay. So you're pretty confident this time around to deliver in a couple of quarters' time, the betterment in asset quality for credit card, right?
Jaideep Iyer: And I think in terms of profitability, it's not only credit costs. We are also significantly working on cost of collections and cost of business in general, which also got bloated because of higher slippages and higher collection costs. So in terms of over all business outcome, if I dial back 3 years, it was significantly higher on revenue. We are now -- the industry is settling down to a structurally lower revenue business. And that has to be countered with both reduction in cost to assets as well as collection and slippages and credit costs. Sorry, Bikram, do you want to add?
R. Subramaniakumar: Bikram, Shailesh is looking for a confidence from yourself.

Bikram Yadav: Sh

ailesh, after the transition of collection from Bajaj to us, we have done significant investment in collection infrastructure, and we have paused growth from third party till the time we have full handle on collection. So as Jaideep has said, now our dis tribution muscle is ready. Our refresh rate is ready. Our collection infrastructure is also in place and has been tested on scale. Our incident of defaults are significantly lesser. I mean, they are right now at, I think, all -time lowest since we started the business. Our resolution rates are back in the required range. Now what is -- what we are dealing with is a particular cohort, w hich we will, I think, sort over the

next 2 quarters of sorts, and then we should be back on in absolute full desired levels.
Moderator: The next question is from the line of Vansh Solanki from RSPN Ventures.
Vansh Solanki: Other than JLG, I just want to know the strategy about the wholesale and other secured retail banking, like how we see the other 2 segments of the bank going forward, not in the next 2, 3 quarters, but I'm talking about after 1, 2 years?
R. Subramaniakumar: You're talking about -- if I understand right, you are asking about the growth of wholesale banking and the growth of retail secured. Is that correct?
Vansh Solanki: Yes, yes, yes.
R. Subramaniakumar: Okay. We have been growing wholesale at around 21%. So that is a minimum base and it can't go below that, and it is going to go up. So near term, it will continue to be in the range of 20%, 25%. Long term, it will be much higher.
In respect of retail, we have been growing at around 30%, 25% to 30%. In near term, it will continue to be the same range. In long term, it will also go up by around another 5% to 10% or more.
Vansh Solanki: Okay. And on the JLG front, will the growth will be as higher as we have in last 1 year, about 4 quarters back. Will it be possible for us to go by that kind of growth in unsecured sector?
R. Subramaniakumar: No, unsecured, we have already come on record to say that. We will not be growing disproportionately high. We reduced it from 36% to 24% -- 26%, which will come down somewhere in the range of around 22% to 25% in that range. If that is what we are looking at it, we will be growing in the range of around 10% to 15%.
Moderator: Thank you. Ladies and gentlemen, we now conclude the question -and-answer session. If you have any further questions, please contact RBL Bank Limited via e -mail at ir@rblbank.com . On behalf of RBL Bank Limited, we thank you for joining us, and you may now disconnect your lines.
R. Subramaniakumar: Thank you.
Bikram Singh Yadav: Thank you.